



How defence spending will shrink global imbalances and weaken US

May 12, 2026

In this note we argue that US withdrawal from security alliances established after the Second World War will result in a fall in global savings. This is as allies seek greater strategic autonomy in three key areas: defence, energy and technology. These areas are highly investment intensive and history suggests that when spending on these sectors rise, private consumption and investment do not fall sufficiently to offset the effect on savings. The result should be lower global savings and higher interest rates.

Because the regions most affected by a changing US relationship are also the world's largest net savers (in other words, they run the lion's share of global current account surpluses), the result should be a fall in global imbalances. There will be less recycling of savings out of Europe, Asia and the Middle East into the US and this will act as a material headwind for the dollar. For the sake of coherence, we focus in this note specifically on the defence angle but aim to build on this framework in the future when it comes to both energy infrastructure investment and technology.

The rapid global rise in defence expenditure

The recent conflict in Iran will accelerate an existing global trend: rising expenditure on defence. According to data from the SIPRI database, 2024 saw the largest rise in defence spending in real terms since data is available (the late 1980s - figure 1). Defence spending is set to rise over coming years, both in real terms and as a percentage of GDP. At the 2025 NATO summit in The Hague, member states committed to a 5% GDP spending target on defence and security-related spending by 2035.¹ Outside of NATO, Japan has committed to doubling its defence spending to 2% GDP by 2027, two years ahead of its original schedule. The Korean government has pledged to increase defence spending by 8.2% this year.² China has also been significantly increasing defence spending, by 7% in 2026 and Russian defence expenditure has grown dramatically since the start of its invasion of Ukraine.³

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¹ [NATO](#), April 2026

² [Yonhap news agency](#), October 2025

³ [Reuters](#) March 5th 2026



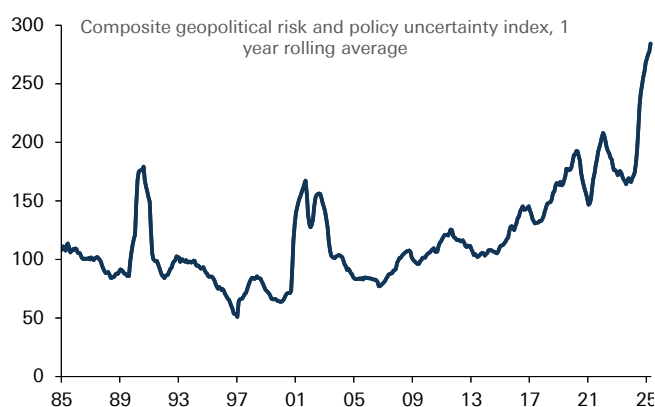
While the drivers of increasing defence spending are various (including rising nationalism, increased competition for raw materials), recent shifts in US policy have undoubtedly played an important role. The security umbrella established after the Second World War has come under strain from recent US policy decisions, including the withdrawal of military and financial support for Ukraine, tensions with EU allies over Greenland and most recently criticism of NATO allies over their decision not to back the recent US war against Iran. We have written in detail about increasing US reluctance to continue to provide 'global public goods' such as upholding an open international economic system and underpin western security, with the US pursuing a more self-interested policy agenda and exercising hard power and its economic networks more forcefully.⁴ This in turn is an important motivating factor for US allies to pursue strategic autonomy in defence, as well as other areas such as energy and technology.

Figure 1: Fastest increase in global defence spending in decades in 2024



Source : Deutsche Bank, SIPRI Defence Database

Figure 2: Reflecting extremely elevated levels of geopolitical risk and policy uncertainty



Source : Deutsche Bank, Caldara, Dario and Matteo Iacoviello (2022), "Measuring Geopolitical Risk," *American Economic Review*, April, 112(4), pp.1194-1225. Baker, Bloom and Davis.

Rising defence expenditure: falling global savings

To understand better what impact rising defence expenditure could have on the global economy, we turn to the historical record. We make three important observations.

First, never underestimate how quickly defence expenditure can increase, especially if threat perceptions change. Back in September last year, we [highlighted](#) the period of rearmament during the 1930s as a useful historical parallel. Defence expenditure rose dramatically across future belligerents in only a few years. For example, defence spending as a share of GDP between 1935 and 1938 rose 2.5% for Italy, 3.7% for the UK, 8% for Germany and 17% for Japan (figure 3).

Second, fiscal constraints can be overstated. Although Britain's debt to GDP stood at well above 160% in the mid 1930s, the country was still able to significantly ramp up defence expenditure. Arguably, the most basic function of a state is to protect its citizens and guard its sovereignty. As such, if threat perceptions increase, defence spending tends to trump other spending priorities.

⁴ See, [DB Special Report](#), "The Unruly hegemon; what a decline in US leadership means for markets," March 2025, [EM Blog](#): Venezuela, hard power, geoeconomics and hemispheric dominance, January 2026 and "[Geoeconomics 101](#)," January 2026

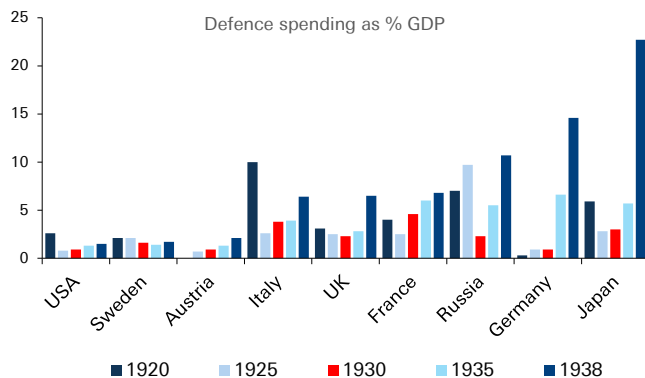


Third, rising defence expenditure tends to be associated with falling savings. From a national income perspective, defence expenditure can largely be accounted for through increased investment and government consumption. An important if not crucial question is whether this comes at the expense of private consumption (leaving the savings rate unchanged) or whether consumption does not fully compensate (reducing overall saving).

There is evidence to suggest that household consumption does fall during periods of re-armament. For example, in 1930s Nazi Germany, [economic historians](#) have described forms of moral suasion such as national savings days to increase available funding for the military, before the 1936 Four Year Plan saw rationing of raw materials and consumption goods which limited household spending opportunities. It is also possible that the uncertainty caused by a more volatile world prompts households to save for precautionary purposes.

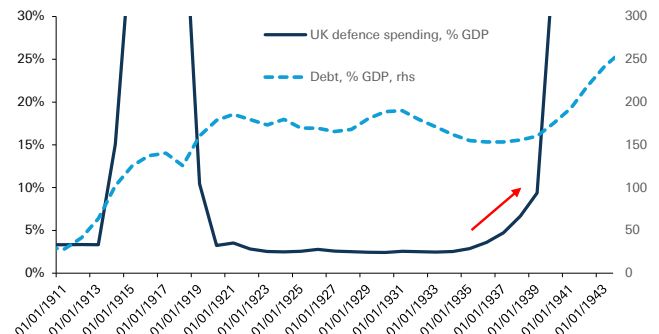
Nevertheless, efforts to increase national saving were never powerful enough to offset the demands of military investment at an aggregate level, reflected Germany's chronic current account deficit. And at the less extreme end of the spectrum, evidence also suggests that savings rates do fall. This was true in the UK during the late 1930s and the US following the start of the Vietnam War (figures 5 & 6).⁵ There is also strong theoretical evidence to suggest that defence spending is not subject to the same Ricardian constraints as other government spending. Government spending on defence does not crowd out other forms of spending because without it, the government is no longer able to protect the ability of households to save for the future or pass on bequests to future generations.⁶

Figure 3: Defence expenditure rose dramatically among belligerents in the run up to WW2



Source : Deutsche Bank, Eloranta, J. "Pro Bono Publico? Demand for Military Spending Between the World Wars," Economic and Business History Society, 2017

Figure 4: British defence spending rose in the 1930s in spite of very high debt levels

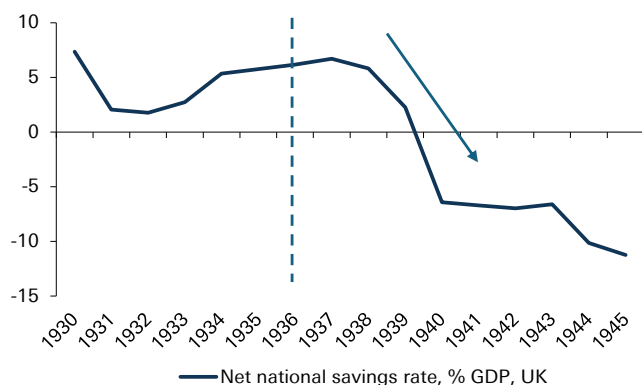


Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data

5 The UK savings rate does initially rise in the immediate aftermath of rearmament. However, this continued a trend established since the 1932 recession and rearmament did not truly start until 1937 after which national savings fell
6 See Seigle, "Defence Spending in a Neo-Ricardian World." 1998



Figure 5: Savings rates initially rose then fell rapidly following re-armament in the 1930s



Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data, * dotted lines represent start of rearmament

Figure 6: They fell almost immediately in the Vietnam War



Source : Deutsche Bank, St Louis Fed, dotted lines represent start of rearmament

As we shall see, these observations have potentially highly important implications for global asset prices. We would note that while this report focuses specifically on defence, there are other sectors in which investment is likely to increase due to changing global political economy, especially energy infrastructure and technology. This should act to magnify the effect on global savings, even if the theoretical effect is clearest in the defence sector.

Falling global savings: shrinking global imbalances

Should increased defence expenditure globally act to increase investment without a corresponding fall in consumption, as we expect, the effect should be to raise interest rates, all being equal. In the long run, economic theory posits that the neutral rate of interest should be determined by the supply of and demand for savings.⁷

In the long run is an important caveat. In the short term, fiscal and monetary policy can also act to dampen the transmission channel. For example, during the Second World War, when British savings rates fell to very low levels, market interest rates remained extremely low. In part this was due to widespread financial repression policies, including capital controls, mandatory holdings of government debt and borrowing and consumer restrictions.⁸

We should be careful in taking the 1930s comparison too far when it comes to the current geopolitical environment. But governments will be confronted with hard choices when it comes to financing additional defence expenditure, especially where public debt to GDP is already at high levels, and given that welfare spending is considerably higher as a share of GDP than 90 years ago. The interplay between defence expenditure, interest rates and government policy is especially relevant when it comes to international capital flows, which we focus on next.

This is because in an era of capital mobility, another important consequence of rising defence expenditure will be its effect on global imbalances. The world's largest net savers (those running the largest current account surpluses) are

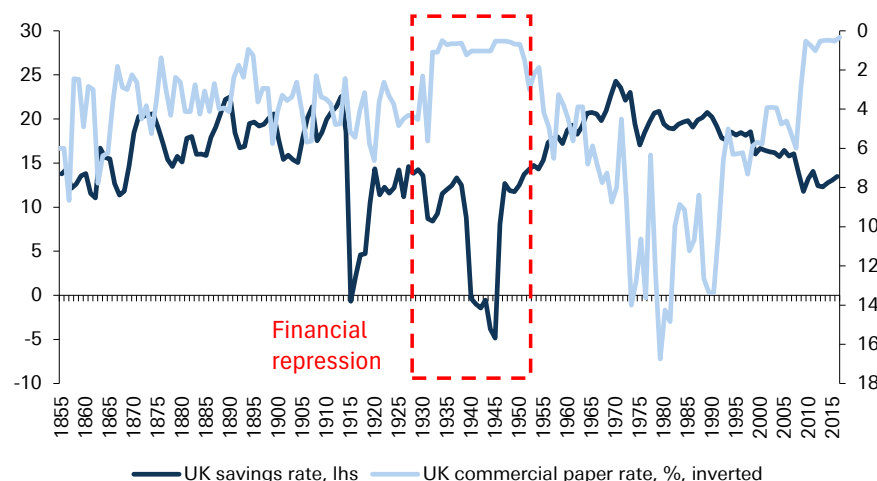
⁷ For example, Federal Reserve Bank of San Francisco [Economic Letter](#), April 2025

⁸ Mark Harrison, "[Paying the price for war](#)," University of Warwick



concentrated in three regions: Europe, East Asia and the Middle East (figure 9). These regions are also those seeing the largest increases in defence expenditure (figure 8), and where defence expenditure needs are likely to be the most pronounced over coming years.

Figure 7: In the Second World War, the government used financial repression to keep rates low despite collapsing savings



Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data

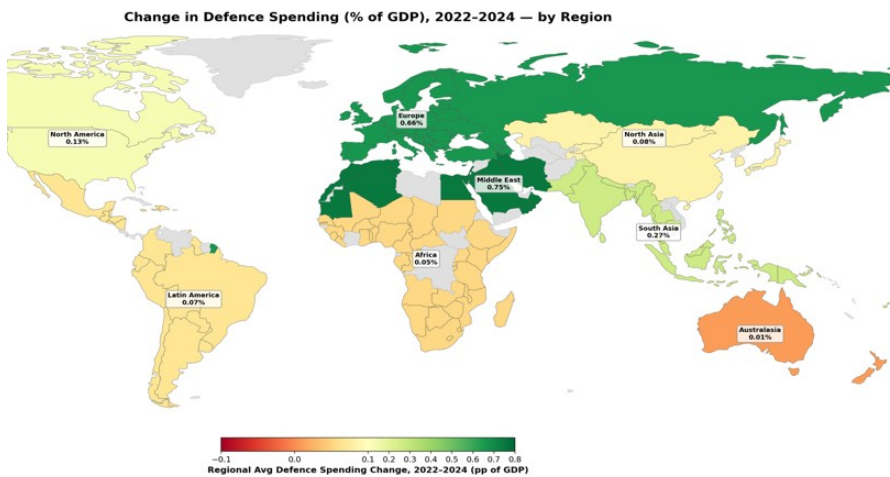
Increased defence expenditure will act to reduce global imbalances by reducing net savings in these three regions, in other words falling current account surpluses. But how will defence expenditure be financed? The quid pro quo of smaller current account surpluses should be reduced recycling of savings abroad via the financial account. From a political perspective, there are strong incentives to meet domestic financing needs from private savings rather than increased taxation or central bank financing. For one, it would be less politically unpopular than raising tax or inflation. For another, it reduces economic interdependencies which can make sovereign states vulnerable.

Indeed, as we noted in a [recent note](#), tapping private savings was a key channel of financing defence expenditure in World Wars 1 & 2. An even more extreme version of this could be outright repatriation of foreign assets to fund defence spending. Leading into the First World War, the economic historian Niall Ferguson has highlighted how international bond markets increasingly tilted towards 'home bias,' and during World War 2 Britain coerced private savers to swap dollar holdings in order to boost the Bank of England's foreign exchange reserves.

On the deficit side of global imbalances, as figure 9 shows, one country contributes more than any other combined, namely the United States. And it is also the case, when it comes to stocks, that the largest holders of US assets (when excluding the Caribbean holdings which are largely reflective of tax benefits rather than ultimate beneficial ownership) are once again: Europe, East Asia and the Middle East. In other words, if global imbalances fall due to increased defence spending, it is US deficits that may end up being the most vulnerable.

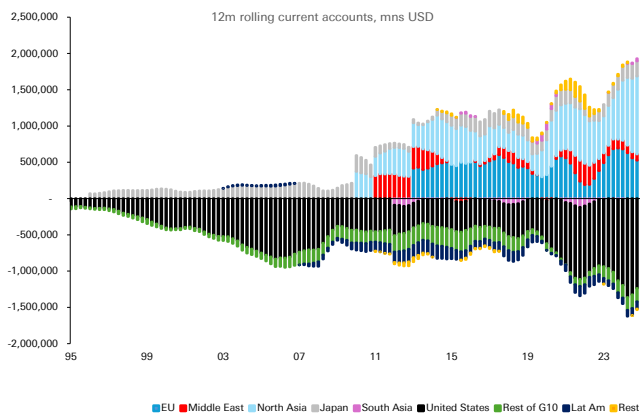


Figure 8: Europe, North Asia and the Middle East are seeing the biggest increases in defence expenditure



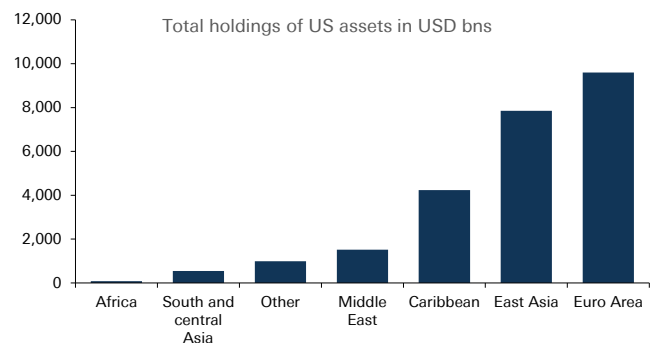
Source : Deutsche Bank, SIPRI Defence Database

Figure 9: Global surpluses driven by similar regions to where defence spending is going to rise the most, global deficits driven by the US



Source : Deutsche Bank, Haver Analytics, *note time series not continuous due to data availability issues

Figure 10: Similarly, holdings of US assets are concentrated in regions that need to re-arm



Source : Deutsche Bank, US Treasury TIC Data

This, however, is logical. With a reduced US security commitment to traditional allies, it is inconsistent for the private savings of those allies to be channeled to the US to the same extent as domestic financing needs increase.

The current account channel: can US defence exports compensate?

Reduced recycling of private savings into the US on account of growing defence spending may not necessarily be negative for the dollar. If US deficits are vulnerable to less recycling of private savings in the rest of the world, the US current account should adjust. But this could happen for dollar-positive reasons if the US is able to provide defence equipment and services through its exports.

The push for defence spending is already evident in the data. For example, although volatile, defence-related machinery orders in Japan and capital goods orders in



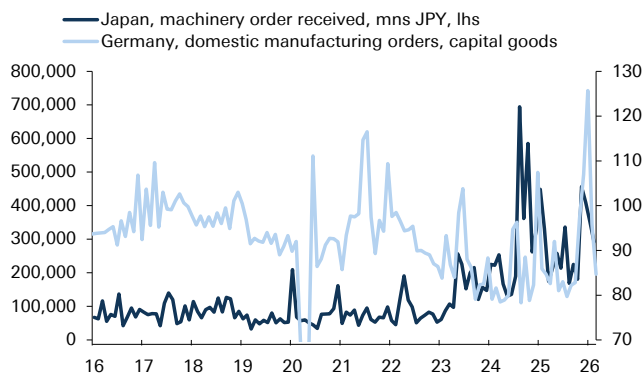
Germany have risen to record high levels in the last four years (figure 11). At the same time, US defence exports have also risen to record levels (figure 12). Nevertheless, while we think that increased US defence exports may compensate the effects on the financing of US deficits in the short term, over the medium term we think this is less likely.

First, although there is a large investment and expertise gap in the defence industry in regions such as Europe, East Asia and the Middle East, which will require imports to fill, over the medium term policymakers are attempting to build up domestic industrial bases and increase strategic autonomy in defence.⁹ For example, the EU has identified seven capability gaps, from air and missile defence to AI, Quantum, Cyber and Electronic Warfare with the aim of building a defence base that will enable the EU to conduct the entire spectrum of military tasks. The European Defence Industrial Strategy has put a target of at least 50% defence procurement being sourced from the European industrial base by 2030 and 60% by 2035. To be sure, the starting point presents a challenge - our European economists estimated that 78% of defence procurement went to non-EU providers of which 63% went to the US at the start of last year.¹⁰ But the European Commission also [note](#) that European defence industry turnover has grown from EUR 124bn in 2021 to EUR 183bn in 2024.

Second, procurement is only one part of the defence budget. For example, although in the EU it makes up the majority of the investment budget, the EUR 88bn spent in 2024 on procurement is less than a quarter of the total (EUR 381bn) spent overall.

Another reason to doubt that US exports will fully compensate for the reduced ability of allies to finance US deficits is that the Trump administration is [itself proposing](#) a major increase in defence expenditure as part of the 2027 Budget, amounting to up to USD 1.5 trillion, nearly a USD 500bn increase from the previous year. It seems unlikely that US industry could simultaneously fully meet global demand for defence equipment and its own domestic demand under government spending plans.

Figure 11: Defence orders in Europe and Japan have already surged in the last three years



Source : Deutsche Bank, Haver Analytics

Figure 12: US defence exports are also climbing rapidly but are unlikely to fully compensate



Source : Deutsche Bank, Haver Analytics

⁹ See the ReArm Europe Plan, Readiness 2030

¹⁰ See Mark Wall and team, "[Focus Europe](#): Defending Europe Part 3, January 2025

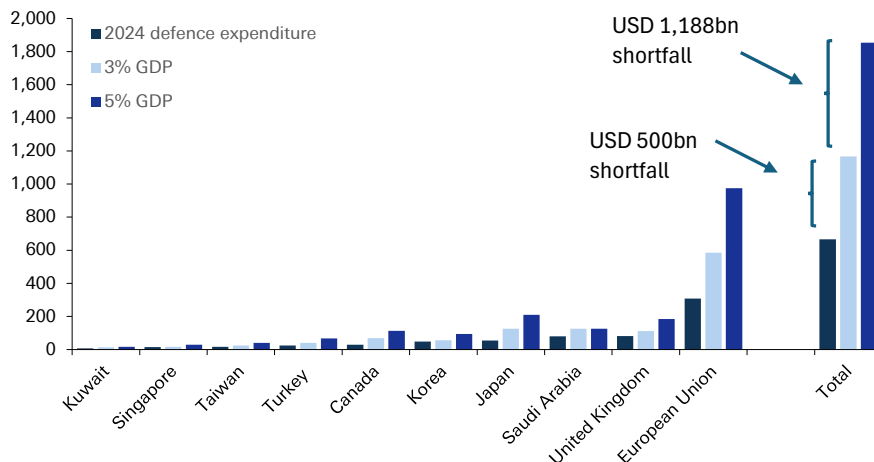


Quantifying the impact

This analysis has suggested that rising defence spending will reduce global savings and compress global imbalances. Because the US deficit is the counter-point to savings in Europe, East Asia and the Middle East, recycling of private savings into the US is likely to diminish, putting pressure on the dollar. In the short term, increased US defence exports may compensate somewhat, but these are unlikely in the medium term to fill the gap.

Can we quantify the impact on USD? Future defence needs are subject to a huge amount of uncertainty but for the sake of simplicity we identify 'defence gaps' among a sub-set of economies where pressure to raise defence spending may be most acute. The first defence gap is based on a hypothetical 3% GDP defence spending target, the second a 5% target. We calculate this based on 2024 GDP in current prices, and compare it to updated defence spending from the SIPRI database for the same year. The results are striking. Under the 3% 'gap', the shortfall amounts to USD 500bn and under the 5% 'gap', the shortfall amounts to USD 1.2 trillion. By way of comparison, the 2024 US current account deficit amounted to USD 1.185 trillion. Of course, this is a highly partial equilibrium analysis, ignoring other aspects of supply and demand for global savings. But at a minimum, it suggests that the effect of increased defence spending on savings rates and current accounts will not be trivial.

Figure 13: Quantifying the defence gap - the additional spending is not trivial



Source : Deutsche Bank, IMF, SIPRI database

Conclusions

This report has focused on providing a framework for how increased global defence spending - a trend likely to be accelerated by the current conflict in the Middle East - will act upon global macro, focusing on savings rates and global imbalances.

We have concentrated on only one sector where investment is likely to rise among US allies over coming years. As noted at the start of this piece, other sectors where investment is likely to rise is energy infrastructure and technology. Our colleagues have focused on other areas in which the furling of the US security umbrella could have major ramifications, for example by reducing incentives to spend dollars in



energy markets or accelerating the transition towards new energy sources.¹¹ When dovetailing with defence spending, the investment in strategic autonomy in these areas will act as another powerful force depressing global imbalances. And even within the defence sector, there are other implications we have not explored, such as the currency invoicing of trade and the multipliers of defence spending. This will provide fruitful ground for further research.

11 Mallika Sachdeva, "[What Iran means for the dollar: a perfect storm for the petrodollar.](#)"



Appendix 1

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Sizing Up GLP-1 Impacts: Survey Shows Durable Shift in Pharma, Diets, and Dining

May 11, 2026

We recently conducted our 2026 survey of current and former GLP-1 weight-loss medication users and the results are clear: GLP-1 adoption is shifting long-term behaviors affecting pharmaceuticals, food and beverage companies, and restaurants.

These themes were already indicated in our initial [2024 survey](#) of GLP-1s, but today's results are even more striking. Now several years into GLP-1 usage, the survey shows sustained changes in dietary and restaurant behavior that stick even after patients have stopped taking GLP-1s. Following the recent introduction of oral pill versions of GLP-1 medications, the survey showed there is strong interest in orals, largely due to the convenience they offer. However, it also shows there are limits related to affordability and long-term commitment.

The takeaway is that, for pharma, there is a plausible pathway for new oral GLP1s to accelerate market penetration over the coming years. Long-run market expansion is likely, although questions remain about how much consumers will be prepared to pay for orals and how long they will stick with them. Meanwhile, regarding food and beverages, consumers are shifting away from large portions and snacking towards protein-forward, functional, and nutrient-dense choices.

For restaurants, the survey points to declines in the number of times people dine outside the home, partially offset by higher spending each time they eat out. Unsurprisingly, brands with differentiated, healthier offerings or more occasion-based demand are likely to be more competitive.

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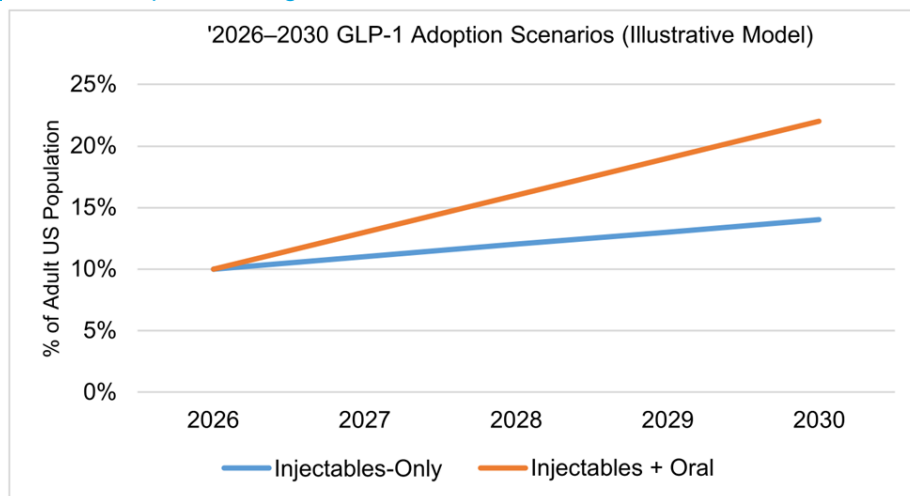
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Figure 1: GLP-1 adoption represents a durable reallocation of consumer demand, in our view; behaviors likely to broaden under accelerated oral GLP-1 adoption through 2030



Source: Deutsche Bank Research

Implications for US and European Pharma

The survey points toward a sustainable promise of oral GLP-1s, but also a cost ceiling, a durability problem, and potential for better risk-benefit to be disruptive. The picture it portrays is of a highly cost-sensitive user base that (still) clearly prefers orals and struggles with adherence to therapy, while mostly intending to return to it at some point and clearly not viewing diet and exercise as a viable alternative.

What that implies for the market outlook is somewhat uncertain: with the up-front caveat that this survey addresses only those trying GLP-1 within the past year and hence perhaps not the key demographic from a market-growth-outlook perspective (i.e., those that have never tried it), for the existing installed user base it implies some risk of injectable cannibalization (though we note this is not particularly apparent yet in prescription data) and also some risk that volume demand may plateau without further price degradation (a minor negative, in our view). However, it also implies that a return to therapy is likely to be high, and improved safety profiles plus oral convenience could help to build out the market opportunity over time. It also suggests the amylin class could help optimize risk-benefit and thus help address the persistent durability problem.

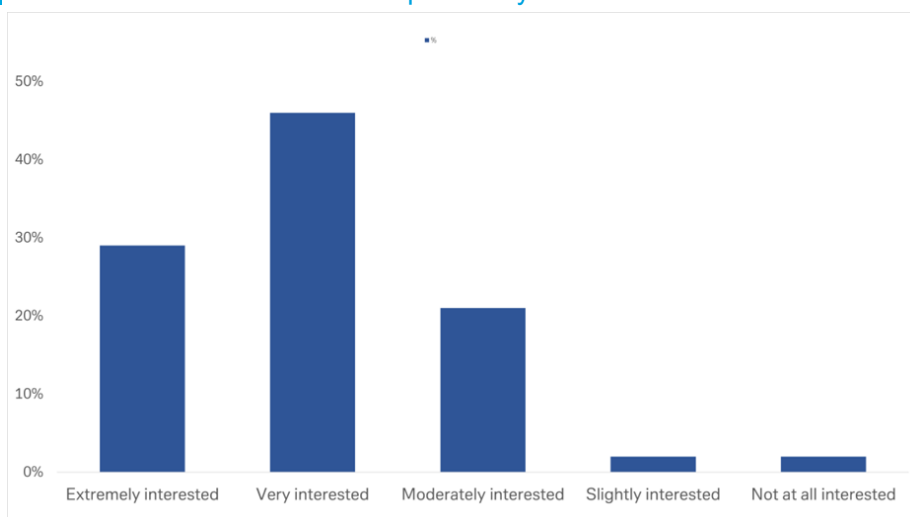
As with our last survey, there was a bias to Ozempic as a preferred brand with a fairly even distribution between Wegovy, Zepbound, and Mounjaro beyond that. Interestingly, the main consequence of increasing use of GLP-1 therapeutics to manage weight loss appears to be a reduction in diet/exercise approaches to helping manage weight loss (rather than the reverse). Beyond that, consistency of adherence appeared static with our last survey (about 70% within a 12-month window), whilst duration of therapy also appeared relatively stable at a mean of 6-9 months. This is despite most patients not being at their target weight loss/implied BMI (current average about 30 versus average target closer to about



25) and many continuing to experience a frequent (20%) rate of GI toxicity of some kind.

Payor coverage did appear to have slightly improved (to about 40%), with most patients still paying up to \$200 per month out of pocket, but interestingly willingness to self-pay has declined to less than half of patients (with most unwilling to pay more than \$200 per month in that scenario). Almost half continue to access therapy via retail pharmacies, with only a modest increase in online channel use. On therapeutic options, interest in oral formulations was very high at about 2/3 (and 80% in younger age groups), with 50% expressing clear preference for orals over injectables all else equal. Interestingly, the greatest sensitivity on the question of switch intent related to cost, with early experience pointing toward a double-digit percentage lower cost for orals versus injectables and most citing this as sufficient to drive switching behavior.

Figure 2: Oral GLP-1 medications are becoming available. With this in mind, please indicate your level of interest in starting to use an oral form should it become an available option for you.



Source: dbDIG Primary Research

The most common reason provided for discontinuation among the approximately 30% who stopped therapy within the past year was cost, though side effects were a close second, and a variety of other reasons followed closely behind. Only about 20% of patients who had discontinued treatment cited "reaching weight loss goal" as the reason. In this subgroup, the advent of oral options also seemed to strike a particular chord (75% extremely or very interested versus 64% in the earlier group of patients still on therapy).

Implications for US and European Consumer Staples

What stood out in our 2026 data compared to our 2024 survey is that GLP-1 adoption is here to stay, with an enduring influence on consumer behavior. The introduction of the oral version of GLP-1s will only reinforce these trends. For packaged food and select beverage categories, the growing prevalence of GLP-1 usage represents a sustained structural pressure that operates through lower



portion sizes, reduced frequency, and selective category substitution rather than outright elimination of consumption.

While many companies have begun to pivot their portfolios in response—introducing protein-fortified snacks, functional beverages, and smaller portion formats—we question whether these innovations can fully offset the net impact of structurally lower intake and frequency. The survey data suggest that many of these shifts improve portfolio relevance and defend share, but do not fully restore lost volume, particularly in indulgent, frequency-dependent categories.

The survey data suggest that protein formats primarily benefit from share reallocation within smaller meals rather than incremental meal creation. Moreover, with traditional categories also chasing protein, we would argue that protein itself is becoming increasingly mainstreamed across everyday food products, diluting the relative advantage of specialized nutrition SKUs and capping category-level growth. Elevated competitive intensity and rising A&P needs increase the risk that theoretical demand alignment does not fully translate into a bigger bottom line.

Outside of performance nutrition, fresh and clean-label portfolios benefit from broader, yet seemingly durable “eat better” behavior rather than calorie avoidance. Survey responses show consistently higher relative consumption of fresh and minimally processed foods during GLP-1 usage, though absolute consumption gains appear incremental rather than transformative.

Flavor-centric and ingredient-led categories appear structurally more resilient than volume-dependent staples. Conversely, sugar-dense, portion-dependent categories face persistent headwinds. Energy drinks, though, stand out as one of the few categories showing net consumption stability or increases among active GLP-1 users. Water and hydration also tend to see benefits, with coffee and tea more neutral.

Overall, GLP-1 adoption increasingly favors goods aligned with satiety, functionality, and quality over calories, but the survey underscores that alignment alone is insufficient. Company-specific execution, competitive position, reinvestment discipline, and cost structure remain decisive in determining whether theoretical portfolio alignment translates into realized financial outcomes.

From a European Food and HPC perspective, our 2026 survey reinforces the view that GLP-1s represent a persistent but comparatively modest influence on consumer demand, rather than a step-change in consumption behavior. In our view, GLP-1 also cannibalizes other forms of weight loss to some degree (though is likely to be more effective and lasting) and as such the net calorie drag per annum that many have worried about seems to be less than feared. It is fair to note though that rolling 12m US Nielsen aggregate “Food” volumes are running down about 1% year-over-year currently and the pace is accelerating. It’s difficult to disaggregate GLP-1 from macro, demographic, SNAP and immigration factors, however, its unlikely to be a non-zero impact.

Importantly, the 2026 cohort appears to have entered GLP-1 usage with healthier baseline habits than in 2023, resulting in a smaller incremental behavioral shift once on medication. In several categories, the change from “before” to “during” GLP-1 usage is less pronounced than previously observed, suggesting an



element of normalization rather than acceleration. That doesn't make the GLP-1 effect itself less valid in its net effect, just that it may not all be related to actual GLP-1 usage. We have also previously noted that the US has also gone through waves of weight loss previously, it's not linear and as such GLP-1 usage increased at a likely time of one of these waves persisting post COVID anyway and we have previously seen a pivot to categories like dairy during non-GLP-1 weight loss.

While some behavioral persistence is evident post-discontinuation, the data do not point to a broad-based collapse in category participation. In fact, select traditionally "indulgent" categories show stabilization—or modest re-engagement—among former users, complicating a simple winners/laggards framework. At an aggregate level, the data are also consistent with lower intensity rather than outright avoidance, implying moderation rather than displacement and an opportunity for companies to tailor their suite of SKUs to mitigate or indeed benefit. As of yet we have seen limited impact on demand for household and personal care categories; thus far, consumer health companies have seen a surprisingly limited number of innovations that support GLP-1 usage.

For our European Beverages coverage we view GLP-1 as a headwind to consumption overall but see some of the survey responses as providing conflicting data points to this potential risk. We view GLP-1 as one of a number of threats to beverage alcohol consumption including 'health', younger consumers, cannabis and, for spirits, smaller players and ready-to-drink. Companies with a higher exposure to the US and those geographies where GLP-1 is coming off patent in the near future (Canada, India, China, Brazil) likely present the greatest risk with beverage alcohol more 'at risk' than soft drinks.

The impact on nicotine consumption is not specifically covered in the survey results. We do recognize that there is growing body of scientific evidence to support the role GLP-1s may play in tackling smoking addiction, but efficacy varies by the specific drug used. The observational data also point to increased effectiveness in reducing nicotine consumption (cigarettes and vapes) although these studies remain relatively small in scale. The industry has long dealt with declining volumes, and so we see GLP-1's as another contributor to the volume contraction but one which, on current evidence, does not represent an existential threat to the industry.

We would also posit the view that the motivation for smoking cessation is typically health related. Increasingly, the industry is able to offer consumers a broad range of smoking alternatives via Next generation products, which significantly improve the health outcomes, compared with smoking.



Figure 3: Categories emerging as relative beneficiaries with the increasing use of weight loss medication

	Category	Description/Details
Relatively Advantaged Categories	Protein shakes and bars	Protein shakes and bars are clear winners. In 2026, 72% of current GLP-1 users consume more than before, up from 64% in 2023, reinforcing protein formats as efficient meal substitutes rather than incremental calories
	Fresh meat and fish	Fresh meat and fish benefit from satiety-led substitution. In 2026, 59% of current users report eating more than pre-medication, up from 45% in 2023, supporting increased prioritization of whole, minimally processed protein sources.
	Fresh produce	Fresh fruits and vegetables remain durable beneficiaries. In 2026, 73% of current GLP-1 users report eating more produce, similar to 2023, indicating sustained "eat better" behavior despite overall moderation in total food intake
	Nuts	Nuts show low downside and solid upside. In 2026, 56% of current users report eating more nuts than before, positioning the category as a functional, nutrient-dense snack aligned with satiety rather than indulgence.
	Condiments, sauces, and spices	Condiments are resilient but not growth-oriented. In 2026, "a lot less" consumption is only 12% while "neither more nor less" rises to 57%, suggesting stability as flavor intensity per bite matters in smaller meals. size.
	Energy drinks	Energy drinks stand out within beverages. In 2026, 47% of current users report drinking more than before, while only 33% report drinking less, supporting functional, zero-sugar positioning over indulgent beverage formats.

Source: Deutsche Bank Research

Figure 4: Categories impaired by GLP-1 usage but more resilient, especially with adaptation to remain competitive

	Category	Description/Details
Mixed / Execution- Dependent Categories	Packaged and frozen meals	Frozen and refrigerated meals sit at the execution frontier of GLP-1 impact: neutrality remains the modal outcome, with incremental—not structural—pressure, hinging on portion control, protein density, and clearer health cues
	Canned foods and traditional pantry staples	Pantry staples are neutral-to-slightly pressured, not broken: consumption skews toward "same or less," with limited upside absent reformulation, protein enrichment, freshness cues, and improved portion transparency
	Coffee	Coffee is compositionally resilient rather than volume-challenged: core consumption holds steady, while sugar- and syrup-heavy formats decline—shifting pressure to sweetened customization, not coffee occasions themselves
	Tea	Tea is one of the most resilient categories in the dataset: high neutrality, minimal cutbacks, and muted intent-to-reduce reinforce its role as a low-calorie, habitual utility beverage insulated from GLP-1 moderation dynamics

Source: Deutsche Bank Research



Figure 5: Categories that are more adversely impacted by the use of weight loss medication

	Category	Description/Details
More At-Risk Categories	Chocolate and candy	Chocolate and candy face the clearest structural pressure. Roughly half of current GLP-1 users consume less in 2026, and most former users fail to rebound, confirming sustained demand erosion in calorie-dense indulgence
	Cookies and biscuits	Cookies and biscuits remain highly exposed. One-third of current users report eating "a lot less" in 2026, while ~75% of former users continue to eat less or stop entirely, reflecting vulnerability of habitual, low-satiety snacks
	Ice cream	Ice cream participation is persistently impaired. About 70% of current users report same or lower consumption, and a similar share of former users continue to eat less or none, signaling weak post-GLP-1 recovery
	Salty snacks	Traditional salty snacks face uneven but meaningful pressure. Chips consumption declines, with "a lot less" rising to 17% in 2026; pretzels show limited rebound, reinforcing structural headwinds for refined-grain snack formats
	Cereals and refined pantry staples	Cereals show elevated "eat less" signals during GLP-1 usage and weak normalization afterward. Their association with refined carbohydrates and low satiety leaves cereals structurally disadvantaged versus protein-dense alternatives
	Alcohol (Beer, Wine, Spirits and RTD cocktails)	Alcohol faces moderate but notable headwinds. Participation declines materially (spirits, beer, wine), yet "drink more" exceeds "drink less" during treatment, suggesting reduced frequency rather than category exit and a nuanced, uneven risk profile

Source: Deutsche Bank Research

Implications for Restaurants

The increasing penetration of GLP-1 weight loss drugs is intuitively a headwind for total restaurant spend, and our survey results are in line with this thinking. Despite the fact that many users eventually stop taking GLP-1s, they continue to show sustained changes in behaviors. Our survey results indicate that former GLP-1 users do not meaningfully return to full-service restaurants after taking the medication, though some return to fast food and coffee shops at a rate above current GLP-1 users, and in reality, we believe restaurant trends rebound more than our survey suggests. This is based on anecdotal commentary and behaviors seen in other categories. The read-through on individual frequency was more positive, with current GLP-1 users reporting an increase in visits to full-service restaurants, and a modest decline in visits to fast food, coffee shops, and takeout relative to pre-GLP-1 levels. Moreover, average spending on meals per visit was higher than baseline, suggesting a more tempered impact on sales compared to traffic.

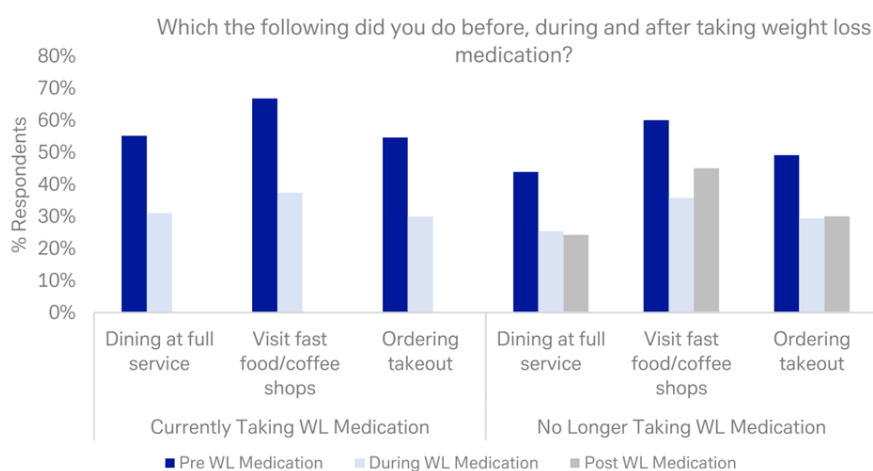
Restaurants have started to address behavioral shifts by offering smaller portion sizes, protein-forward options and functional beverages. We believe these innovations can help more effectively sustain participation in the restaurant industry; brands that are differentiated, screen healthy, and are more occasion based are relatively best positioned to be competitive.

It is clear that overall food consumption decreases when consumers are on GLP-1 medications, though the implications once consumers transition off are less clear. Based on our survey, 35% consumers report eating more on GLP-1 medications, 24% eat about the same, and 41% report eating less, for a net 6% eating less. When consumers were asked about current eating habits relative to pre-GLP-1 medication, among those currently taking GLP-1s, a net 10% reported eating less compared to pre-medication (38% more, 48% less). Notably, among consumers that are no longer taking GLP-1s, when compared to prior behaviors, a net 20% indicated they are actually eating more (45% more, 24% less), suggesting former users revert toward prior aggregate consumption levels.



That said, there is still a change in how consumers eat, most notably an increase in cooking. Based on our survey, among consumers currently taking GLP-1s, a net 54% of consumers are cooking more at home. Cooking usage also remains elevated among consumers no longer taking GLP-1s, with a net 47% of consumers cooking more at home than before medication.

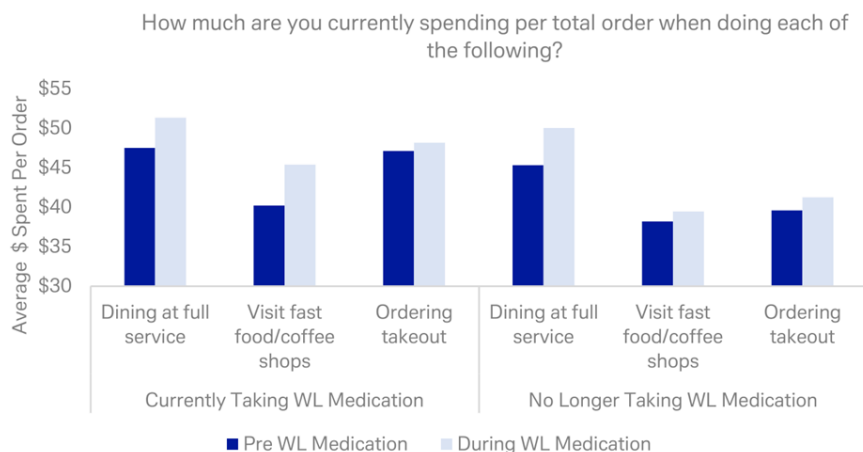
Figure 6: Our survey shows a meaningful and broad-based decline in restaurant usage when consumers take GLP-1s. Among current GLP-1 users, the percentage of respondents that visit restaurants drops by 25-30pp versus pre-weight loss behavior. Among former GLP-1 users, the percentage of respondents that visited restaurants while taking these medications versus prior behavior decreases at a relatively similar 20-25pp.



Source: dbDIG, Deutsche Bank Research

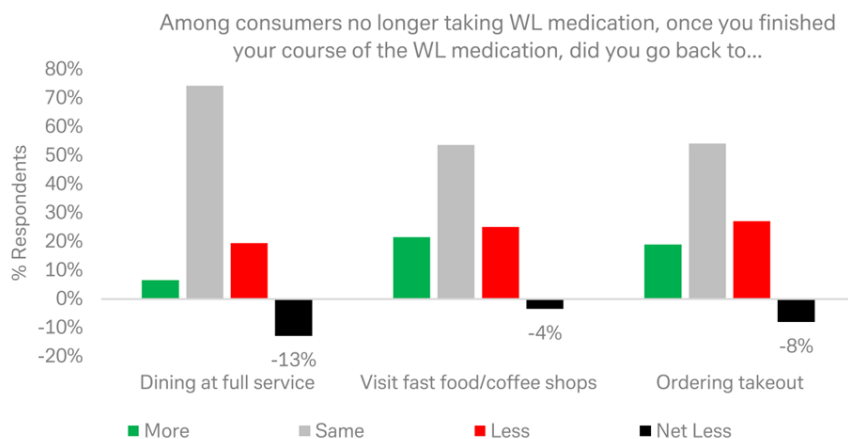


Figure 7: Among GLP-1 users that regularly visit restaurants, average spend per month did not take much of a hit, noting both current and former GLP-1 users report higher average spend per visit for full service, fast food/coffee shops and takeout. It is unclear whether the higher average spend per visit is a reflection of perceptions around higher prices or consumers ordering more/trading up.



Source: dbDIG, Deutsche Bank Research

Figure 8: Individual consumption for former GLP-1 users that are still eating at restaurants seems reasonably resilient (or at least manageable). On a net basis, 13% of consumers said they were dining less at full service compared to pre-GLP-1 behaviors, 4% said they were visiting fast food/coffee shops less, and 8% said they were ordering takeout less.



Source: dbDIG, Deutsche Bank Research



The Bottom Line: A Lot to Digest

Our survey implies that GLP-1s are starting to look less like a therapeutics cycle and more like an enabling platform. It is reshaping how consumers manage weight, what they eat and drink, and whether and how they choose to dine out. For pharma, orals offer an expanded market, offset to an extent by affordability and other constraints. For consumer staples and restaurants, brands that can focus on health-forward innovations will remain more competitive in this new environment.

Research Methodology

This study focuses on both current and past GLP-1 users, with demographic data collected via a dedicated set of questions in our US monthly survey. Compared to the 2023 wave, several demographic shifts were observed:

Gender: The user base is becoming more gender-balanced, with male GLP-1 users increasing from 40% to 45%.

Income: While the overall income distribution remained stable, there was a marginal increase in GLP-1 users within Income Tier 1 (households with an income up to \$25,000).

Overall, the survey was conducted through dbDIG from March 20-30, 2026, with 550 respondents. We would like to thank Anthony Chaimowitz for his significant contribution to the survey and this report.



Appendix 1

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The long road: Quantifying Europe's exposure to transport disruption

May 8, 2026

Heightened geopolitical risk in the Middle East has placed European transport networks under intense scrutiny, with a particular focus on the supply of jet fuel given the high share of the Gulf in the global supply of kerosene.

For the supply side of the European economy and overall input availability, the risk from a shortage of jet fuel is relatively small. The dominant fuel dependency for goods production is on diesel and electricity, reflecting the four-fifths share of input costs taken by land transport (road and rail).

The true vulnerability to a shortage of jet fuel lies squarely with the tourism sector. Our simulation shows a 10% drop in tourism flows would have a moderate impact on the Euro Area, on average (-0.2% of GDP), but a more significant impact on countries like Croatia (-1.5%), Greece, and Portugal (-0.7%).

Beyond the specific risk to jet fuel, a wider disruption to the global supply of transport would expose a more fundamental European vulnerability: the physical length of supply chains. To measure this vulnerability, we introduce a “physical distance travelled” metric, reflecting how far inputs travel for every industry. It reveals two critical points:

- A clear geographic divide: The economies with the longest supply chains are generally located in Southern Europe. Lacking deep integration with Europe's industrial core their value chains are inherently more global and reliant on long-distance sourcing. This exposure to transport frictions could create a vulnerability for some of the zone's high-debt member states. These countries are also those we previously found to have the highest energy import bill sensitivities.
- A dual "hidden" risk: From a sector perspective, the most-exposed sectors besides tourism are capital goods (electronics, air/spacecraft, machinery) and materials manufacturing (metals, refineries), whose supply chains stretch nearly 5,000 km, on average. Crucially, these are the same value chains we [previously identified](#) as having high "hidden" energy content, indicating a dual vulnerability to both transport shocks and embedded energy costs.

What does this mean for the ECB? Our baseline view is a 'measured' tightening with 50bp of hikes to 2.50%, the upper end of the range of neutral. With the labour market cooling, financial conditions tightening and this threat of fuel shortages, the growth outlook is not robust enough to think the ECB hikes much beyond 2.50%. The challenge for the ECB could be fragmentation if fuel shortages have a differential impact on member states.

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Concerns shifting from energy to transport. Aviation of particular concern. As we highlighted in a recent [note](#), Europe's economic exposure to the Gulf conflict is twofold, and is more complex than the singular energy shock of the Russia-Ukraine war. Risks of direct shortages in energy and key materials like petrochemicals or mineral fuels are now coupled with a more complex threat: second-order disruptions to global value chains.

Transport disruption is one of the most significant vectors of transmission for both these risks. As an input at every stage of production, the transport sector's resilience is once again at the forefront amid reports of looming [fuel shortages and logistical bottlenecks](#). In all this, jet fuel is of particular concern, as shown by recent statements by the Head of the International Energy Agency on April 16 that Europe has "[maybe six weeks of jet fuel left](#)", and our own [calculations](#) that the share of Gulf countries as a source for EU imports of kerosene reaches 56%.

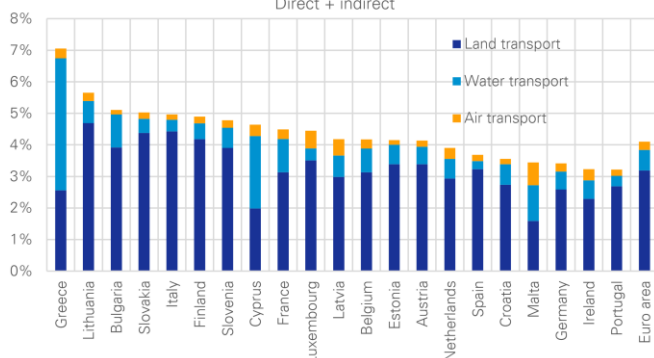
As our transportation sector specialists explain, the market is already under pressure. Jet fuel prices have doubled, and while replacement barrels from the US and Africa have helped Europe plug the gap for now, this fragile balance is unlikely to survive the summer demand surge. Airlines are already cancelling unprofitable flights and face difficult trade-offs between raising prices and eroding consumer confidence.

In this article, we think about the European economy's exposure to potential global transport disruption – in particular jet fuel – from two complementary perspectives. First, from a supply or production perspective, we look at the role of various forms of transport in European supply chains, including air transport, while introducing a distance metric reflecting how far European inputs travel and are exposed to transport disruptions. Second, from a demand or income perspective, we look at the exposure of European economies to tourism and in turn tourism's exposure to air travel.

How much transport in value chains? 3-5% of inputs, of which little air transport.
A traditional way to assess transport dependency is to measure its overall share in inputs along the value chain.

Figure 1: Cost share of transport services in Euro area input purchases, dominated by land. Air is tiny

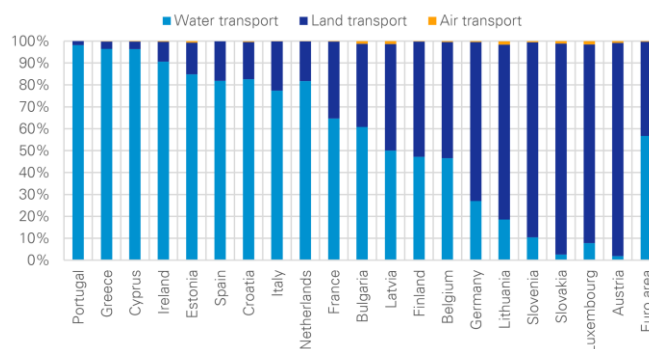
Euro area countries - Share of transport services in overall input costs - Direct + indirect



Source: Deutsche Bank Research, OECD ICIO. The figures include the absorption of all transport services at every stage of production, including that required to move inputs between two foreign suppliers (ie indirect absorption).

Figure 2: By physical weight, maritime shipping dominates freight transport

Euro area - Freight transport volume - By mode of transport



Source: Deutsche Bank Research, Eurostat (tran_hv_ms_frmod). The unit used for measuring the freight transport shares is the tonne-kilometre (tkm). One tonne-kilometre represents the movement of one tonne over a distance of one kilometre.



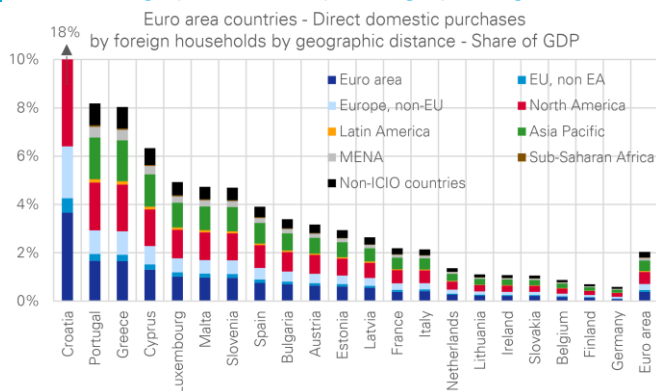
Our calculations, using a methodology [popularized by the OECD](#), suggest transport services account for 3-5% of total input purchases across the Euro area (Figure 1), with some notable outliers like Greece at 7%. Among the Big4, the role of transport is more pronounced in Italy and France (4.5-5%), less so in Germany and Spain (3-4%).

Land transport constitutes the bulk of this transport cost – approximately four-fifths. The share of water transport is significantly smaller, except for trade-reliant coastal nations like Greece, Malta, and Cyprus. Importantly, air transport represents only a minor share overall.

Implications for fuel usage. The dominance of land transport (i.e., road and rail) in the cost structure implies that the most significant fuel availability risk in the supply of goods and services comes from disruptions to diesel and electricity, not jet fuel. Given air freight's minimal share in both costs and physical volume of freight (as confirmed by both our analysis and Eurostat data in Figure 2), even a severe, un-substitutable 10% shortage of jet fuel may not cause much disruption to the flow of inputs and economic production in Europe.

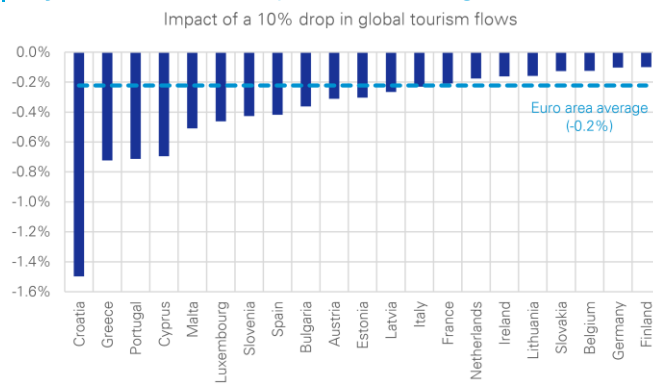
Tourism: a distinct, service-based vulnerability. The above numbers, focusing on freight and input purchases, do not capture the broader issue of the tourism economy: tourism involves moving individuals – not freight – and air transport is not counted as a formal input to the hotels, restaurants, and cultural activities that constitute the tourism economy (i.e., hospitality, recreation), but generally as a purchase by households.

Figure 3: The high share of long-distance travellers in direct foreign purchases (spending by foreign tourists)



Source: Deutsche Bank Research; OECD ICIO.

Figure 4: Tourism is where the Euro area's vulnerability to jet fuel and air transport becomes significant



Source: Deutsche Bank Research, OECD ICIO. The simulation focusses on the impact of spending by foreign tourists, and does not capture domestic tourism. As such, the numbers differ from the estimates of the sector's footprint published by Eurostat

In Figure 3, we calculate the share of GDP driven by direct purchases by foreigners (spending by foreign tourists). The result, unsurprisingly, is that the nations of Southern Europe are much more exposed, on average, but all nations in Europe derive income from a demand perspective from far-away visitors. We estimate that about three quarters of that spending is made by foreigners having travelled more than 2,000 km (50% of the spending by travellers more than 5,000 km away, often placing them on another continent).



A simulated 10% drop in global tourism flows reveals a manageable cost for the Euro Area, on average (a 0.2% hit to GDP – Figure 4). The impact is more pronounced in Croatia (GDP falling 1.5%), and Greece and Portugal (both seeing declines of 0.7%). On the Big4 countries, Spain would be faced with the most significant loss (0.4%), while France, Italy (0.2%) and Germany's (0.1%) exposures are more modest.

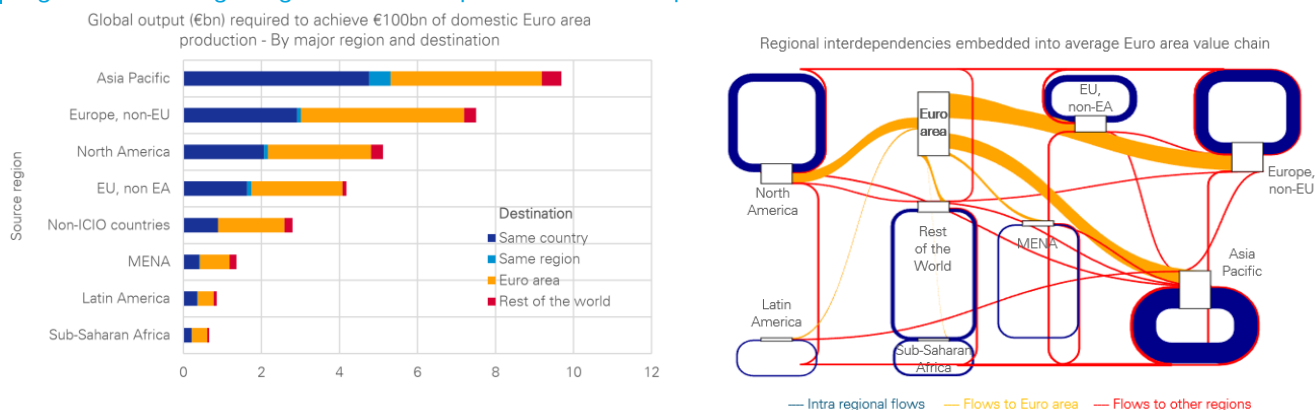
An important caveat to bear in mind: in cases of severe disruption of air travel, holidaymakers would likely travel more locally, which should reduce the size of a shock to the tourism industry. The overall impact will still depend on the size of the tourism sector relative to local demand.

Beyond jet fuel: Measuring exposures to transport friction. The focus on jet fuel, while critical for tourism, highlights a greater strategic risk: energy-driven transport disruptions may not stop at kerosene. A broader shock to transport fuels affecting diesel and maritime fuels would more certainly curtail the physical movement of goods. In such a scenario, what matters is not just the cost of transport, but a value chain's fundamental exposure to distance.

To assess this exposure, we introduce the “physical distance travelled” metric. This measure goes beyond a simple 'average import distance' to quantify the total physical journey embedded in the Euro Area's inputs to production, including domestic trade and all transactions that occur before a final good is imported. It reveals the true length – and vulnerability – of our supply chains. Deutsche Bank clients can access further details including the methodology on our [Deutsche Bank Research](#) client site.

Figure 5 illustrates the main input to the calculations. It shows the global transactions required to generate €100bn of production of an average good/service in the Euro Area, and where this output is directed. Both charts contain the same data, with the left-hand one showing how output is broken down (domestic consumption vs. exports), while the right-hand one illustrates the complex connections across regions to feed the Euro Area with inputs. The blue and red links represent the Euro Area's indirect exposure.

Figure 5: Picturing the global web of inputs for Euro area production



Source: Deutsche Bank Research, OECD ICIO. Note: our distance metric also includes the intra Euro area trade required in the value chain, not displayed in this chart.



We find a significant reliance on external partners, requiring approximately €10bn in output from the Asia-Pacific region alone. The charts also highlight the complexity of these value chains: a large portion of the Asian output is transacted and transformed internally (the blue segments) before being exported.

Tourism is clearly at risk, while the capital goods and materials value chains stand out on the goods-producing side. Southern Europe is more vulnerable, too.

The distance metric we calculate is simply the sum of the distances between the nodes in Figure 5 in kilometres, weighted by their values (it also includes intra euro area trade, not displayed in the chart). It shows that the longest, and, therefore, most transport-exposed, value chains in the Euro Area fall into three clear categories:

- First are tourism services, with most countries deriving a significant portion of revenue from travellers residing more than 5,000 km away (Figure 6).
- Second, Capital goods, where production is globally fragmented. Here, the computer and electronics sector stands out, with the average input traveling nearly 5,000 km, the longest of any European industry, after tourism. Other capital goods sectors like aircraft/railway equipment and electrical equipment (4,100 km) also exhibit noticeably long supply chains.
- The third category is materials manufacturing. Industries like non-ferrous metals (4,800 km), coke/refined petroleum (4,700 km), and iron/steel (4,000 km) all rely on sourcing raw materials from distant global locations. Notably, these are the same value chains we previously identified as having a high ["hidden energy"](#) imported content, indicating a dual vulnerability to both energy shocks and transport disruption.

Figure 6: Highest distance dependency for European tourism services, capital goods, and materials.

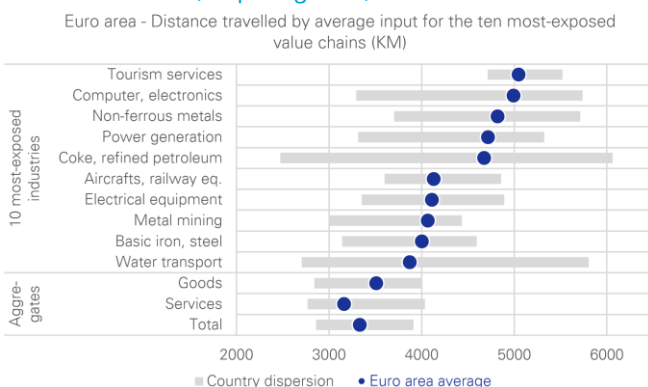
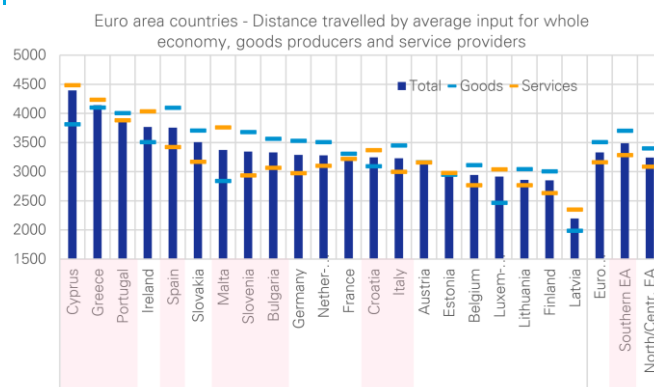


Figure 7: Longer distances in Southern European value chains



In terms of geographies, the simulations show that several Southern European countries have longer-than-average supply chains: a group including Cyprus, Greece, Portugal, and Spain are all positioned at the higher end of the spectrum (Figure 7). An average calculated for the nine Southern Euro area economies

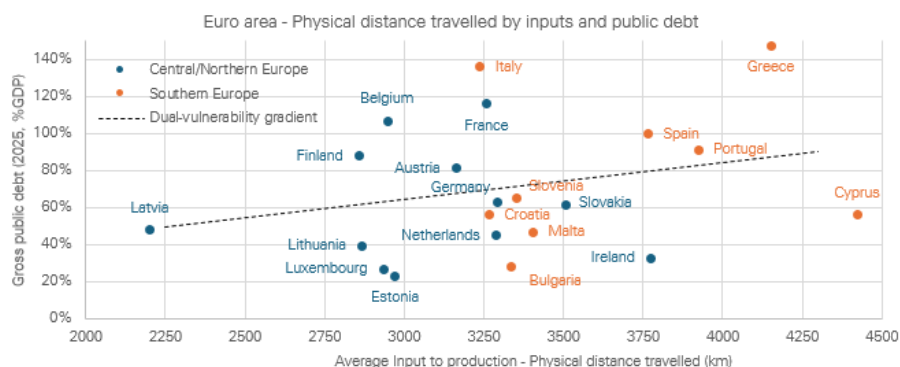


yields a kilometric distance of 3,490 km, a figure higher than the Euro Area average of 3,330 km. For goods producers within this southern bloc, the average distance is even longer, at 3,700 km.

The higher exposure to transport frictions could, therefore, create a vulnerability for some of the zone's high-debt member states (Figure 8). These countries are also those we previously found to have the highest energy import bill sensitivities.

Italy and Croatia are exceptions to this pattern, showing shorter supply chain distances more aligned with the industrial core of the Euro area, like Germany and France (3,200-3,300 km).

Figure 8: A vulnerability to transport disruptions for some of the highest-debt member States



Source: Deutsche Bank Research, OECD ICIO

What this means for the ECB: Measured tightening...at most

A negative supply shock pushes prices up and activity down. These opposing forces can neutralise the impact on monetary policy ('look through'). The ECB is nervous that the size and persistence of the upside inflation shock might need a tightening of monetary policy to ensure that inflation remains anchored at 2% in the medium term. However, the downside risks to growth are not irrelevant. The more significant the downside risks to growth, the less likely is a large or persistent inflation shock. Monetary policy needs to carefully weigh the inflation effects against the growth effects.

If Europe suffers from an outright shortage of transport fuels, then growth will undoubtedly weaken more than expected (assuming no substitutability of fuels or other sources of transport). Shortages could also push transport prices up even more, but only if firms believe demand can sustain even sharper price hikes, and this cannot be taken for granted – especially when the fiscal response to the crisis is limited and financial conditions are tightening.

In other words, if fuel supply shocks intensify to the point of outright shortages in Europe, it is not obvious that monetary policy would have to tighten even more than expected. It is even possible that monetary policy tightens less.



Our view is that the downside risks to growth are becoming more significant. One reason is the impact of the energy shock on supply chains. As discussed above, there are multiple aspects to this shock on supply chains.

First, we recently wrote about the hidden energy costs in Europe's imports, particular from Asia, a region where the risk of production disruptions from energy shortages is more acute.

Second, last year, we wrote about the high complexity (and low substitutability) of Europe's imports from Asia (China in particular). This increases the risk of an Asian shock compromising European supply chains.

Third, in this note, we offer a complementary perspective by showing the actual length ('physical distance travelled') of Europe's supply chains. The member states most at risk of an economic cost from a limited supply of transport fuels are those with longer supply chains. Generally speaking, they are also the ones with higher levels of public debt.

The bottom line is we see the net inflation/growth arguments favouring a measured ECB tightening at most. Our baseline is 50bp of hikes to 2.50%, with quarter point hikes in June and September. With the labour market cooling, financial conditions tightening and a threat of fuel shortages, the growth outlook is not robust enough to think the ECB hikes much beyond 2.50%. The challenge for the ECB could be fragmentation if fuel shortages have a differential impact on member states.



Appendix 1

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May 5, 2026

Q&A with Matthew Barnard

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As equity research adapts to rapid shifts in technology, markets and client behaviour, Matt Barnard, Head of US Equity Research, is helping steer how Deutsche Bank evolves its research offering. In this edition of our Q & A series, Matt shares his perspective on the new ways clients are consuming research, his outlook for US markets, and what it's like leading research teams through a period of significant change.

Q: You've spoken about the equity research landscape undergoing a fundamental shift. What has changed most in how clients discover, engage with and use research today?

AI is fundamentally changing how clients consume sell-side research. As information becomes more easily accessible through AI tools, the value of differentiated insights from trusted sources has moved higher up the value chain. Investors are increasingly using AI to discover new ideas and challenge consensus views more quickly and efficiently. This allows them to filter out noise and spend more time engaging in deeper, more meaningful conversations with our Deutsche Bank research analysts.

Q: Against a complex backdrop for US geopolitics and policy, how do you currently assess the outlook for US markets – and which themes matter most for clients as we move through 2026?

Geopolitical developments in the US and globally continue to be a significant driver of volatility across risk assets. Deutsche Bank research's macro and strategy teams have consistently taken bold, often counter-consensus views, which are especially valuable in this environment. While conflicts in the Middle East will likely continue to create ripple effects across markets, the underlying fundamentals for US equities remain relatively strong. The rapid acceleration of AI adoption – and the associated capital investment – remains a key thematic focus for clients, both in the US and globally.

Q: You now lead teams through a period of rapid change. What do you find most rewarding about working in research management at this point in the cycle?

At its core, the role of an equity research analyst is to form forward-looking views with imperfect information. The strongest analysts thrive in periods of uncertainty and rapid change, identifying emerging trends and uncovering new investment opportunities early. From a management perspective, the



Q&A with Matthew Barnard

most rewarding part of my role is seeing some of the brightest minds in research stay ahead of these shifts and deliver true alpha for our clients.



Q&A with Matthew Barnard



Q&A with Matthew Barnard

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Deutsche Bank
Research

The Great 2026 Reset...

May 2026

Jim Reid | Galina Pozdnyakova | Henry Allen | Rajsekhar Bhattacharyya

Deutsche Bank Research Institute

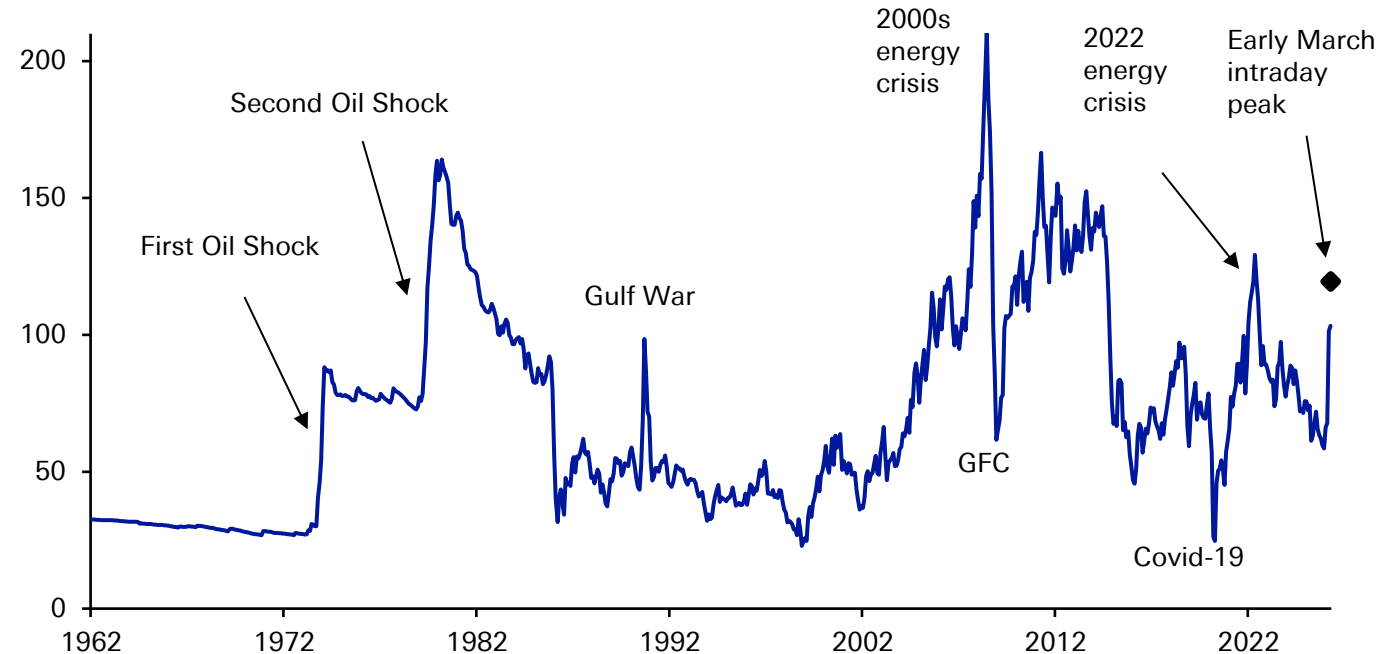
IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute



Today's oil shock is now becoming one of the bigger ones of recent decades... but despite the headlines, it's some way from being the most serious ever...

WTI Oil Prices in real terms (\$/bbl)

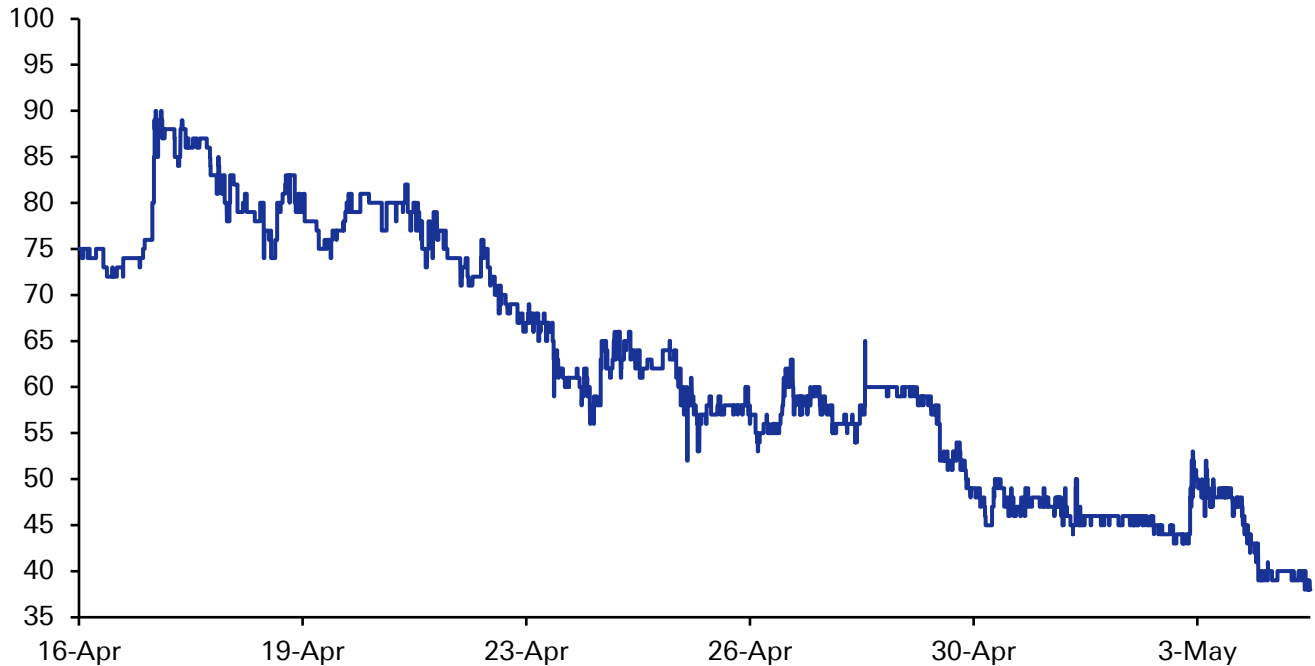


Source : Finaeon, Bloomberg Finance LP, Deutsche Bank.

Probability markets (and likely global investors) are becoming increasingly pessimistic about an imminent return to normality...



Polymarket probability (%) of the Strait of Hormuz traffic returning to normal by the end of June 2026.

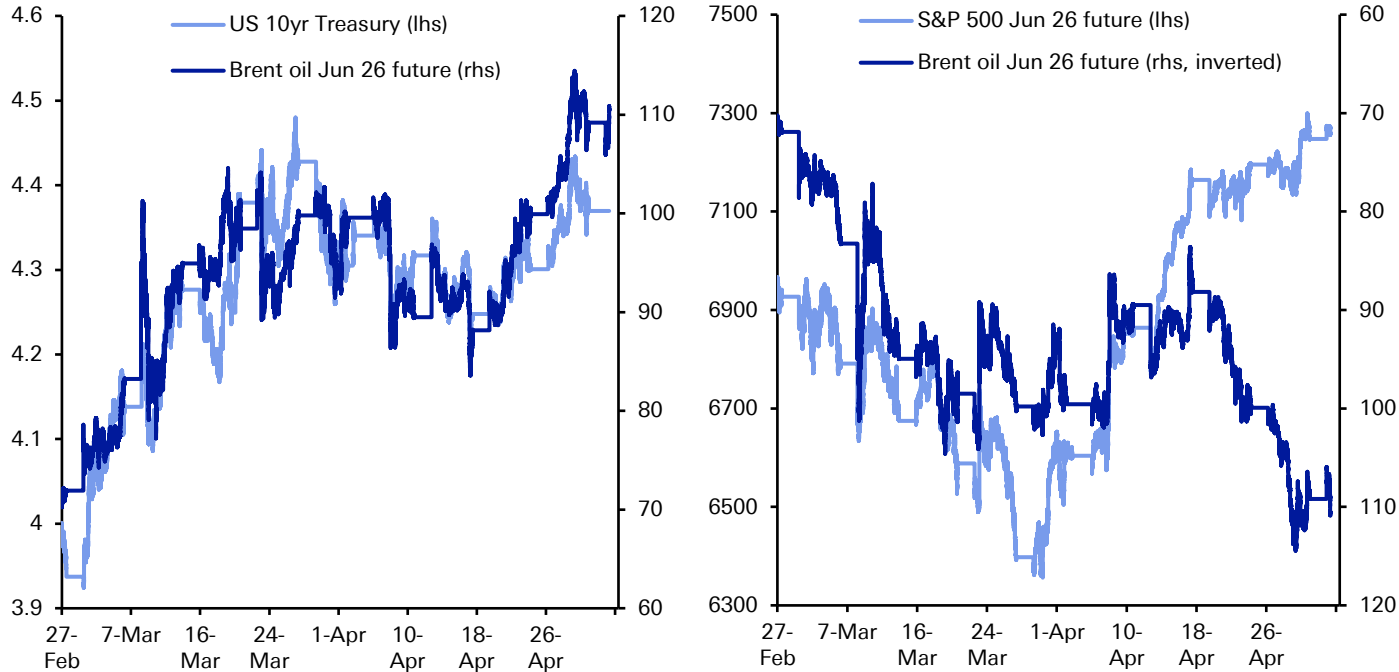


Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 5



However, there's been an interesting divergence between equities and rates... the 10yr Treasury is still trading in a tight correlation with oil. US equities have now seen a big decoupling...

Correlation between 10yr Treasury yields, S&P 500 futures, and Brent crude oil

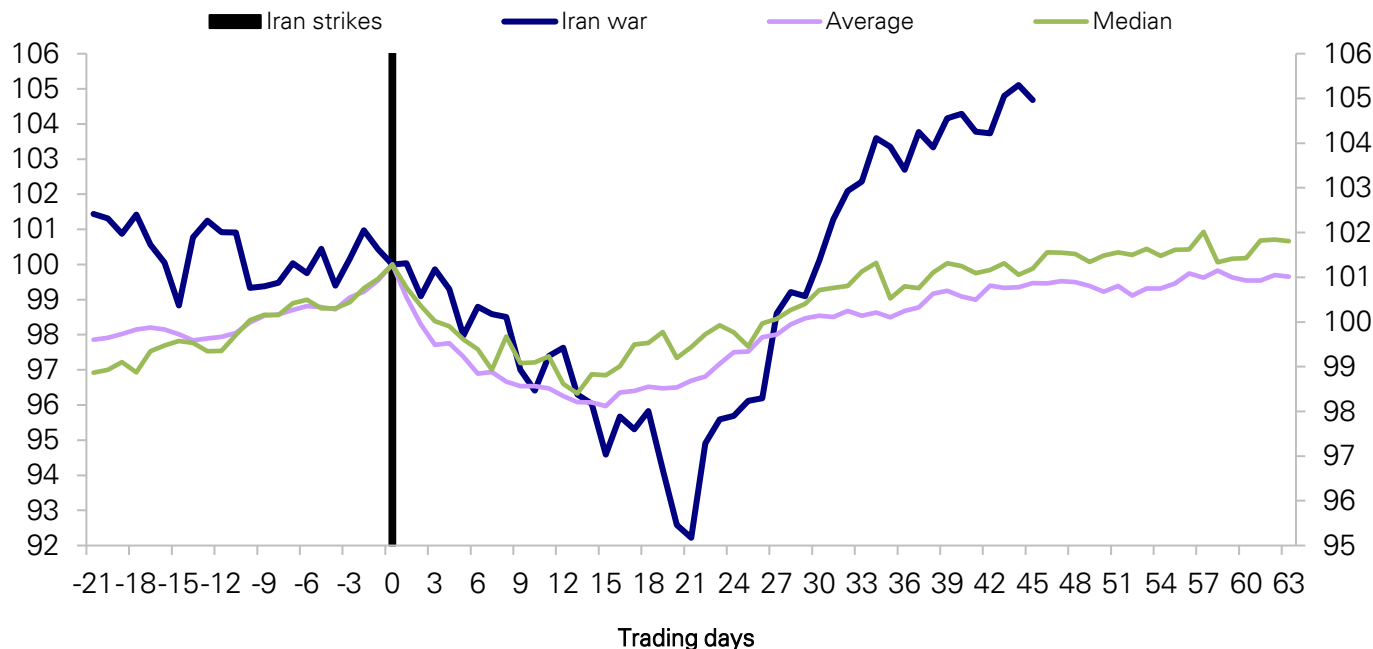


Source : Bloomberg Finance LP, Deutsche Bank.

... Indeed the historical playbook around geopolitical shocks and US stocks has (broadly) worked again...



S&P 500 around Geopolitical events since 1939



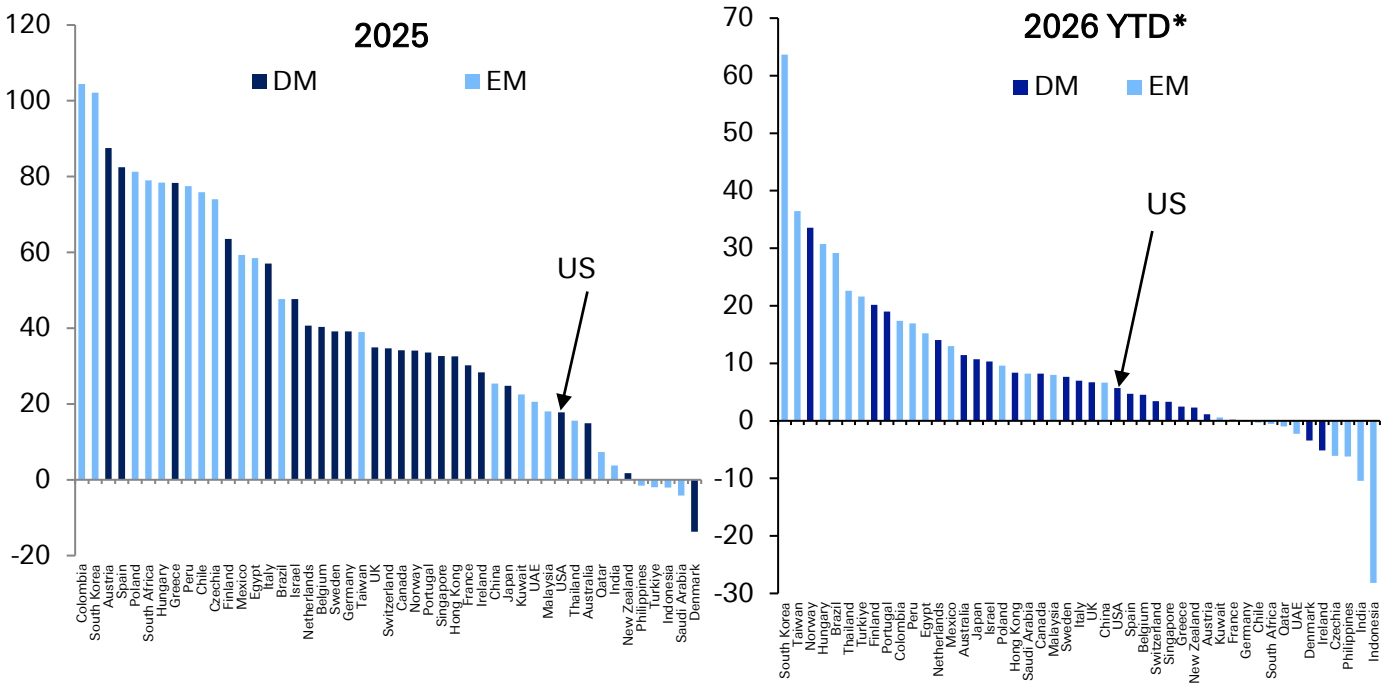
Median and Average calculated for events since 1939

Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 4



Even though the US equity market has rebounded strongly, it remains just below the middle of the global pack YTD 2026 even if it has risen up the leaderboard since the start of the war...

Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

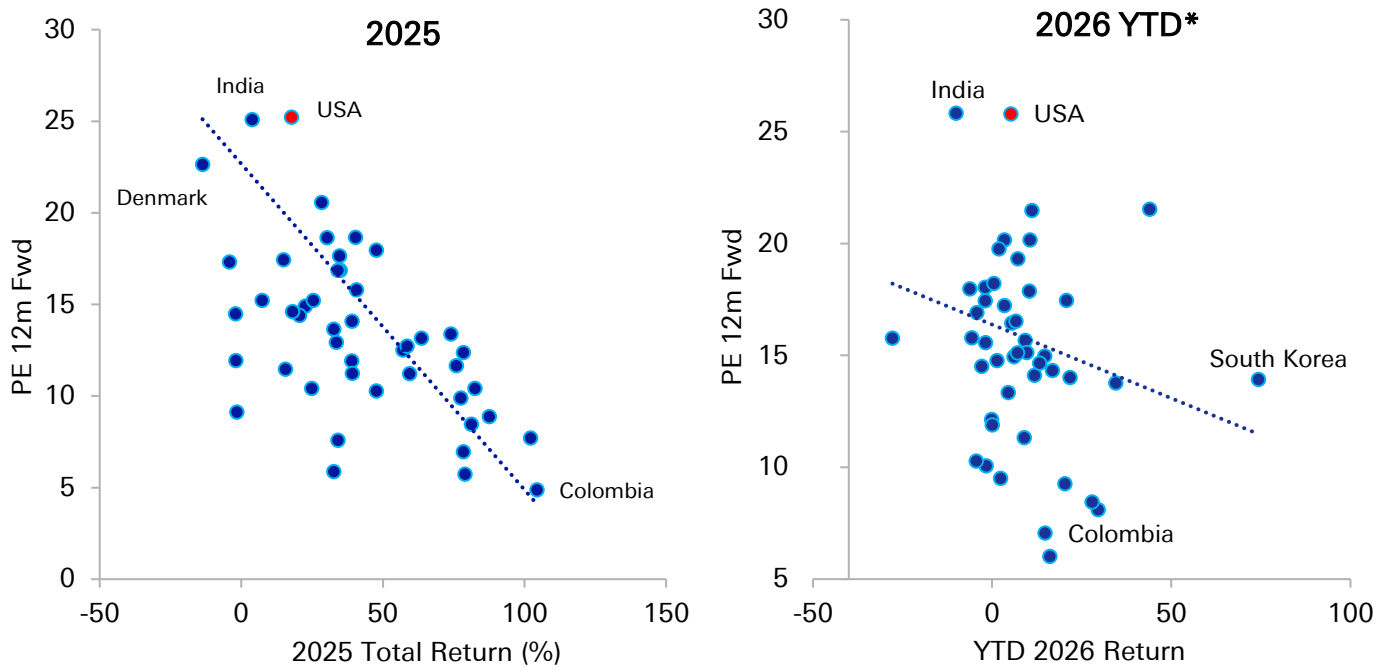


Source: Bloomberg Finance LP, Deutsche Bank, *Note: 2026 YTD is updated through May 1



2025 Global Equity returns saw a strong correlation to starting valuations. In 2026 there remains a slight bias that way but the war seems to have complicated returns a bit more...

Bloomberg large/mid-cap country stock market indices, 2025 total return in USD vs. 12m fwd PE estimates at the end of 2024 (left) & Bloomberg large/mid-cap country stock market indices, 2026 YTD return in USD vs. 12m fwd PE estimates at the start of 2026 (right)

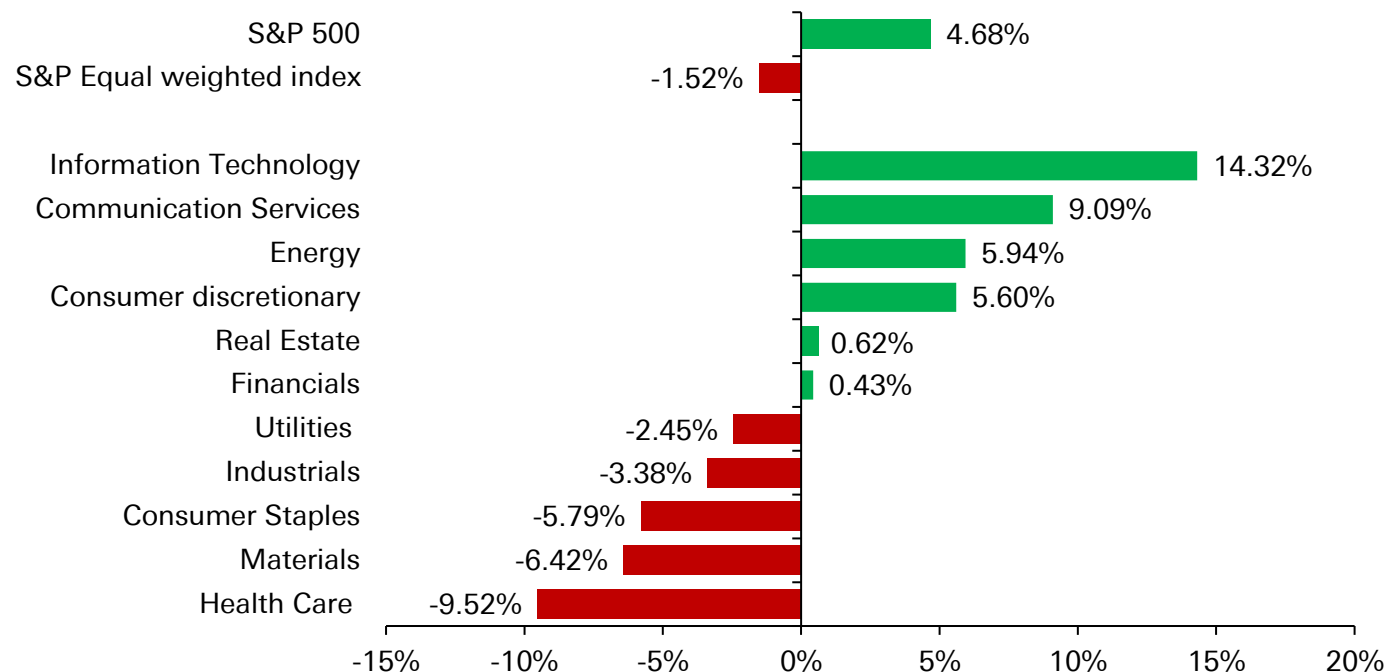


Source: Bloomberg Finance LP, Deutsche Bank *Note: 2026 YTD is updated through May 4

The US climb up the leaderboard since the war begun has been helped by a rebound in tech.



S&P Sectors return since Feb 28 : Middle East War



Source : Bloomberg Finance LP, Deutsche Bank; Updated through May 4



As an example of this tech outperformance, Intel's share price has finally exceeded its high back in 2000. A positive of course but is it a warning from the past as to how long it can take for stocks to recover after a valuation surge..

A Historic comeback: Intel's stock finally tops its 2000 high

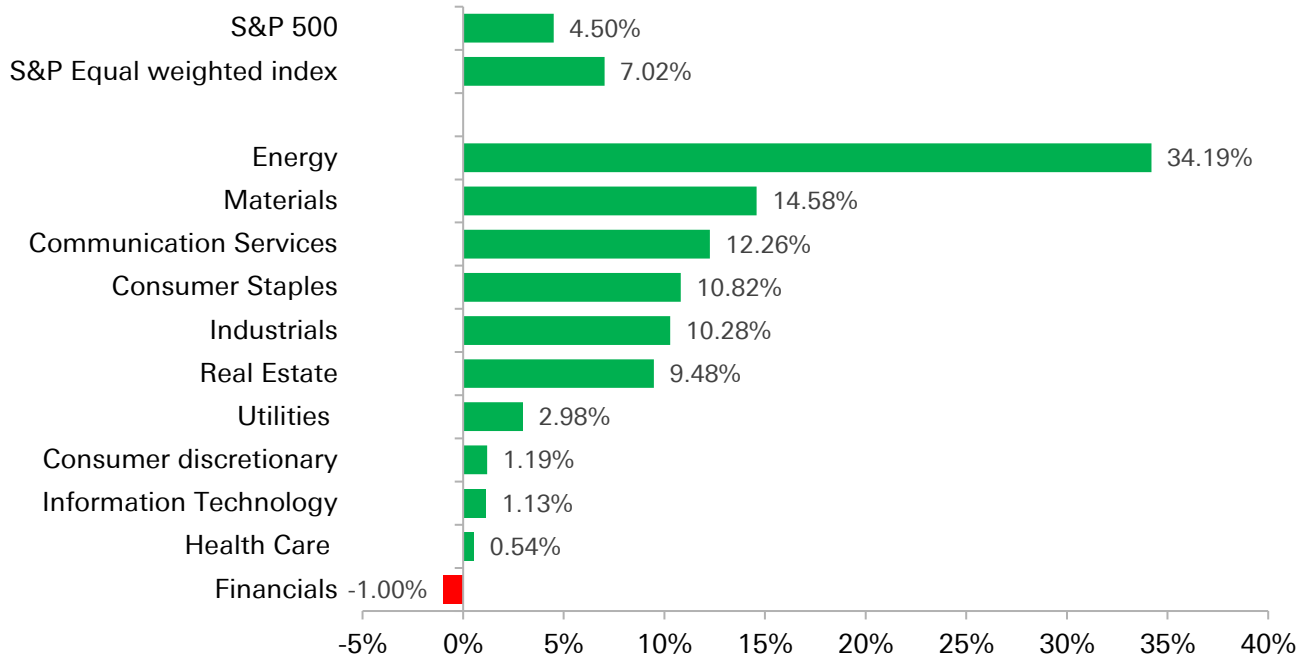


Source : Bloomberg Finance LP, Deutsche Bank, Last update: May 4



Zooming out, US tech is broadly flat in the 6 months since the end of October which is why other global markets have outperformed since this point...

S&P Sectors return since October 29, 2025

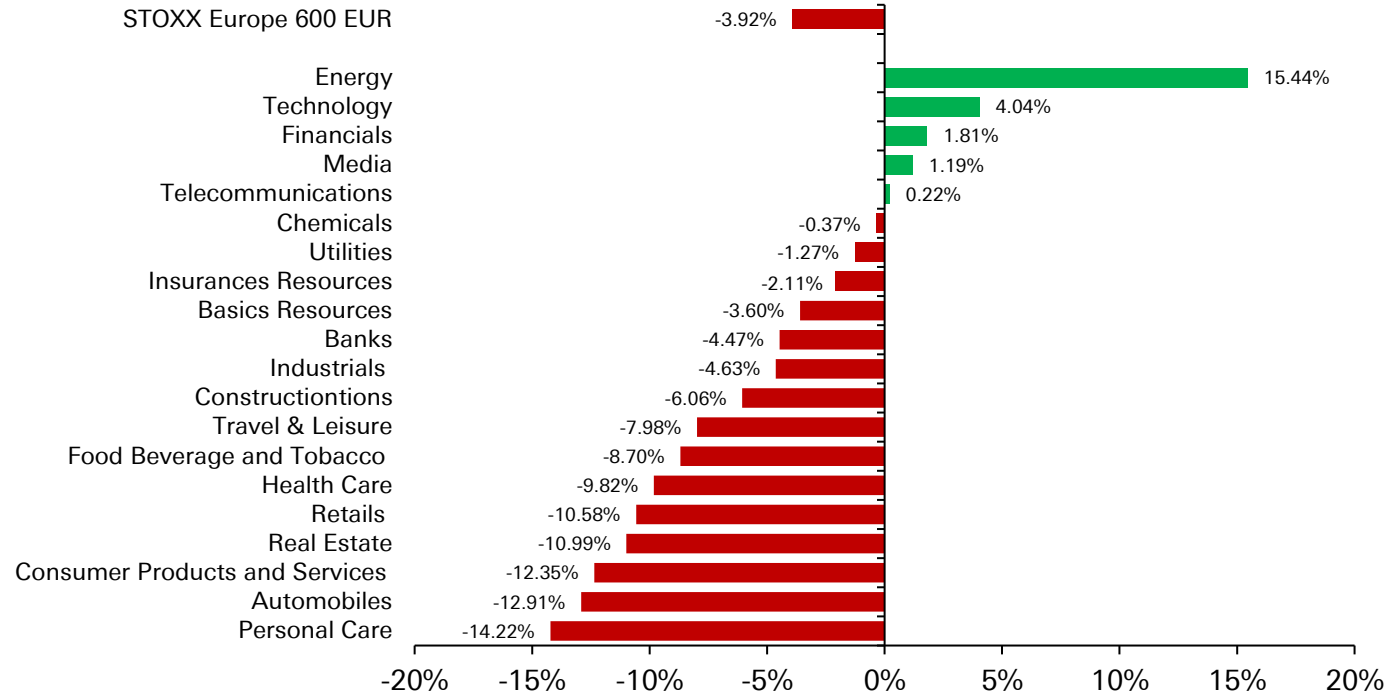


Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 4



Given its exposure to the energy shock, Europe's STOXX 600 has struggled since the Iran conflict began... although energy stocks are the clear exception, with tech also outperforming...

STOXX Europe 600 Sectors return since Feb 28 : Middle East War

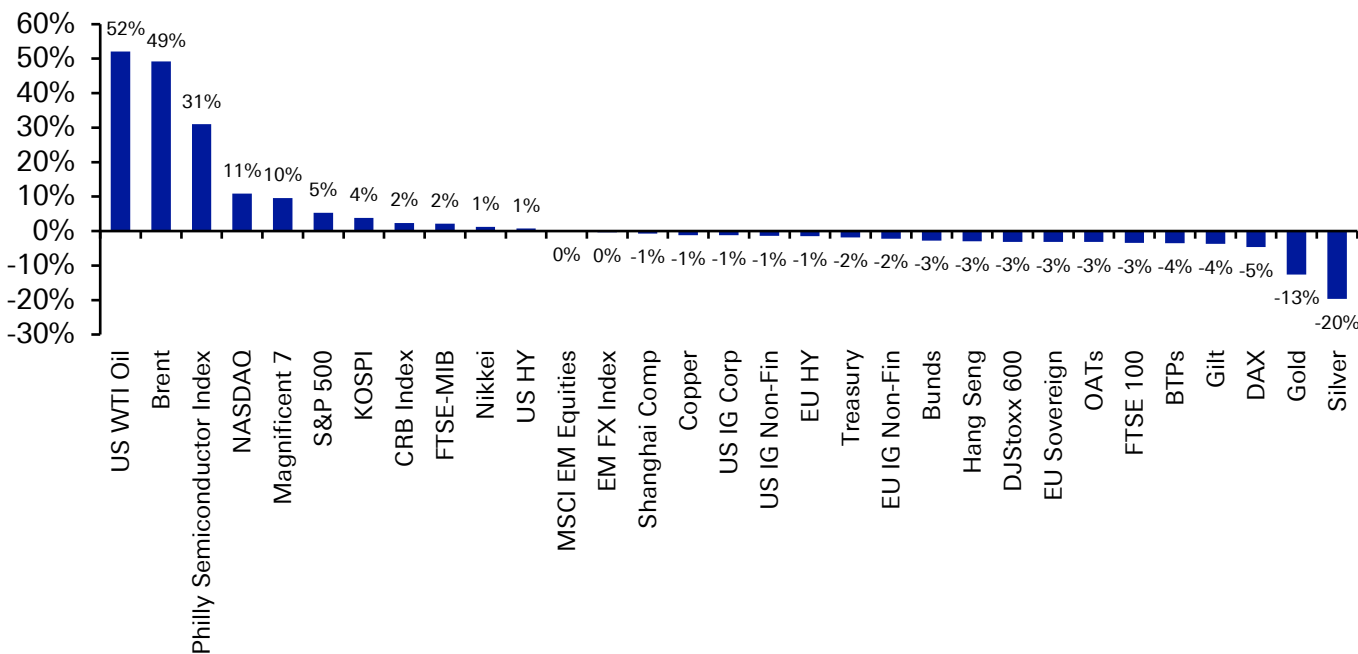


Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 5



Looking at a global level, oil has unsurprisingly been the standout performer since the war began, followed up by US equities... at the other end are precious metals and European assets...

Total Return Performance of Selected Global Assets since the Iran conflict began (USD terms)

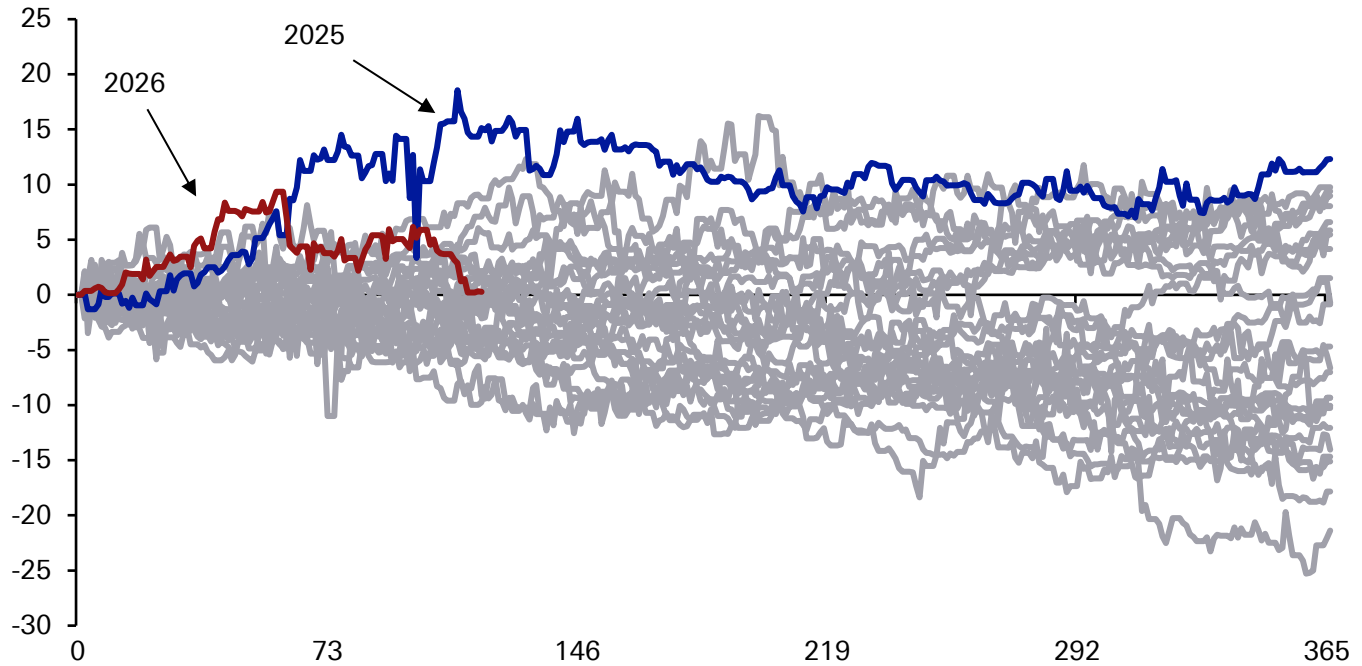


Source: Bloomberg Finance LP, Deutsche Bank, Note: Equities, credit and bonds shown on total return basis, FX and commodities shown on spot return basis



2026 had initially looked like another year of US equity underperformance until the Iran conflict, but Europe's exposure to the energy shock and the US tech outperformance has meant US equities are more in line with the rest of the world again...

Outperformance (percentage points) between the MSCI World ex US index and the MSCI US Index since 2000

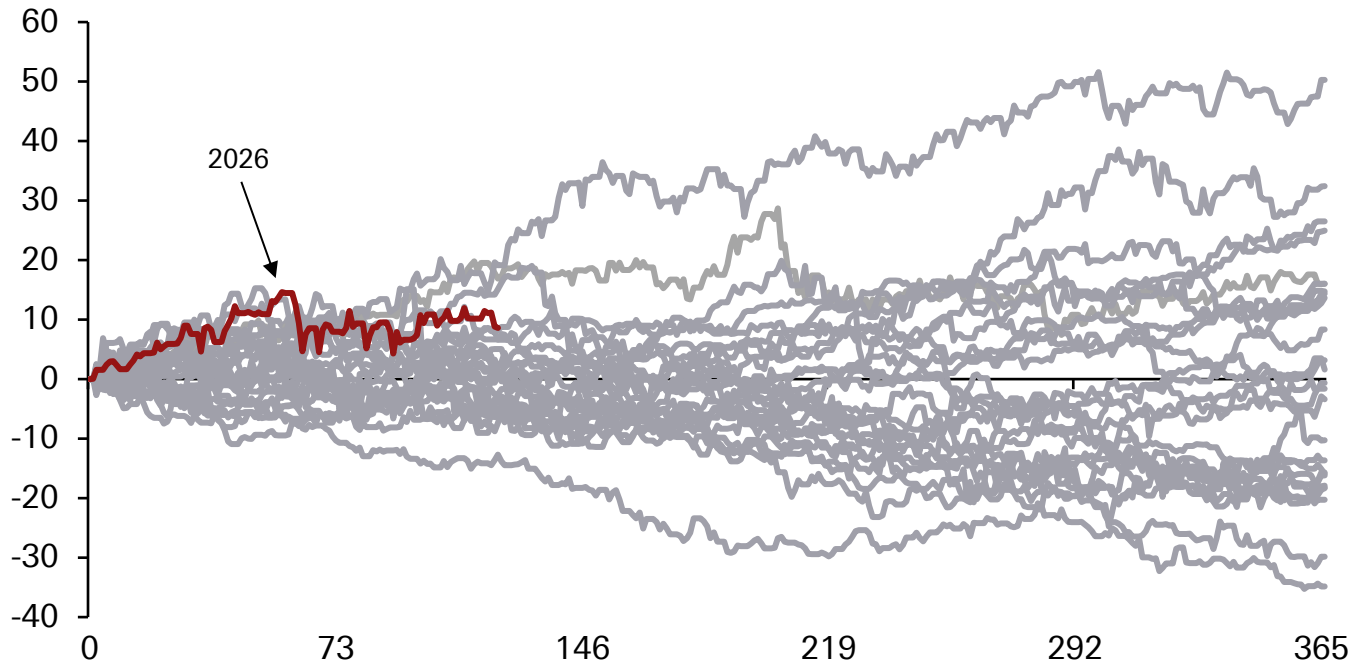


Source: Bloomberg Finance LP, Deutsche Bank

That said, the outperformance of EM equities this year has persisted, despite the Iran conflict...



Outperformance (percentage points) between the MSCI EM index and the MSCI US Index since 2000



Source: Bloomberg Finance LP, Deutsche Bank



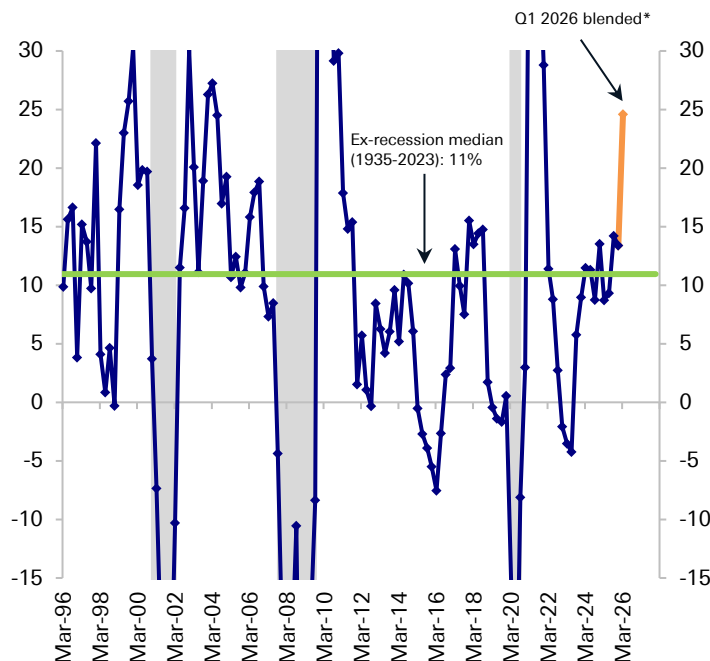
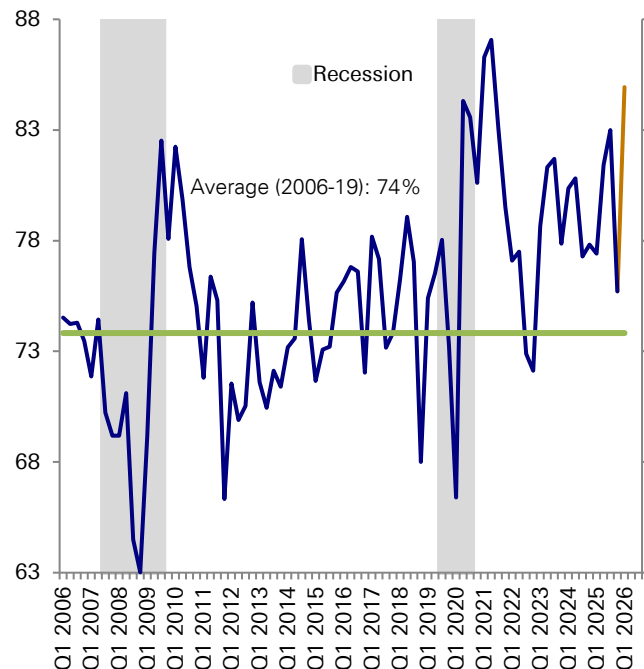
Q1 US earnings season has been great
though...

According to our equity analysts, this is one of the best earnings seasons in 20 years. See Parag Thatte and Binky Chadha's piece [here](#) for more...



Proportion of S&P 500 beating earnings estimate (%)

S&P 500 quarterly earnings growth* (% yoy)

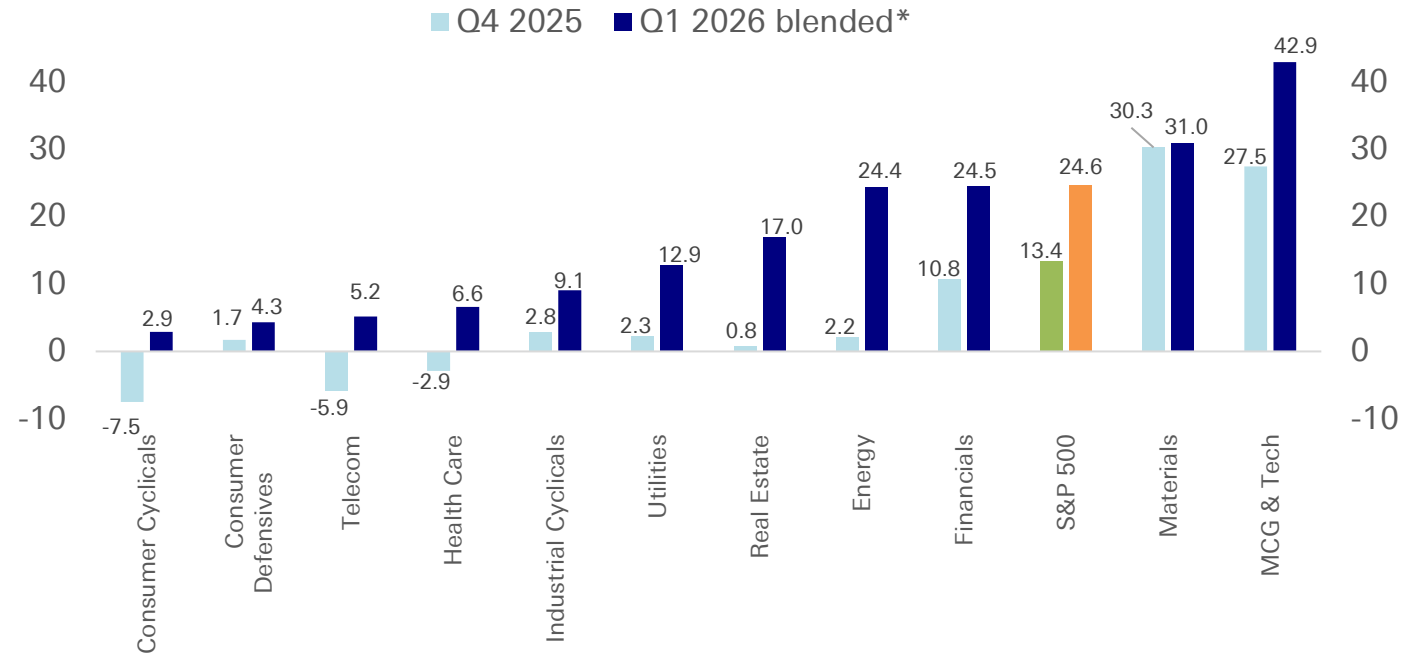


Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut; blended assumes companies that report beat at the current rate



All 11 top level sectors are expected to show YoY earnings growth for the first time in 4 years... See Parag Thatte and Binky Chadha's piece [here](#) for more...

Earnings growth by S&P 500 sector group (% yoy)

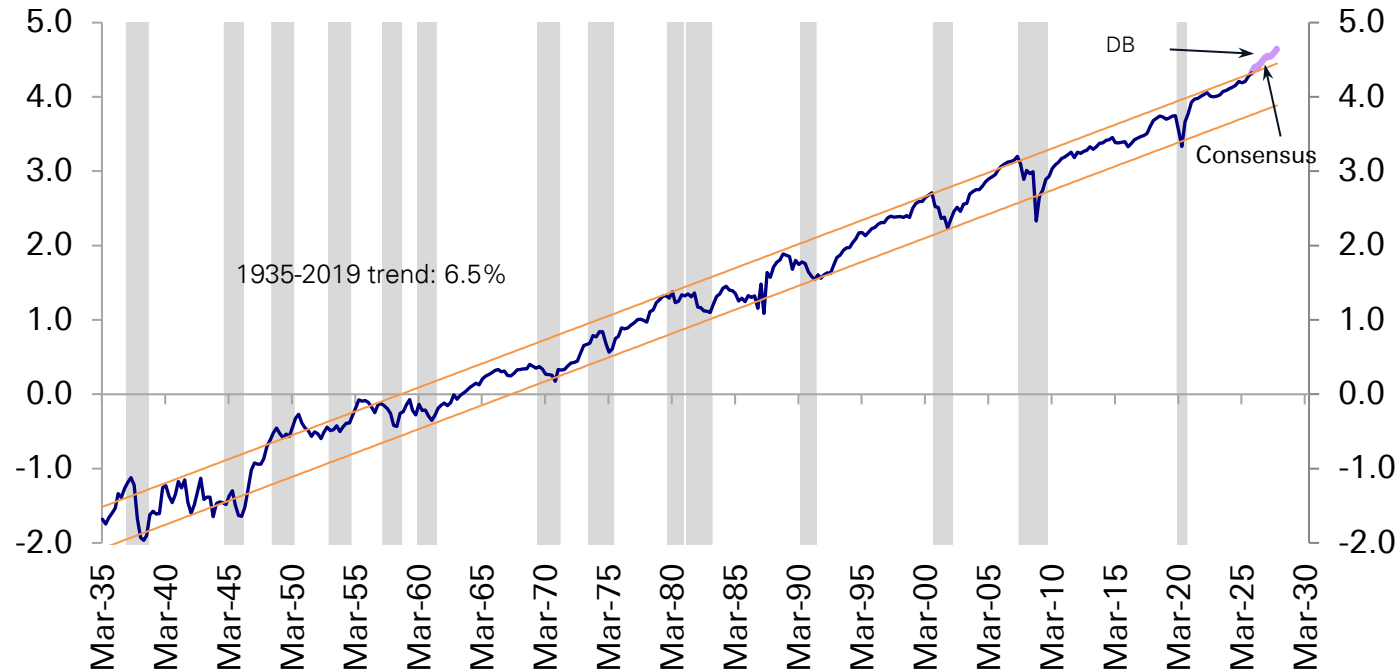


Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation; * Blended assumes companies that report beat at the current beat rate



Remarkably, S&P 500 earnings growth is likely to break out on the upside of a 90-year channel even though real and nominal GDP, and productivity have been higher for long periods of time over this period. See Parag Thatte and Binky Chadha's piece [here](#) for more. Is this a new paradigm or unsustainable?

S&P 500 quarterly EPS seasonally adjusted (log)



Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

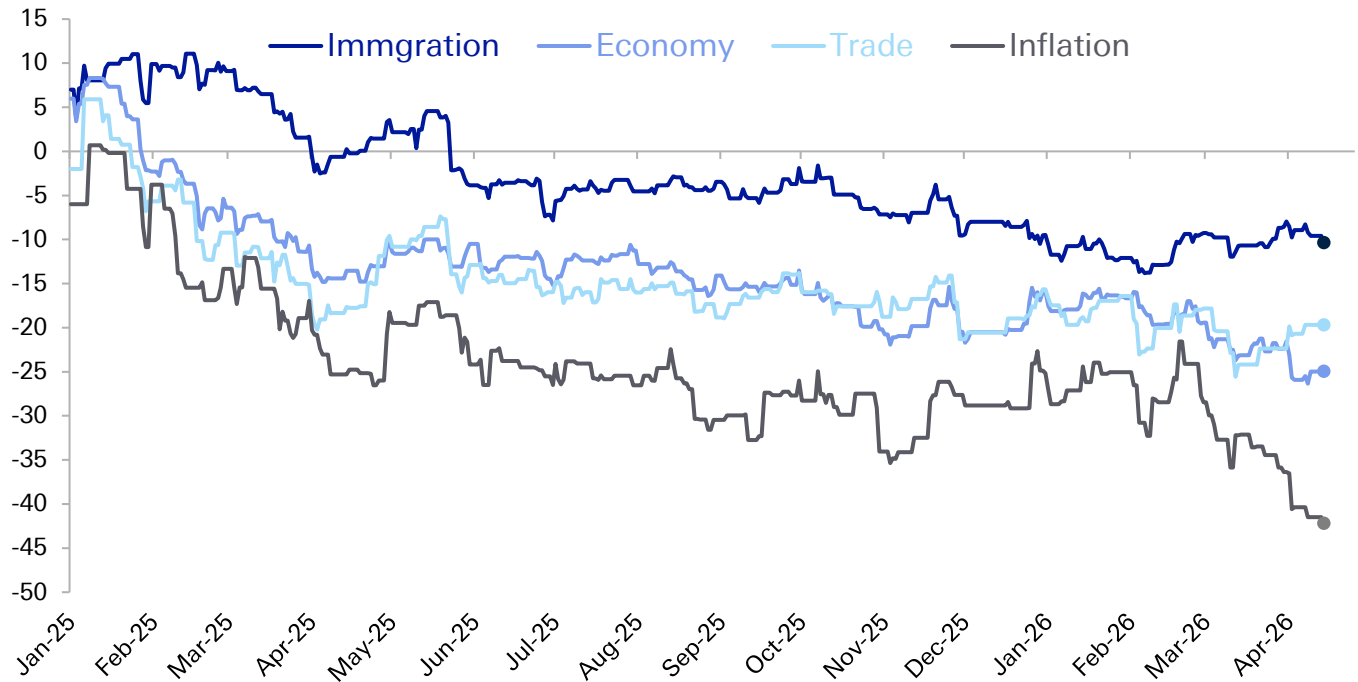


The longer the conflict/stand-off lasts the
tougher it is politically...



Concern over inflation and the cost of living is also a prominent political issue that's been hurting incumbents around the world in recent years...The War in Iran seems to have had a further impact. The US midterm elections are just 6 months away now as well...

An updating polling average of Donald Trump's net approval rating on immigration, the economy, trade, and inflation, accounting for each poll's quality, recency, sample size, and partisan lean

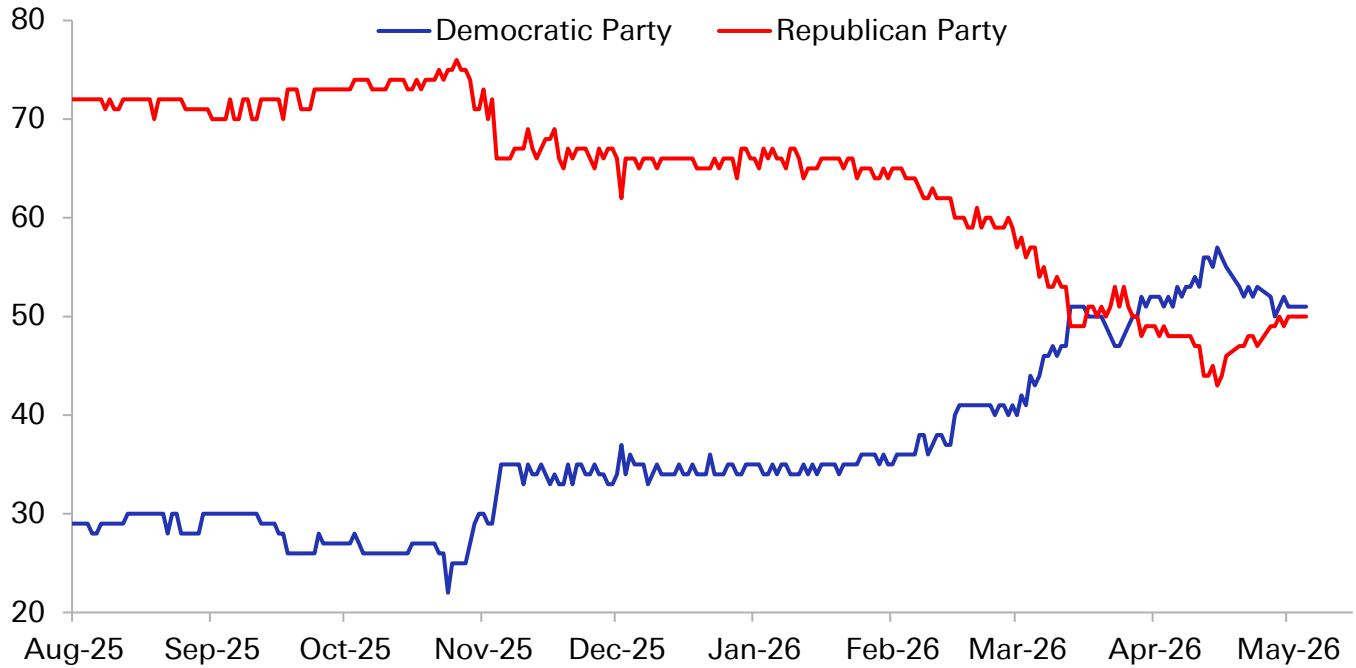


Source: Nate Silver, Deutsche Bank, updated through May 4



Since around the time the Iran strikes began, the Democrats have become the (narrow) favourites to retake control of the Senate... that would have a big impact on appointments like Fed Governors, cabinet members and Supreme Court justices, which all require Senate approval...

US Polymarket Party control Senate after 2026 Midterm election

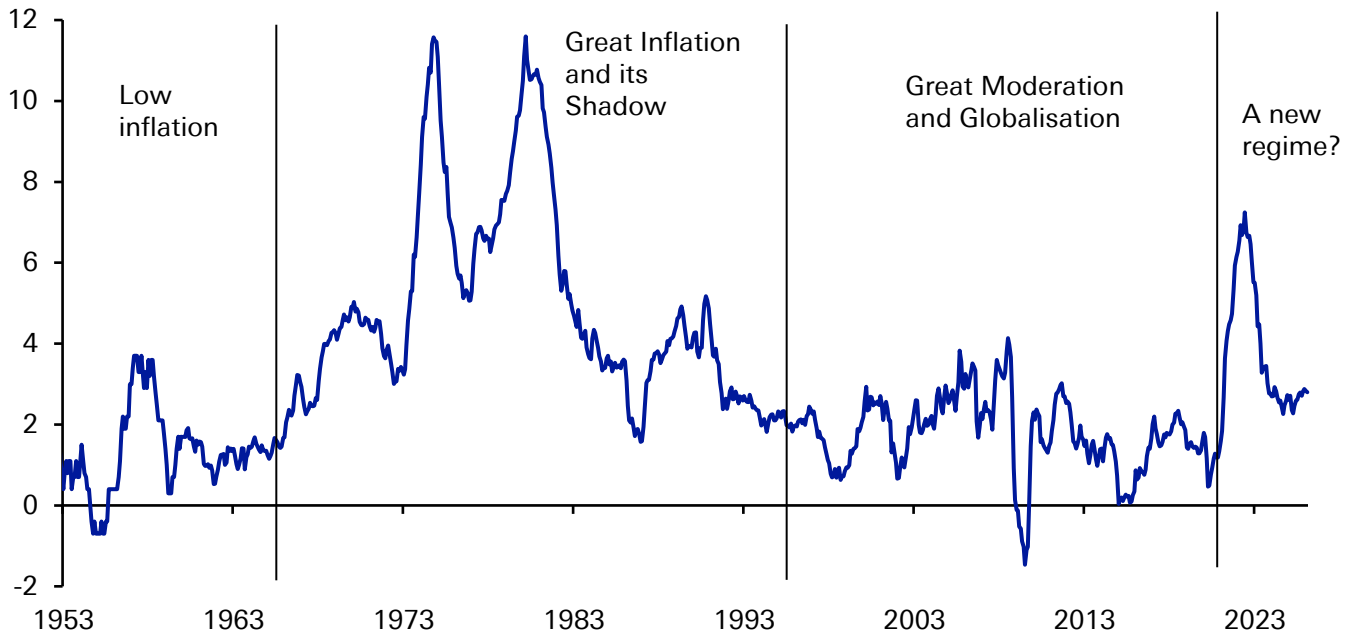


Source : Bloomberg Finance LP, Deutsche Bank, updated through May 5



Linked to the inflation approval rating, the Fed's target measure of PCE inflation has now been above the 2% target for 5 years... This is very different to the low-inflation era before the pandemic... could we be in a new regime?

US PCE Inflation (year-on-year % change, using CPI before PCE begins in 1959)

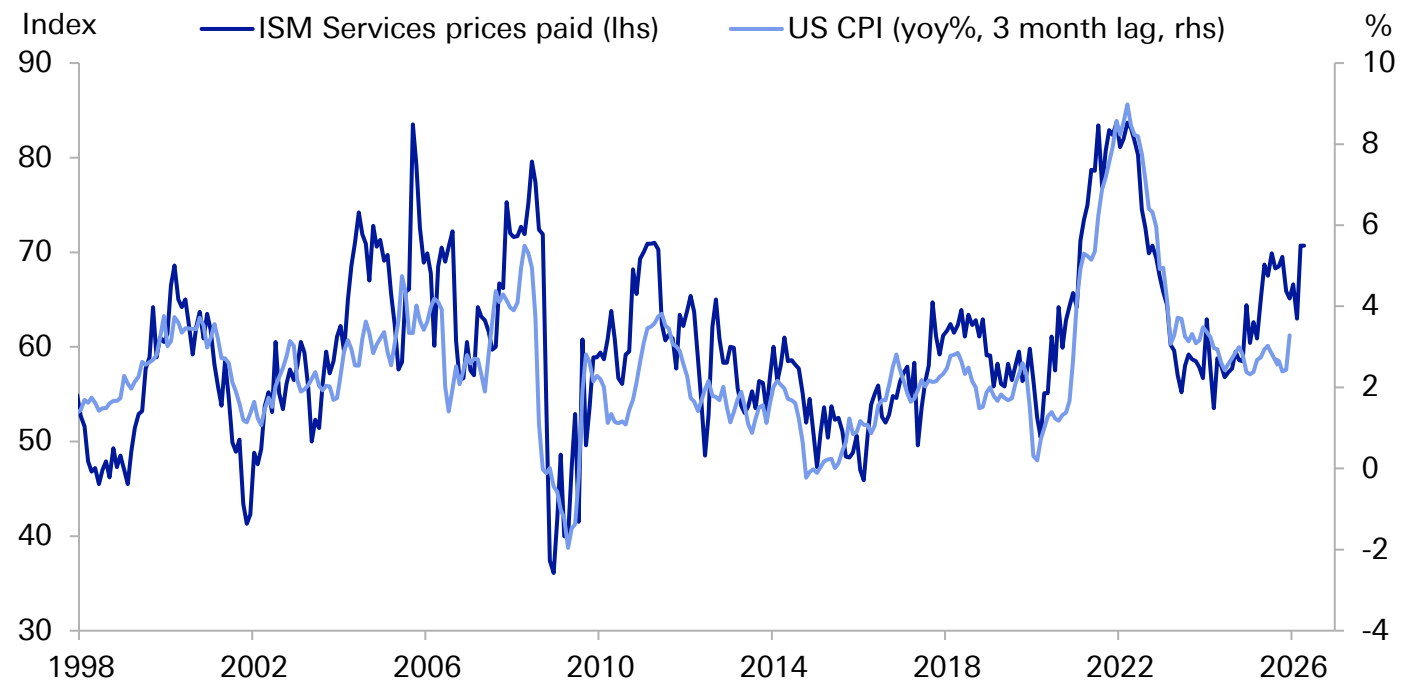


Source: Haver Analytics, Deutsche Bank

The prices paid component of the ISM Services is a strong leading indicator of inflation with a 3-month lag... It's just hit its highest since 2022...



ISM Services Prices Paid and US CPI (with a 3-month lag)

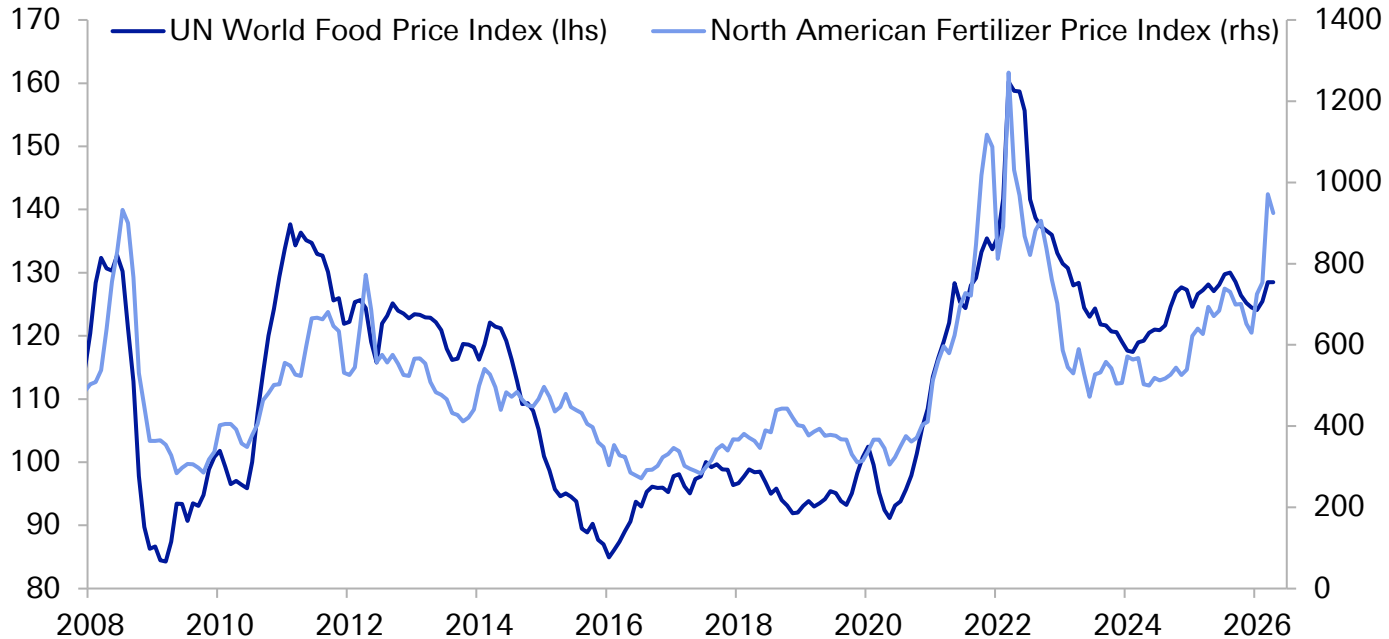


Source: ISM, BLS, Haver, Deutsche Bank



Another concern is that food price inflation will also start to rise, and we've already seen a rise in fertiliser prices... this could be particularly problematic as food is an essential good, so unlike other parts of the consumer basket, it's difficult to substitute away from...

Food prices and fertiliser prices

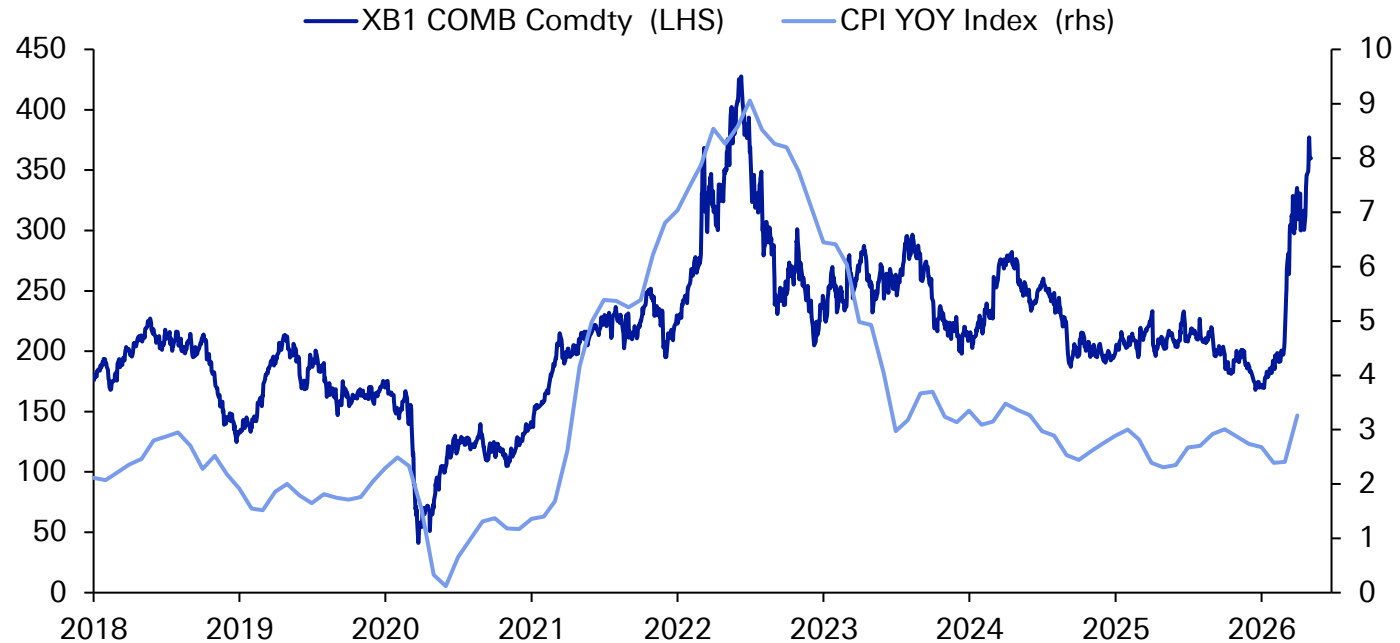


Source: Bloomberg Finance LP, Deutsche Bank

This inflation has been quite obvious to consumers, as higher gasoline prices have passed through quickly...



Gasoline prices (XB1) vs. CPI Inflation

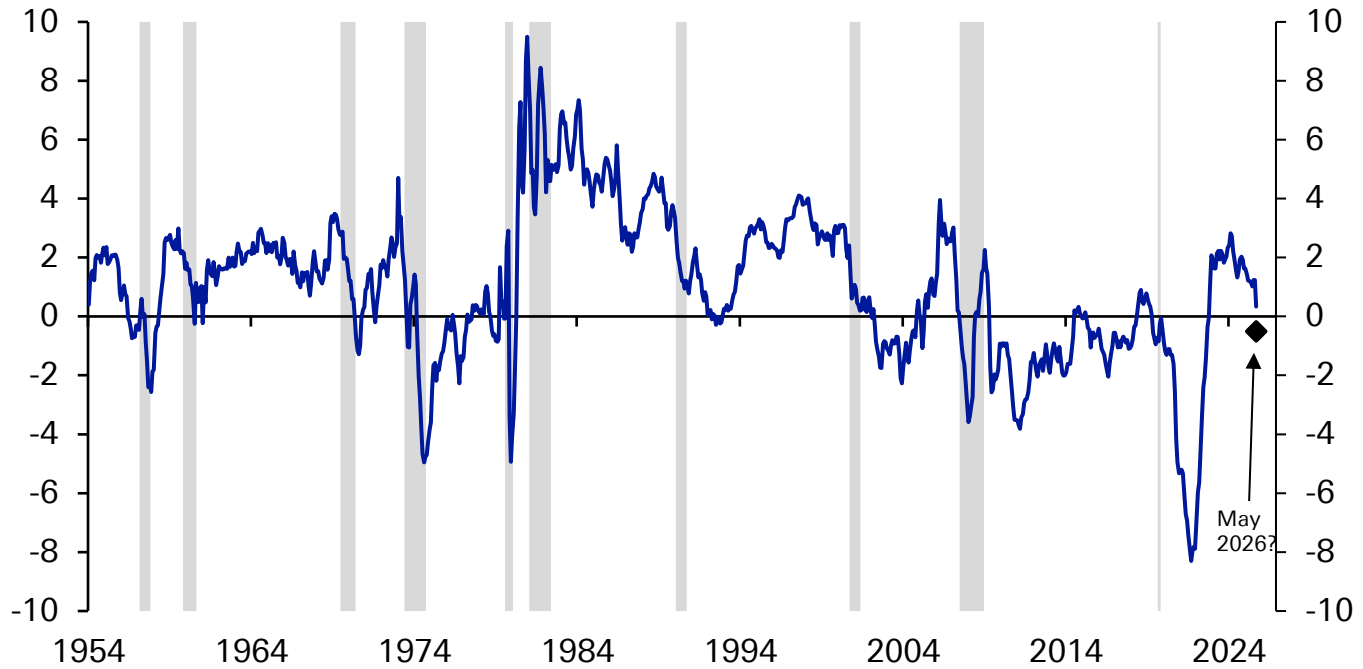


Source: Bloomberg Finance LP, Deutsche Bank; Last update May 4



The real federal funds rate (simply fed funds minus year-on-year CPI) is set to head back into negative territory because of the energy shock... under DB's US econ forecasts, it would be back to -0.5% in May...

Real federal funds rate (fed funds minus year-on-year CPI)



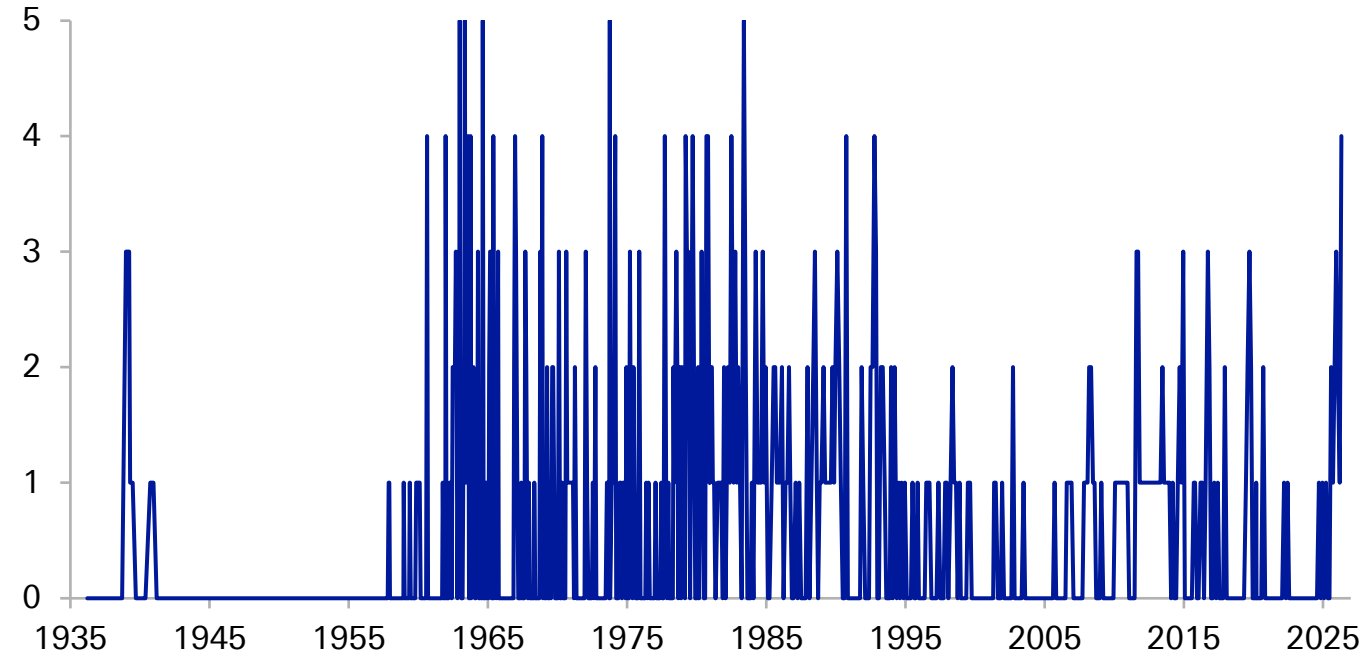
Source: Haver Analytics, Deutsche Bank



The energy shock has exacerbated recent FOMC disagreements. The April meeting saw 4 members dissent from the decision in some way, the most dissenters on a vote since 1992...

US FOMC Dissents Votes Against Action

of persons



Source: Bloomberg Finance LP, Deutsche Bank

As summer holidays approach, the risk is high stress for the aviation sector and travellers.....



Jet Fuel Singapore FOB Cargoes (USD/barrel)

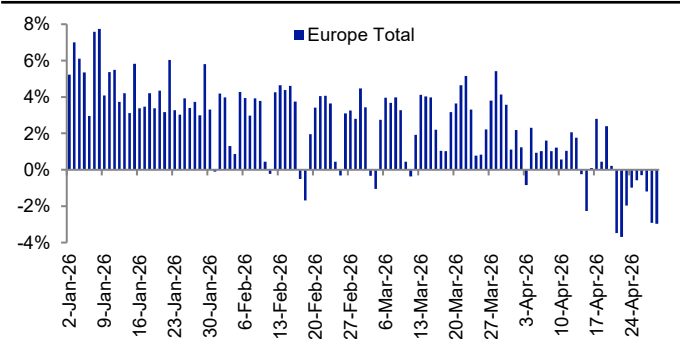


Source : Bloomberg Finance LP, Deutsche Bank.

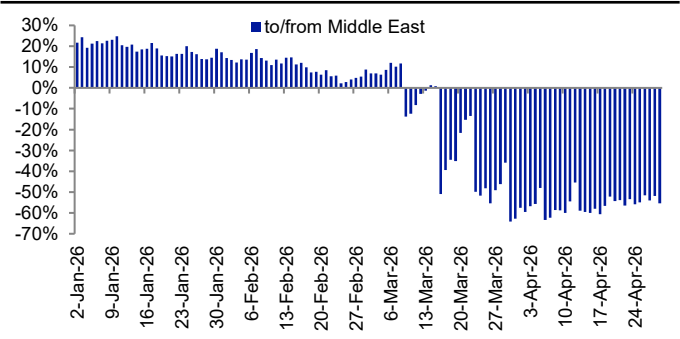


The number of flights to and from Europe are trending down. Initially because of a cancellation of most Middle East flights but increasingly other flights are being cancelled due to being unprofitable at current fuel prices...

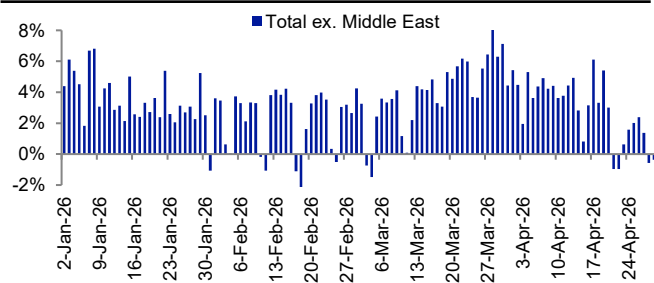
Daily flights to/from Europe (%y/y)



Daily flights to/from Middle East (%y/y)



Daily flights to/from Europe ex Middle East (%y/y)



Source: Cirium, Deutsche Bank; Note: The Diio Mi sourced data in this report has been extracted from a Cirium product. Cirium has not seen or reviewed any conclusions, recommendations or other views that may appear in this document. Cirium makes no warranties, express or implied, as to the accuracy, adequacy, timeliness, or completeness of its data or its fitness for any particular purpose. Cirium disclaims any and all liability relating to or arising out of use of its data and other content or to the fullest extent permissible by law

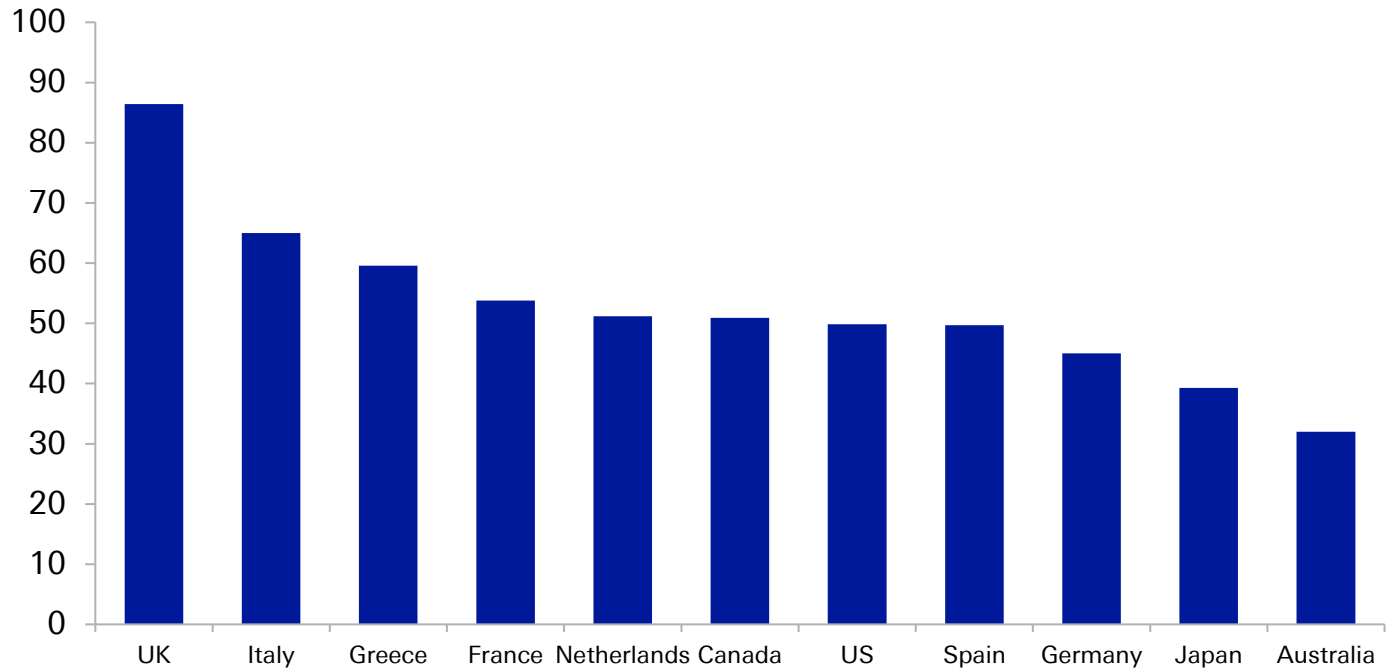


Rates are under pressure...



Yields have risen substantially since the conflict began a couple of months ago... which will constrain governments from providing fiscal support packages... The UK is underperforming on additional political concerns that any move to replace the PM could bring additional spending plans....

Change in 10y yield since Feb 27th (bps)

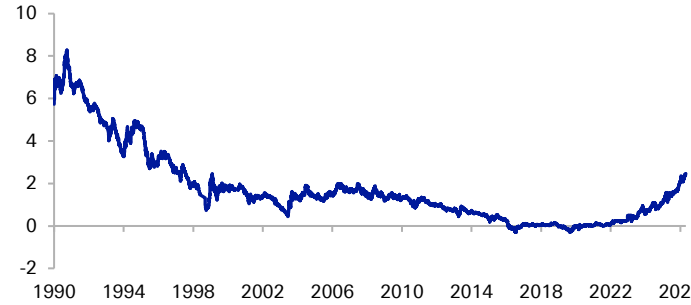


Source: Bloomberg Finance LP, Deutsche Bank, Last update May 5



Long-term government bond yields are up to multi-year highs... Japan's 10yr yield is above 2.5% for the first time since 1997, UK 30yr gilt yields are the highest since 1998, and Germany's 30yr yield is the highest since 2011 during the Euro crisis... Even 30yr USTs are with 10bps of 18yr highs

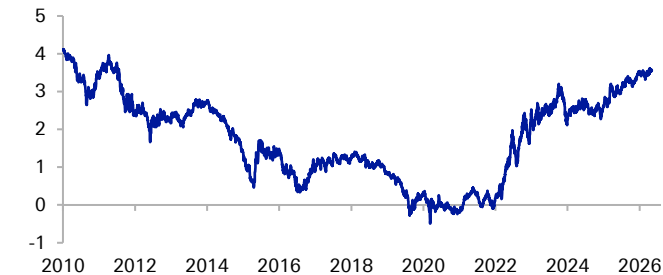
Japan 10yr bond yield (%)



UK 30yr gilt yield (%)



Germany 30yr bond yield (%)



US 30yr Treasury yield (%)



Source: Bloomberg Finance LP, Deutsche Bank

In fact, on a total return basis, US Treasuries still haven't got back to their peak before the 2021-22 inflation spike...



iBoxx US Treasuries (Total Return Index)

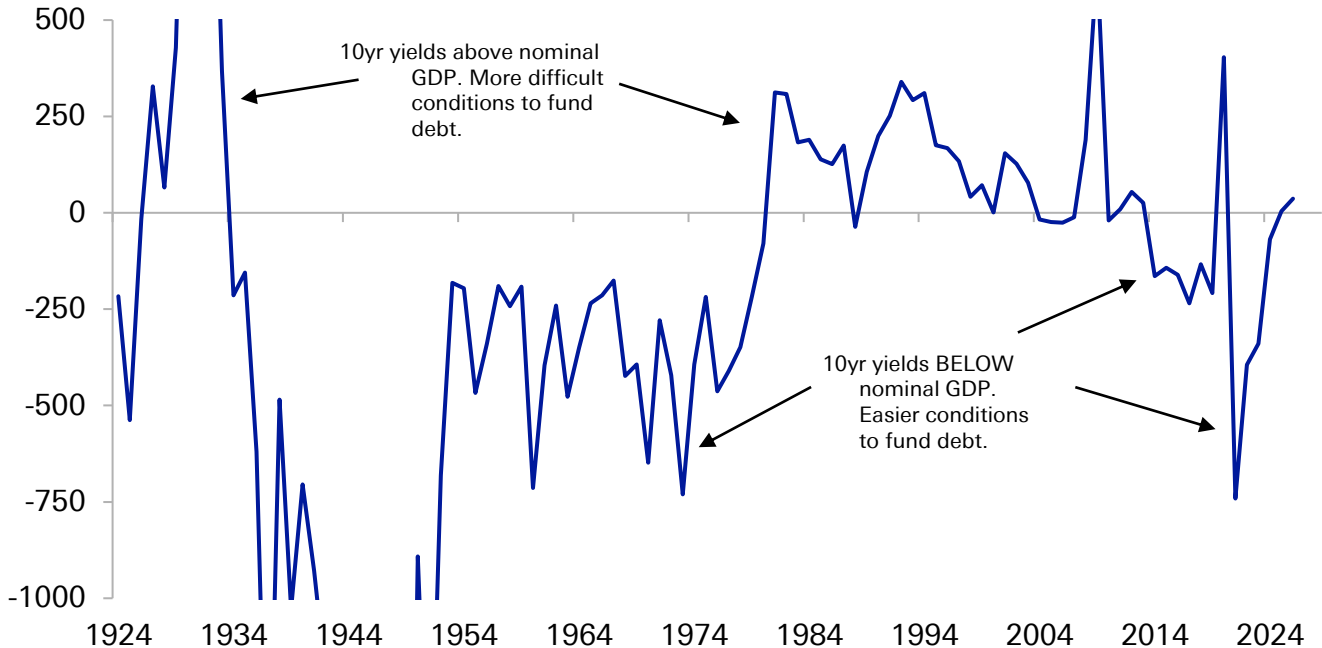


Source: Bloomberg Finance LP, Deutsche Bank



This backdrop of higher yields comes as DM Funding costs (using 10yr yields as a proxy) are now getting close to or even above Nominal GDP growth. In the post-GFC period of high debt and financial repression, yields were consistently below nominal GDP.... But that's now over, making it more difficult for governments to cushion economic shocks...

Average difference between Nominal GDP growth and 10yr yields for US, UK, Germany, France, Italy and Japan

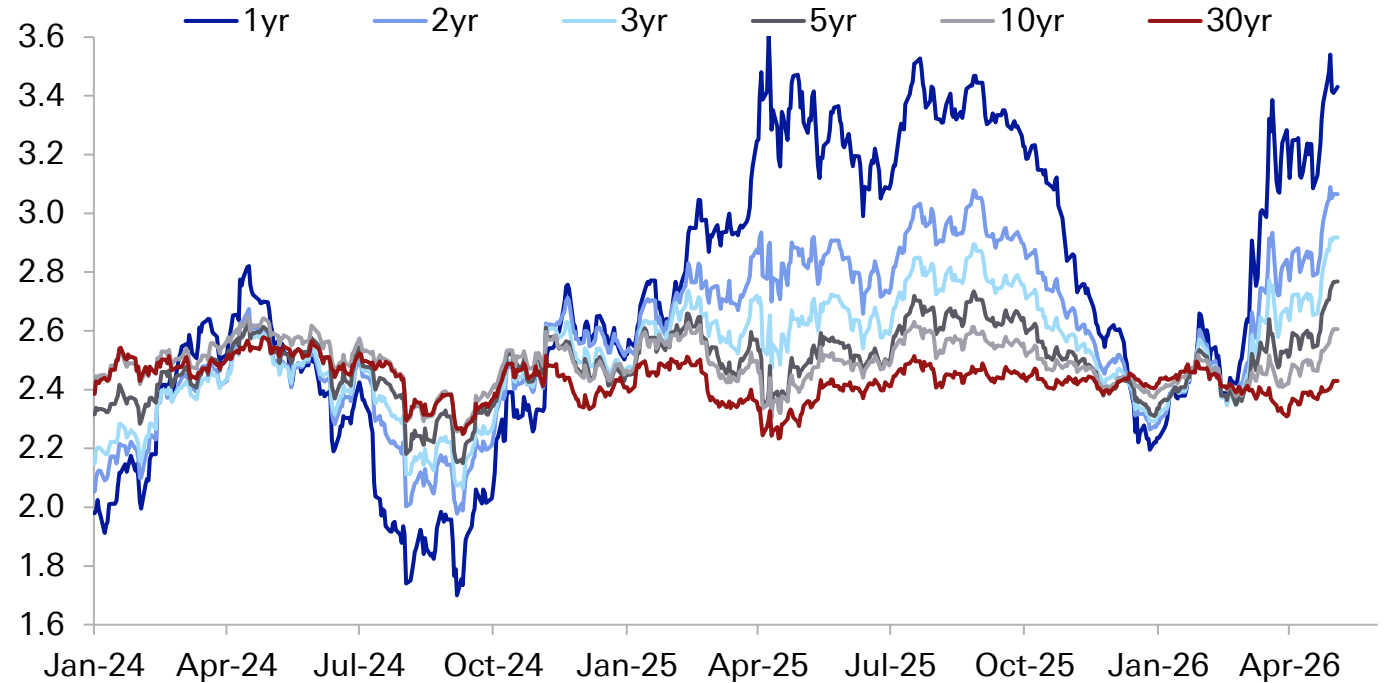


Source : Finaeon, Deutsche Bank



One of the problems for rates is that we've now had two US inflation expectations shocks in the last 12 months. Tariffs and now energy... this follows a period where inflation calm had been restored after the shock of 2021-22.

US Inflation Swaps (%)

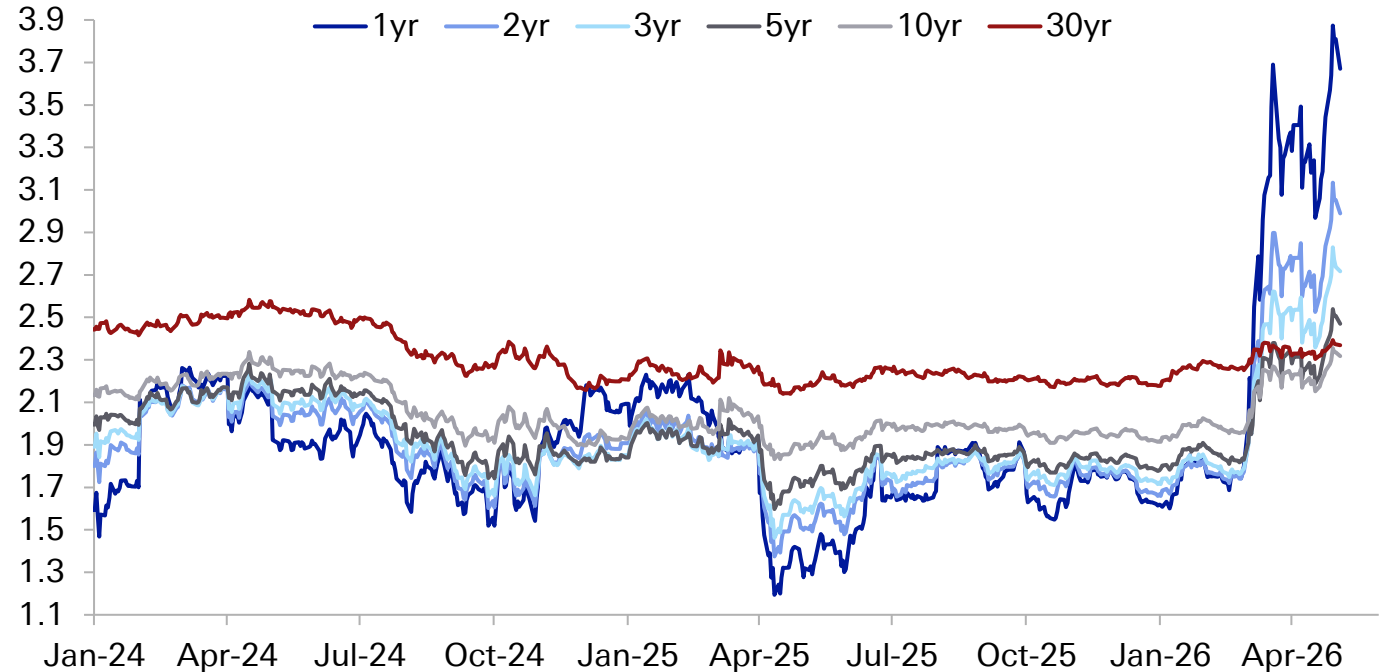


Source: Bloomberg Finance LP, Deutsche Bank



Europe had got inflation expectations back to target levels and didn't see a shock due to US tariffs (in fact the opposite). However, that has changed since the war in Iran, and markets are now pricing in multiple ECB rate hikes this year...

EUR Inflation swaps

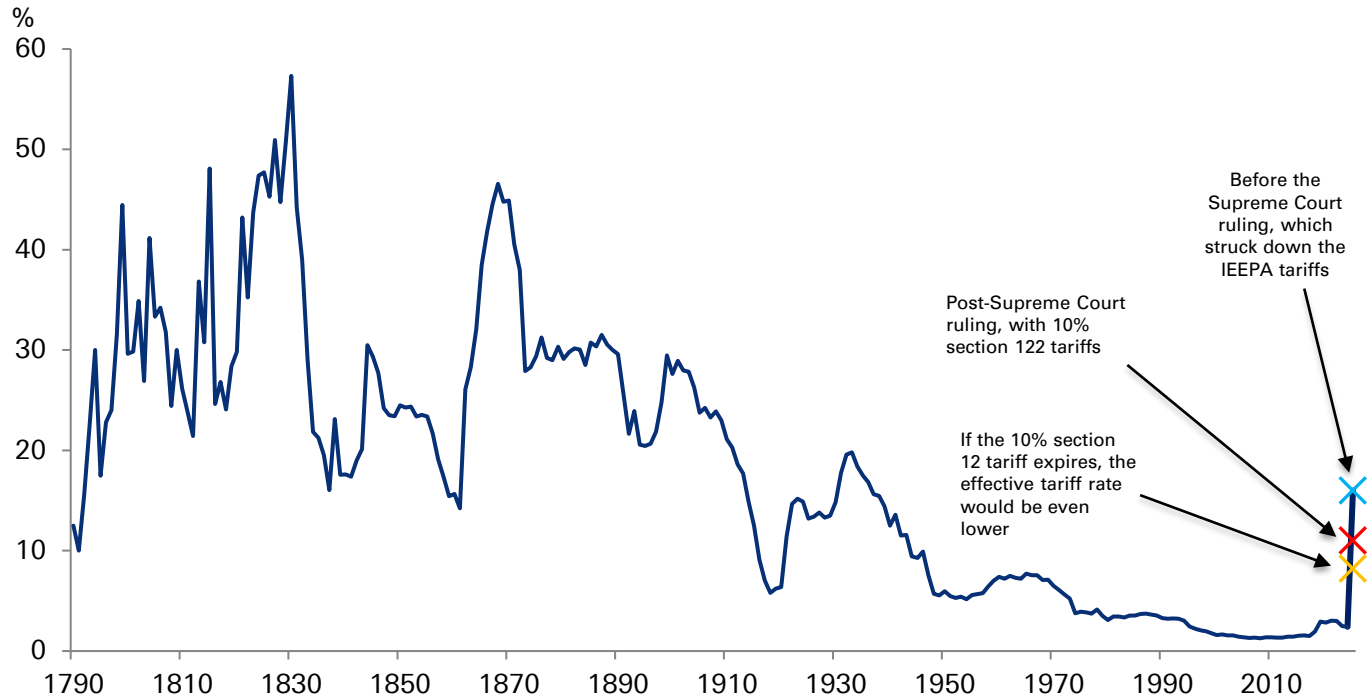


Source: Bloomberg Finance LP, Deutsche Bank



But whilst many inflation pressures are on the upside right now, the tariff impact has been coming down versus last year and worst-case fears... the 10% global tariff that replaced the IEEPA tariff has brought down the effective tariff rate, and if that expires in late-July (Congress would have to extend), then the tariff rate would fall even further...

US Average Effective Tariff Rate



Source: budgetlab.yale.edu, Deutsche Bank

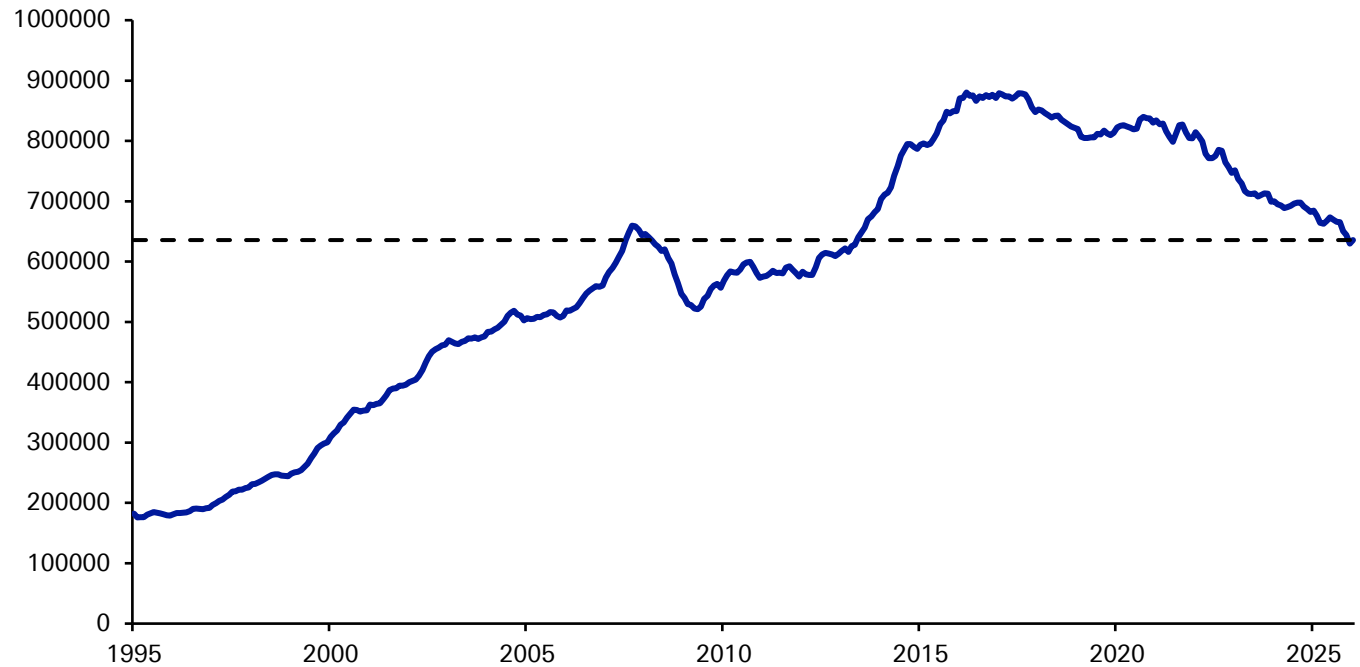


Rising yields aren't great for housing...



In inner London, where some of the most expensive housing in the UK is, prices have been coming down for the last decade in real terms... they're now beneath the pre-GFC peak nearly 20 years ago...

Inner London House prices in real terms (Jan 2026 prices, UK pound sterling)

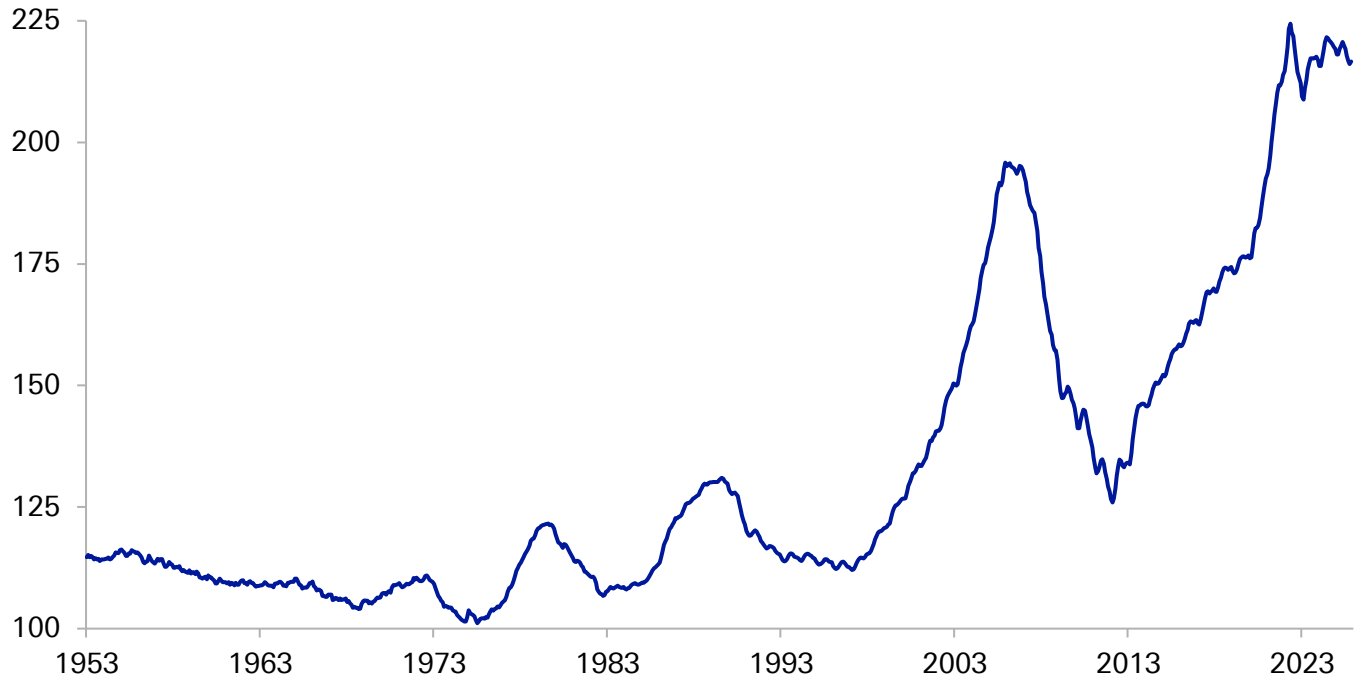


Source: Haver Analytics, Deutsche Bank

In real terms, US house prices have been stagnant for 4 years... although they're still hovering around record highs...



Real Home Price Index (NSA, 1890=100)



Source: Robert Shiller, Haver Analytics, Deutsche Bank



Will the conflict impact the dollar status

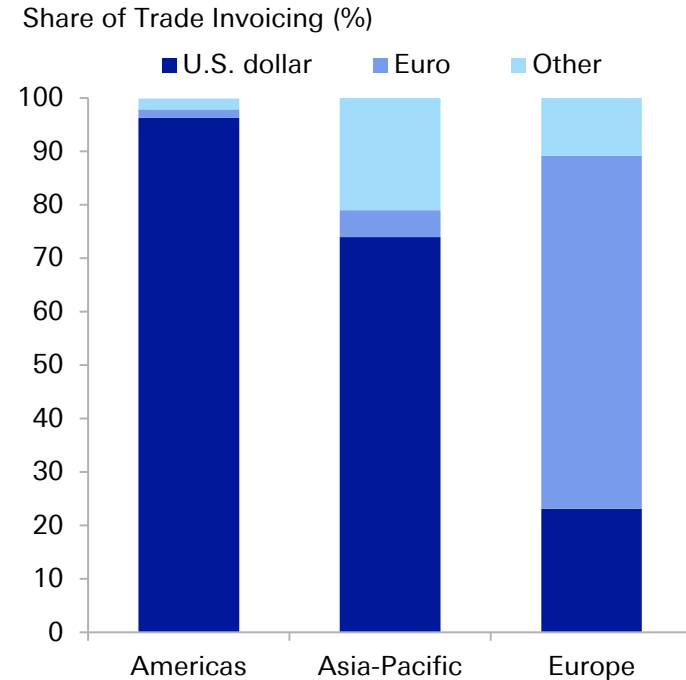
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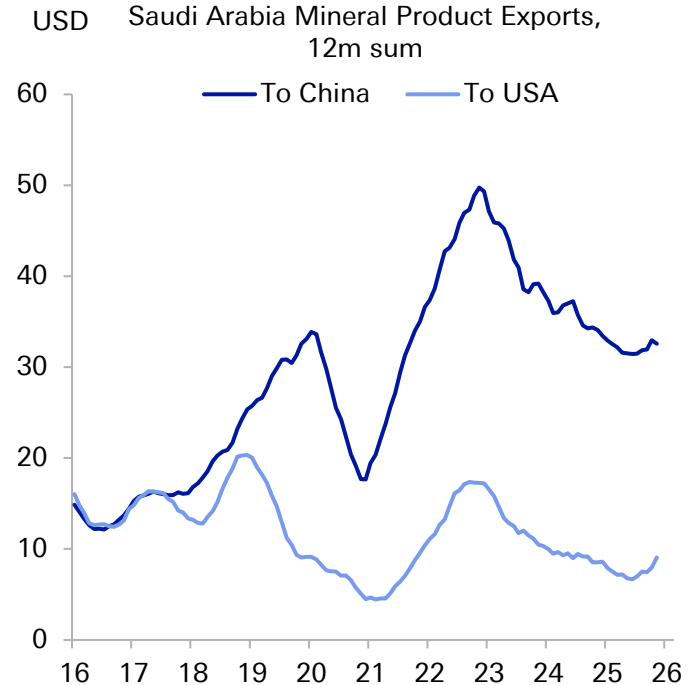
The petrodollar era saw oil priced in dollars with the US providing a security umbrella to the Middle East... the risk for the dollar is that era may be slowly fraying at the edges.... Mallika Sachdeva has written about it [here](#).

The dominance of the dollar in cross-border trade has a lot to do with the petrodollar

There were already signs of instability to petrodollar foundations: Saudi Arabia sells four times as much oil to China now as to the US



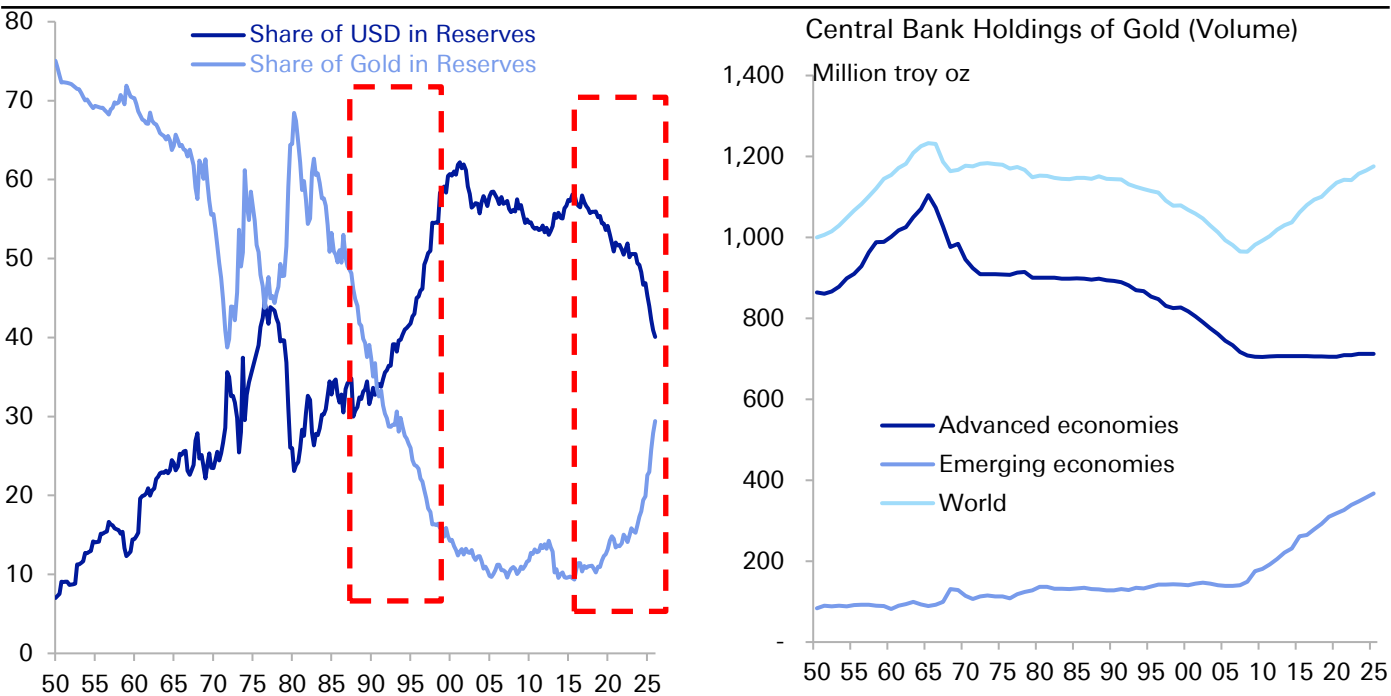
Source: Federal Reserve, CEIC, Deutsche Bank





Linked to the petrodollar theme, there is also de-dollarisation in reserves. Mostly from EM countries. Mallika Sachdeva has written about it [here](#).

The "end of history" in the 1990s saw a sharp rise in the USD and decline in gold's share of reserves. We think history has returned, and it is emerging markets that are leading the charge for gold.



Source: Bloomberg Finance LP, Eichengreen, Chitu and Mehl (2014), IMF International Liquidity Statistics, Deutsche Bank

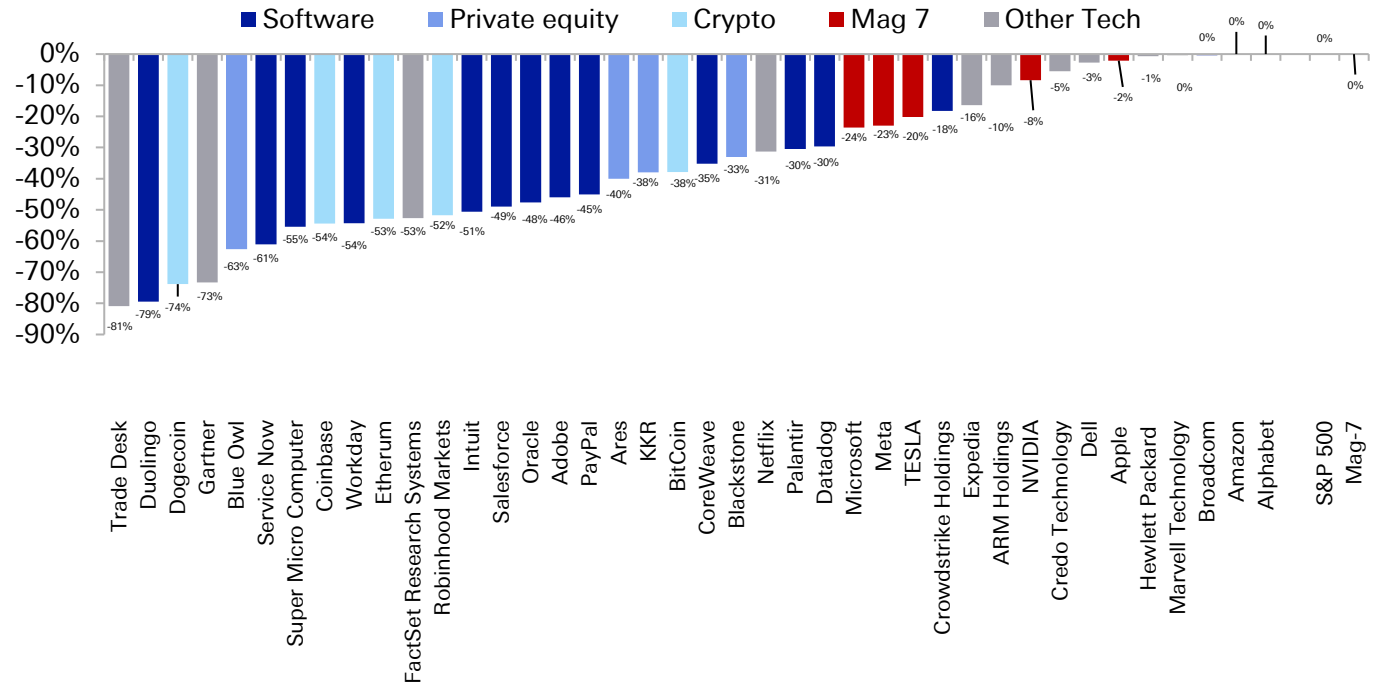


And finally... when the war is over we have
to remember disruption....



The 2026 drawdown in many tech/AI stocks and related or disrupted assets (e.g. crypto and software) has been pretty severe. Private equity has also been hit due to fears on private credit. So remember these themes if and when the war is over...

How Far Are a Selection of AI & Tech Stocks From Their highs? Drawdowns From 52-Week Highs for Selected US Tech and Related Stocks



Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 1



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Will Claude's AI finance agents change your life?

May 6, 2026

Finance professionals may be quaking in their gilets today after Anthropic's latest release of Claude agents for financial services. But their alarm may be premature.

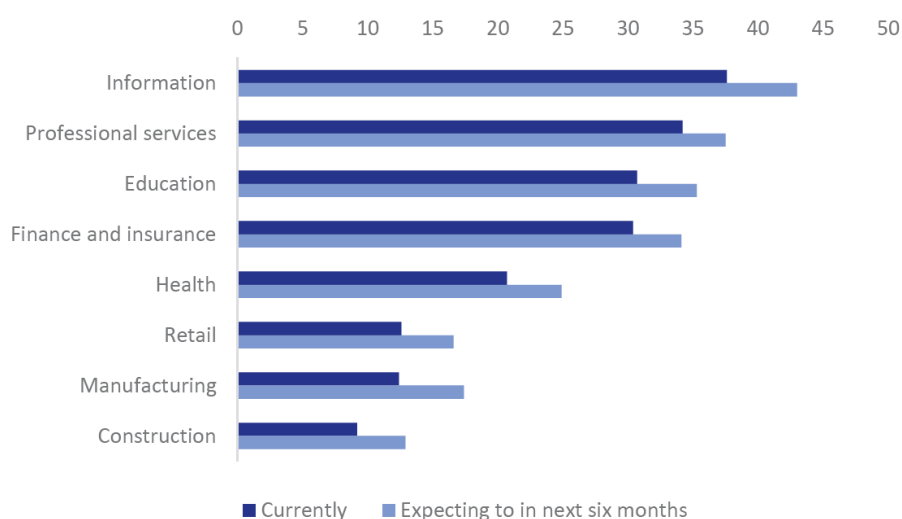
Anthropic [released](#) 10 "ready-to-run" agent templates yesterday to handle time-consuming tasks from research and client coverage to finance and operations with a webinar that included CEO Dario Amodei and JPMorgan CEO Jamie Dimon.

The templates bundle together skills, connectors (third-party market and research data) and sub-agents to help bankers build pitchbooks and models, screen KYC files, close month-end accounts and more.

While the internet was full of (AI-generated) memes of young bankers in tears this morning, the reality is that they are likely to continue to be working late nights and weekends to serve their clients for some time to come.

On the one hand, finance is the perfect industry for AI. It has abundant data; high-value, repeatable decisions often performed with manual processes; and operates in a digital, low-friction environment. US Census Bureau data shows that 30 percent of US banks and insurers were using AI in February and about 34 percent are expecting to use it in the next six months. That puts it not far behind information technology, the front-runner at 38 percent and 43 percent.

Figure 1: US companies using or expecting to use AI (% , Feb 2026)



Source: US Census Bureau, Deutsche Bank Research

Authors

[Adrian Cox](#)
Research Analyst



But on the other hand, adoption is easier said than done, particularly among the largest organisations operating in a highly regulated industry where 99 percent accurate is not accurate enough.

Barriers to adoption include:

1. **Technology and data:** the barriers to any new tech adoption include complex integration with legacy systems; the need for tailored, secure, high-quality – and accessible – data; and issues like data privacy and cybersecurity.
2. **Governance:** barriers specific to AI include the need for heightened guardrails around hallucination, bias, intellectual property and aligning stakeholders. There is also regulatory uncertainty as policymakers take differing and rapidly evolving approaches. AI activities must not only be understood but also explainable.
3. **People:** organisations need to rely on a limited pool of technology experts experienced in implementing a fast-evolving technology. They also must deal with a wide range of capabilities – and support or resistance – from managers and employees. At the very least, that requires training and cultural change.
4. **Customers and clients:** it is far from a given that customers and clients will be universally supportive of having their financial affairs handled by AI or dealing directly with AI agents, let alone giving enough data to the systems to make them valuable.

Diffusion is "much slower than the technology is capable of"

Amodei acknowledged the so-called capability overhang in the webinar, saying: "Our ability to commercialise this technology... is held back not by the power of the models and the economic value you can generate in principle but by the diffusion in the workplace... Diffusion is faster than we've seen in any technology previously in the world but it's still much slower than the technology itself is capable of."

Anthropic and its rival OpenAI are seeking to increase adoption by creating teams to help enterprises adopt AI – a crucial step in monetising the technology and paying for the rapid increase in demand for compute – not least to service the all-but-free service available to consumers.

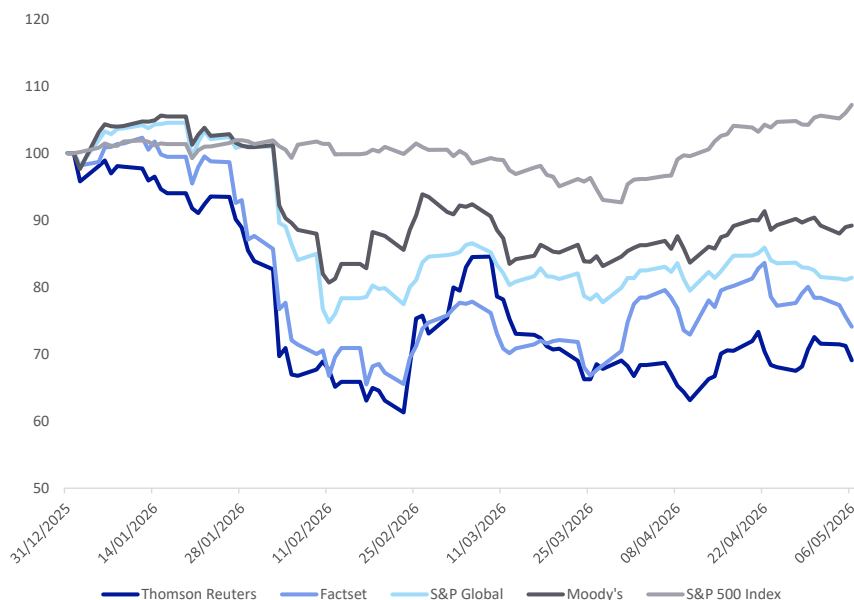
On Monday, Anthropic announced a joint venture focusing on deploying enterprise services, backed by companies including Blackstone, Hellman & Friedman and Goldman Sachs. On the same day, OpenAI was reported to be raising funds for a similar venture called The Development Company.

The ventures will reportedly raise money from the alternative asset managers in return for sales access to their investors' portfolio companies. It echoes the "forward-deployed engineer" model pioneered by Palantir, where engineers are embedded directly within client teams.

The news has had knock-on effects in data industry stocks, including Thomson Reuters and Factset. They had already been dented by the "SaaSocalypse" earlier this year, when the launch of Anthropic's Cowork led investors to question whether AI agents would disintermediate providers of traditional subscription software – or give them an opportunity by deploying AI themselves or being the golden source for leading AI providers.



Figure 2: Data providers and S&P 500 Index share price YTD, indexed to 100



Source : Bloomberg Finance LP, Deutsche Bank Research

Two life-changing scenarios?

Despite the challenges of adoption, there is no doubt that life for junior bankers in particular will change over time.

Anthropic described two scenarios.

In one, a natural resources group banker responds to a client who is considering taking their company private by forwarding a message to Claude using voice mode and Cowork Dispatch messenger. The tool then runs a pitch builder, including comps (comparable company) analysis, drawing in information from third-parties such as Standard & Poor's and Factset; creates an adjustable spreadsheet and an interactive slide deck; and prepares a draft to mail to the client.

In another scenario, a fund accountant uses a valuation review agent to pull tailored quarterly financial information before handing over to a statement auditor agent and then to a client.

The finance agents are available as plugins for users of Claude Cowork – which executes multi-step office tasks on a user's behalf – and Claude Code – an AI-powered coding assistant – running alongside Microsoft Excel, Powerpoint, Word and (soon) Outlook.

They are also available as a so-called cookbook for Claude Managed Agents, running autonomously on the Claude Platform for more in-depth work. They run best on Claude's latest Opus 4.7 model, Anthropic said. OpenAI and Google offer their own AI finance tools to perform some of the same tasks.

Three levels of adoption

Longer term, there are likely to be three levels of adoption of AI in financial services, with the first and parts of the second well-advanced, but the third still nascent:



1. **Individual productivity augmented:** tools like Cowork and Microsoft 365 Copilot.
2. **Processes automated:** streamlining operations and increasing efficiency, notably in back-office functions. Tasks like triaging incoming emails, and processes like onboarding, credit scoring and claims processing, may be among those that can be enhanced.
3. **Systems transformed:** building on AI platforms to create new workflows, rather than automating parts of existing workflows, and creating new revenue streams and business models. This may include autonomous agents running areas like trading and operations end-to-end; 24/7 market monitoring, client service and trade execution; and agents using multimodal data to update in real time.

Some areas are likely to remain elusive for longer still. Handing the keys to AI to trade the markets, the Holy Grail of capabilities, continues to be risky. Bloomberg reported today on a series of trading contests including one on [Alpha Arena](#), run by Nof1, where a portfolio run by eight major frontier systems lost about a third of its capital in two weeks.

Obstacles to extracting AI value

Getting the most out of the remarkable capabilities of AI will take time and depends on factors including:

1. **Adoption:** as mentioned above, only about a third of US finance companies are using AI in their business functions.
2. **Intensity:** most AI users still only dabble, with only 12 percent using it daily, according to St Louis Fed survey data.
3. **Suitability:** most jobs are a bundle of tasks, with some studies suggesting only one fifth of all US tasks can be performed by AI.
4. **Economic threshold:** even where tasks can be performed by AI at all, it may still be cheaper for humans to do them. Two years ago, admittedly a lifetime in AI terms, Nobel Prize-winning economist Daron Acemoglu's [Simple Macroeconomics of AI](#) paper cited data suggesting only a quarter of AI-liable tasks would be able to be automated.
5. **Overall cost:** while the capabilities of AI are increasing by the day, so is the cost of using more and more (albeit cheaper) tokens to execute more and more complex operations. At some point, companies will need to rein in token use and consolidate rather than letting every high-rolling employee develop an army of their own agents.

(These still low levels of deployment suggest that there could be significant latent demand justifying US hyperscaler capital expenditure on data centres reaching \$725bn this year. Shares in AMD, the No. 2 AI chipmaker, some way behind Nvidia, surged as much as 21 percent today after it boosted its sales forecast for the second quarter and said the market for generalist Central Processing Unit (GPU) chips will grow at greater than 35 percent a year to reach over \$120bn by 2030.)

What about us?

Humans still have a lot to offer. Beyond physical dexterity, most finance professionals will have an edge in qualities that clients are likely to want to pay for in the future:



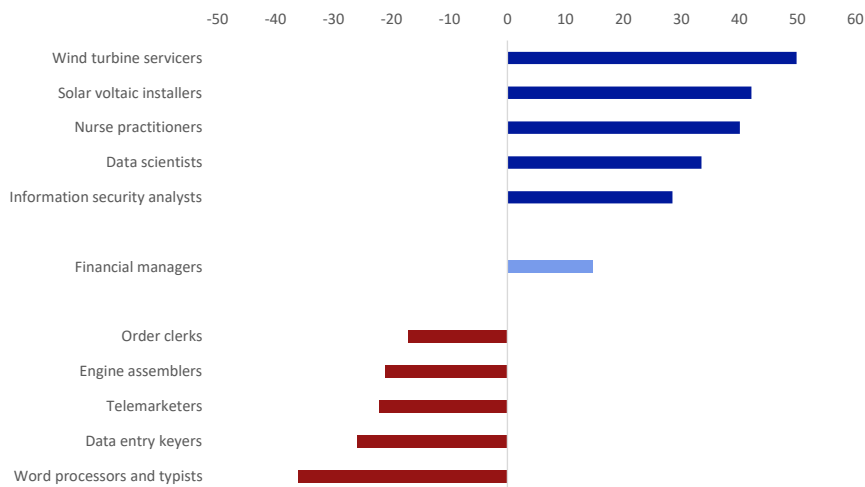
1. **Judgement** in defining problems and assessing outcomes, particularly unusual and risky edge cases;
2. **Genuine creativity**, rather than safe, centre-of-the-bell-curve amalgamations of what has gone before;
3. **Emotional intelligence**, including rapport, common sense and ethics.

An open question is how humans can develop these qualities if AI takes away much of the early-career grunt work where they are forged.

AI agents can boost those qualities while outperforming on aspects they do better and faster: analysing vast amounts of data; generating content; and executing tedious multi-step processes, with lower operational risk, an auditable workflow and humans in the loop only where necessary.

Consequently, the US Bureau of Labor Statistics predicts that financial managers will see a 15 percent increase in numbers over the coming decade.

Figure 3: Fastest growing and (selected) fastest declining occupations in US, 2024 to projected 2034 (% change)



Source : US Bureau of Labor Statistics, Deutsche Bank Research

That puts them among the winners in a list led by wind turbine servicers and solar voltaic installers, themselves benefitting from the need for energy to power the mushrooming of data centres. After nurse practitioners, another two occupations are also likely to be direct beneficiaries of AI: data scientists and information security analysts.

The larger of the fastest declining occupations will include word processors and typists, down by more than one third, the Bureau predicts, as well as data entry keyers, both performing tasks squarely in the sights of AI agents.



Recent relevant research

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[AI is not convinced AI is a major disinflationary force](#) (April 9, 2026)

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[Three AI themes for 2026: the honeymoon is over](#) (Jan 20, 2026)



Appendix 1

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The significance of the UAE

May 6, 2026

- The significance of the UAE extends beyond its oil production share within OPEC. The UAE is second only to Saudi Arabia with regard to production flexibility, both for reducing output (discipline) and increasing it (spare capacity). Notably, the UAE also played a larger role in production cuts during the GFC than Qatar, another former "OPEC 'Core'" member, which exited in 2019. Therefore, with the UAE's absence from May, OPEC and the OPEC+ coalition will have a diminished ability to manage market surpluses and deficits.
- The economic and fiscal motivations for the UAE's decision appear obvious, quite apart from the well-known political issues. The UAE stands out among much of its OPEC brethren due to its lower fiscal breakeven oil price. In fact, amongst oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, while Iran (USD 165/bbl) is at the higher end of the spectrum.
- In light of the UAE's pledge to "continue to act responsibly, bringing additional production to market in a gradual and measured manner", we anticipate that the UAE will most likely increase its production towards sustainable capacity over a period of a year following the end of commercial shipping restrictions.

UAE exit preceded by policy dissents

The UAE exit from OPEC follows several dissents from group production decisions, notably in November 2020 and July 2021 when these disagreements became public knowledge, and its possible departure from OPEC was discussed in the media as a "trial balloon".¹ The exit also occurred despite some OPEC recognition and accommodation of the UAE's increased production capacity to 4.85 mmb/d, announced in May 2024.² In 2024, the UAE successfully lobbied for a higher production quota to be phased in over the course of 2025, resulting in the largest percentage increase among all OPEC-9 countries subject to a quota (Figure 1).

¹ UAE gets higher OPEC+ crude production quota", S&P Global, 4 Jun 2024, (<https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/060424-uae-gets-higher-opec-crude-production-quota>).

² UAE's ADNOC ups crude production capacity to 4.85 million b/d", S&P Global, 2 May 2024, (<https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/050224-uaes-adnoc-ups-crudeproduction-capacity-to-485-million-bd>).

Authors

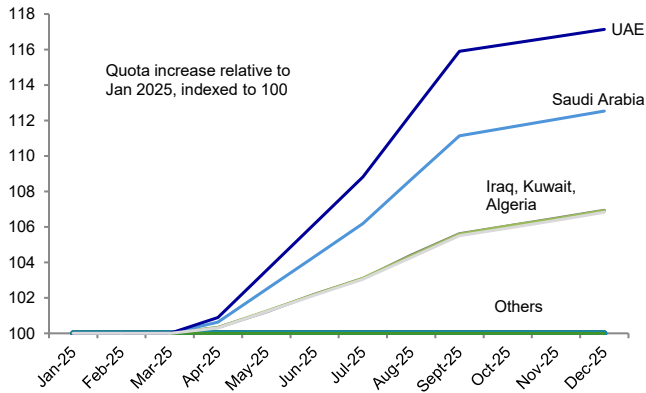
Michael Hsueh

Research Analyst

4 May 2026
Hsueh On Oil



Figure 1: UAE saw the largest proportional quota increase in 2025 (Jan'25=100)

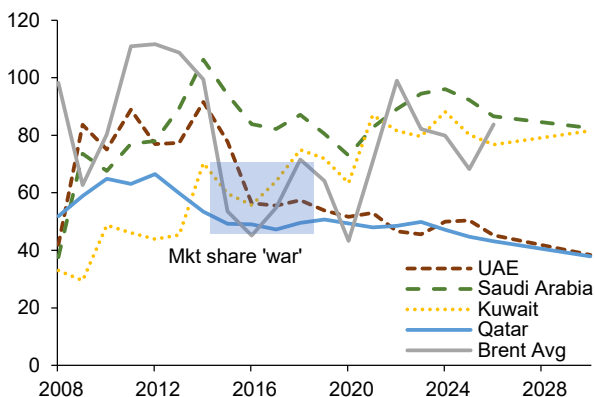


Source : OPEC, Deutsche Bank

UAE and Qatar share low fiscal breakeven oil prices

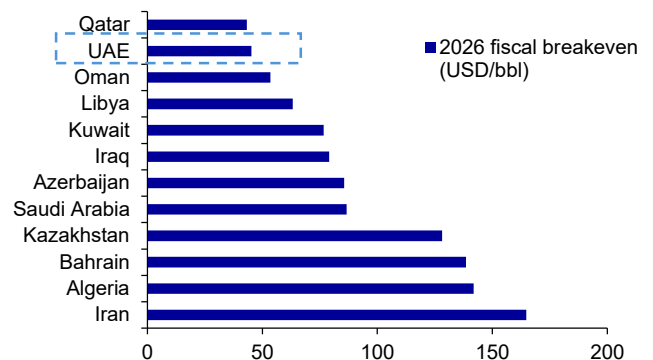
The economic and fiscal context for the UAE's decision appears obvious, quite apart from the well-known political issues.³ The UAE stands out among many of its OPEC counterparts by its lower fiscal breakeven oil price. Since the market share "war" starting from the end of 2014 through 2019, the UAE's fiscal breakeven has diverged from those of Kuwait and Saudi Arabia (Figure 2). In fact, amongst the oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, with Iran (USD 165/bbl) at the opposite end of the spectrum (Figure 3).

Figure 2: UAE diverged from Saudi Arabia and Kuwait in fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

Figure 3: UAE and Qatar (2019 exit from OPEC) have lowest fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

High contribution to supply discipline

The UAE's contribution to OPEC supply discipline extends beyond its share of oil production falling under the OPEC umbrella. Along with OPEC founding members

3 "The Saudi Arabia-UAE Dispute Is About More Than Just Yemen", Foreign Policy Magazine, 8 Jan 2026, <https://foreignpolicy.com/2026/01/08/saudi-arabia-uae-dispute-yemen-sudan/>.

4 May 2026
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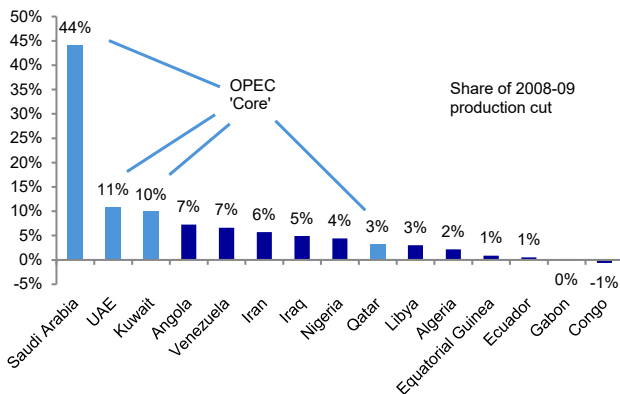


Saudi Arabia and Kuwait, the UAE (joined in 1967) and Qatar (joined 1961, exited 2019) were considered to be OPEC 'Core' countries in the sense that they are "immediate neighbors of Saudi Arabia and have usually followed similar policies."⁴

In early 2008, the UAE's share of OPEC production was only 8%, yet it contributed 11% of the production cut (Figure 4). The UAE's "sacrifice" as a percentage of its own production was comparable to Saudi Arabia's (Figure 5), while non-Core countries generally made lesser sacrifices. By 2026, the UAE's share of OPEC production had risen to 12% just before the US-Iran war. While the UAE has typically produced above its quota, it has not been a remarkable standout in this regard (Figure 6), with Saudi Arabia and Kuwait also being similar or larger over-producers in recent years (2024-2025).

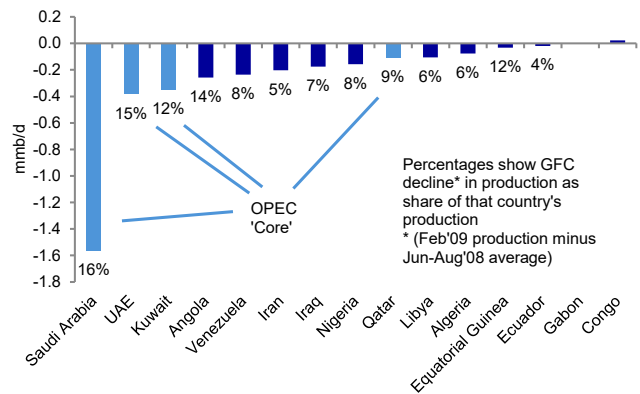
This implies that to achieve the same impact in addressing demand shortfalls, other countries would need to sacrifice slightly larger shares of production and revenue. In 2020, the lower compliance demonstrated by OPEC+ coalition partners under the Declaration of Cooperation (shown as 'non-OPEC' in Figure 7), suggests there is more room for improvement here than within OPEC proper. The nine OPEC+ coalition partners produced 13.4 mmb/d in January 2026, compared to 24.6 mmb/d from the OPEC-9 countries subject to a quota, and 30.1 mmb/d from all twelve OPEC countries including Libya, Venezuela and Iran.

Figure 4: UAE share of 2008-09 OPEC cut was second-largest



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&e; as modified by Deutsche Bank

Figure 5: UAE 'sacrificed' nearly as high a share of its production as Saudi Arabia in 2008-09 (mmb/d)



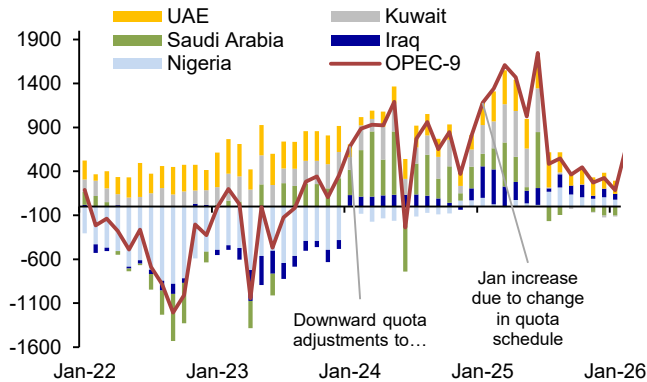
Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&e; as modified by Deutsche Bank

4 Gately, Dermot. "Lessons from the 1986 Oil Price Collapse", Brookings Papers on Economic Activity, June 1986, https://www.brookings.edu/wp-content/uploads/1986/06/1986b_bpea_gately_adelman_griffin.pdf.

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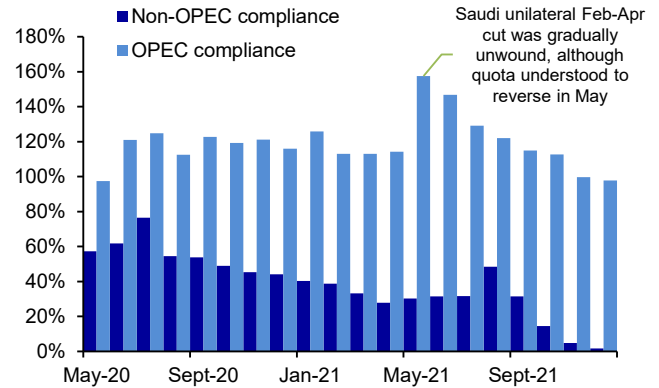


Figure 6: Notable OPEC-9 countries with production above or below quota (kb/d)



Source : Bloomberg Finance LP, IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&c; as modified by Deutsche Bank, Kpler

Figure 7: OPEC+ coalition partners' compliance was lower than OPEC-9 countries in 2020-21



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&c; as modified by Deutsche Bank

Second-highest spare capacity in OPEC-9

Regarding the capacity to raise production, the UAE is also relatively important, though not nearly as crucial as Saudi Arabia. Its average spare production capacity since 2020 has been 0.8 mmb/d, compared to 2.5 mmb/d for Saudi Arabia. If ADNOC's May 2024 estimate of sustainable capacity is used, the UAE's average spare capacity would rise to 1 mmb/d, as the IEA's estimate of sustainable capacity remained at 4.3 mmb/d in 2025. Consequently, after the UAE's departure, OPEC and the OPEC+ coalition will have less flexibility in mitigating market deficits.

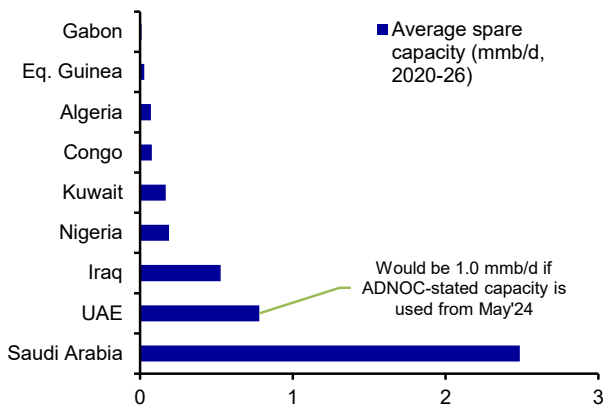
This point can also be illustrated by comparing the UAE to other countries that have recently departed from OPEC (Figure 9), showing that the UAE has a greater capacity to create oversupply. However, as the Minister of Energy and Infrastructure rightly points out, "the timing now is perfect" because "the impact is going to be minimal on all of the producers", and from the consumer's point of view, "the world will need much, much more production of energy."⁵

5 "Opec exit 'purely a policy move', UAE energy minister says", The National News, 29 Apr 2026, <https://www.thenationalnews.com/business/energy/2026/04/28/opec-exit-purely-a-policy-move-uae-energy-minister-says/>.

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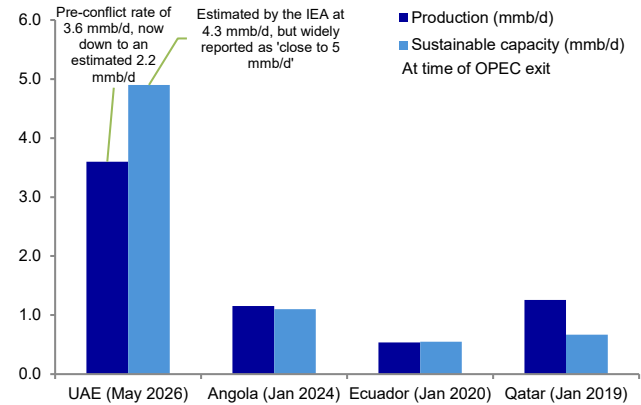


Figure 8: UAE possessed second-largest spare capacity out of OPEC-9 countries subject to a quota



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&c; as modified by Deutsche Bank, Kpler

Figure 9: UAE has more potential to raise production than other countries at time of exit



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UAE will continue to act responsibly

Beyond these important facts of the UAE's supply flexibility, it is worth noting from the Ministry of Energy and Infrastructure's public statement that:

"Following its exit, the UAE will continue to act responsibly, bringing additional production to market in a gradual and measured manner, aligned with demand and market conditions."⁶

Additionally,

"This decision does not alter the UAE's commitment to global market stability or its approach based on cooperation with producers and consumers. Rather, it enhances the UAE's ability to respond to evolving market needs."

From these statements, we infer that following a Strait of Hormuz re-opening, there may not necessarily be a very rapid increase in UAE production, even considering the extreme supply deficits currently estimated. We could also infer that to demonstrate its commitment to market responsibility, the Ministry of Energy may be especially careful with its production profile after a Strait of Hormuz reopening, since its behaviour will likely be under close scrutiny by the market. Accordingly, we believe it most likely that the UAE will raise its production towards sustainable capacity over a period of a year.

6 "UAE announces decision to exit OPEC & OPEC+", Emirates News Agency, 28 Apr 2026, (<https://www.wam.ae/en/article/bzxzuh7-uae-announces-decision-exit-opec-opec>).



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May 5, 2026

Q&A with Matthew Barnard

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As equity research adapts to rapid shifts in technology, markets and client behaviour, Matt Barnard, Head of US Equity Research, is helping steer how Deutsche Bank evolves its research offering. In this edition of our Q & A series, Matt shares his perspective on the new ways clients are consuming research, his outlook for US markets, and what it's like leading research teams through a period of significant change.

Q: You've spoken about the equity research landscape undergoing a fundamental shift. What has changed most in how clients discover, engage with and use research today?

AI is fundamentally changing how clients consume sell-side research. As information becomes more easily accessible through AI tools, the value of differentiated insights from trusted sources has moved higher up the value chain. Investors are increasingly using AI to discover new ideas and challenge consensus views more quickly and efficiently. This allows them to filter out noise and spend more time engaging in deeper, more meaningful conversations with our Deutsche Bank research analysts.

Q: Against a complex backdrop for US geopolitics and policy, how do you currently assess the outlook for US markets – and which themes matter most for clients as we move through 2026?

Geopolitical developments in the US and globally continue to be a significant driver of volatility across risk assets. Deutsche Bank research's macro and strategy teams have consistently taken bold, often counter-consensus views, which are especially valuable in this environment. While conflicts in the Middle East will likely continue to create ripple effects across markets, the underlying fundamentals for US equities remain relatively strong. The rapid acceleration of AI adoption – and the associated capital investment – remains a key thematic focus for clients, both in the US and globally.

Q: You now lead teams through a period of rapid change. What do you find most rewarding about working in research management at this point in the cycle?

At its core, the role of an equity research analyst is to form forward-looking views with imperfect information. The strongest analysts thrive in periods of uncertainty and rapid change, identifying emerging trends and uncovering new investment opportunities early. From a management perspective, the



Q&A with Matthew Barnard

most rewarding part of my role is seeing some of the brightest minds in research stay ahead of these shifts and deliver true alpha for our clients.



Q&A with Matthew Barnard



Q&A with Matthew Barnard

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This Month in Geopolitics: May 2026

Key events, themes and trends to watch in the month ahead

May 2026

Dr. Helen Belopolsky | Miha Hribernik

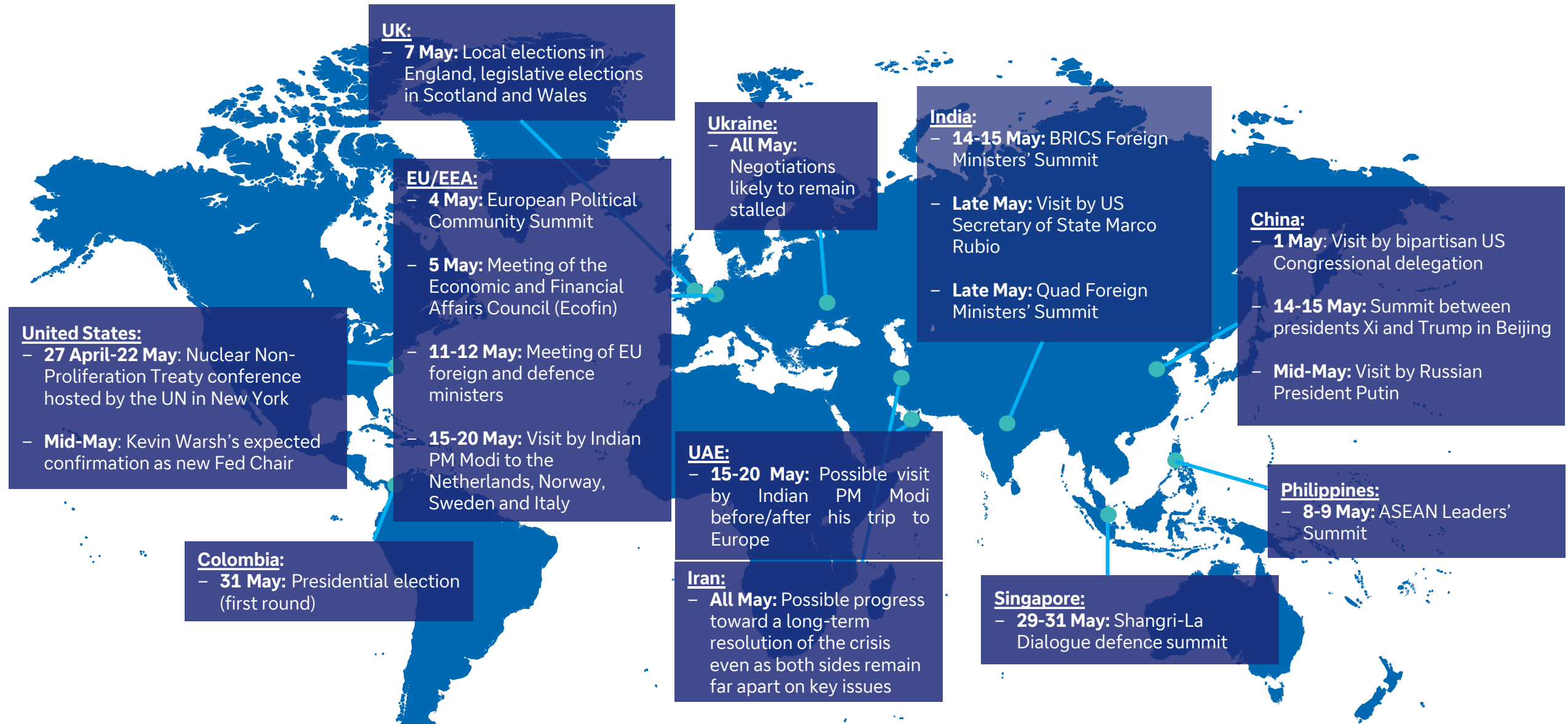
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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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At a Glance: Geopolitical events to watch in May 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



Source: Deutsche Bank

In focus for May: The war in Iran and the Xi-Trump summit in Beijing



The War in Iran: An End in Sight?

Key points of contention remain between the two sides, including Iran's nuclear programme, the closure of the Strait of Hormuz and sanctions relief. The US rejection of Iran's latest peace proposal on 1 May, and Iran's warning of possible military action on 4 May, underscored that both sides remain far apart on key issues. But despite the precarious ceasefire, the probability of a longer-term resolution is assessed to be strong. The US is facing diminishing returns and increasing domestic and international pressure as the economic consequences of the crisis grow, which will likely push the administration towards a settlement.

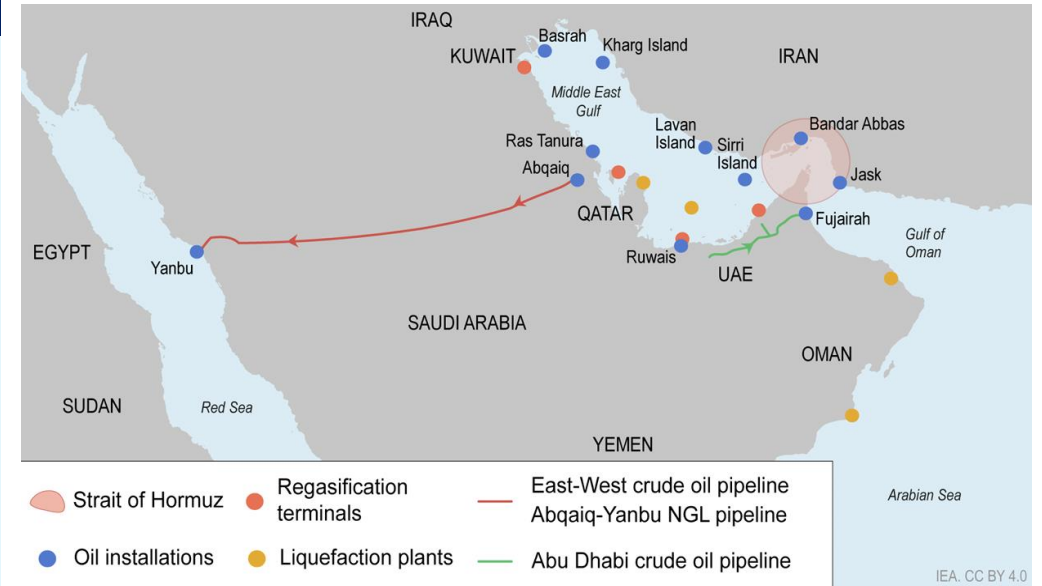
This conflict is a transformative event for the Middle East, shattering the previous geopolitical equilibrium and creating a new, unpredictable reality – as illustrated by the UAE's decision to leave OPEC on 1 May. Iran is expected to emerge with enhanced influence, while Gulf states will likely re-evaluate their security posture and further diversify their international relationships beyond the United States. Post-conflict normalization and economic recovery will be a lengthy process, likely taking months. Rebuilding critical infrastructure like Qatar's Ras Laffan gas field and restoring confidence for shipping through the Strait of Hormuz – which remains far below pre-war levels (see chart) will take considerable time, with knock-on effects like inflation likely lasting well into the second half of 2026.

Xi-Trump Summit: Toward a Tactical Deal

Barring a significant escalation in the Iran war, the summit between presidents Xi and Trump on 14-15 May will likely go ahead as planned – and deliver a package of tactical agreements. The meeting will likely coalesce around limited, but potentially more achievable, deliverables. These could include Chinese commitments to purchase up to 500 Boeing jets, US soybeans and energy, as well as Chinese requests for the US to ease export controls, including on chips and aircraft engine parts. Both sides could also agree to set up a 'Board of Trade' to increase bilateral trade in non-sensitive areas. Progress on a proposed 'Board of Investment' could be more limited owing to mutual national security concerns linked to investment, although the summit could still deliver a small number of investment deals.

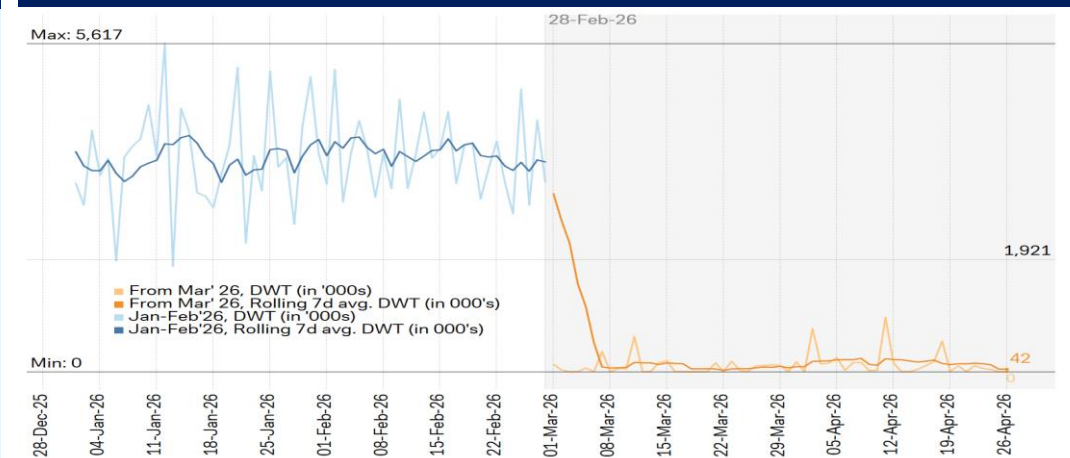
Despite recent [signs of friction](#) over Iran, both sides appear to be prioritizing bilateral stability. The threshold for another summit deferral is likely high. But a breakdown of the US-Iran ceasefire and a return to fighting would be a notable downside risk, increasing the probability of another summit delay or even a cancellation.

Oil and gas infrastructure in the Gulf



Source: International Energy Agency

Tanker activity exiting the Strait of Hormuz (in DWT'000s)



Source: dbDataInsights

Other key events, issues and themes to watch in May 2026

Listed in chronological order



Ukraine war (all May)

Negotiations for a ceasefire in Ukraine will likely remain stalled during May. While there is ongoing diplomatic activity, no new rounds of ceasefire talks are publicly scheduled for May or June. Ukrainian President Zelenskyy has stated that the US wants Russia and Ukraine to reach a peace agreement by June. However, the specifics of how this would manifest in terms of scheduled meetings are unclear.

While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have implications for markets. These could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, data centres and artificial intelligence.

Nuclear Non-Proliferation Treaty conference (27 April – 22 May)

The UN-sponsored conference in New York is taking place against the backdrop of rising geopolitical tensions and the prospect of a new nuclear arms race. The expiry of the New START Treaty on 5 February marked the end of the last binding nuclear arms control agreement between the US and Russia. Both countries retain the world’s largest nuclear warhead inventories (see chart). While these have shrunk slightly in recent years, the unravelling of the New START deal could reignite nuclear competition.

Meanwhile, China is pursuing a significant expansion of its nuclear stockpile. There is little evidence to suggest that either the New York conference or other recent initiatives – including a proposal by President Trump for a new arms control treaty between China, Russia and the US – are likely to translate into binding agreements in the near term.

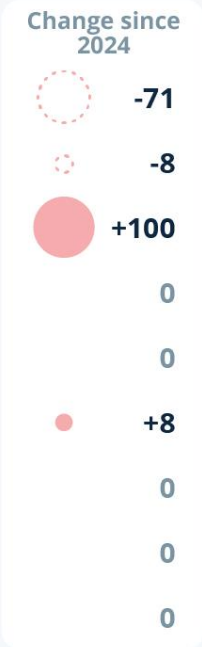
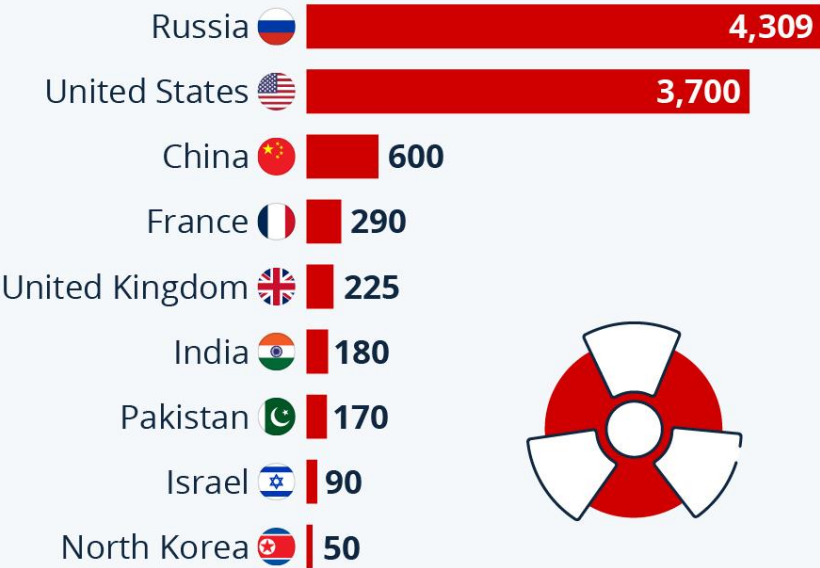
Bipartisan US Congressional delegation visiting China (1 May onward)

The reported visit reflects continued engagement and relative stability in China-US ties ahead of the Xi-Trump summit. The five-person delegation led by Republican Senator Steve Daines reportedly visited Beijing and Shanghai. The delegation is purportedly interested in better understanding China’s technological innovation and infrastructure, including its high-speed rail network.

Estimated nuclear warhead inventories, 2024-25

The Countries Armed With Nuclear Weapons

Estimated nuclear warhead inventories (as of Jan. 2025)*



* Deployed warheads as well as warheads in central storage. Excludes retired warheads
Source: SIPRI



Source: Statista



Other key events, issues and themes to watch in **May 2026**

Listed in chronological order



European Political Community Summit (4 May)

The summit will likely cover issues including energy security, defense, technology cooperation, and the conflicts in Iran and Ukraine. The European Political Community was established in the wake of the Russian invasion of Ukraine in 2022, with the goal of bolstering Europe-wide geopolitical cooperation. The group currently has 47 members, including non-EU members such as Türkiye, Armenia and Azerbaijan. The 4 May summit will take place in the Armenian capital Yerevan.

EU Economic and Financial Affairs Council meeting (5 May)

The meeting of the EU's financial and economic ministers will cover topics including the economic impacts of the Russian invasion of Ukraine, European economic recovery and tax fraud. The council will also hold a debate on the market integration and supervision package – a series of measures intended to strengthen the integration and efficiency of the EU's financial system.

Elections in the UK (7 May)

The elections could see a realignment in voter preferences toward the Reform and Green parties. In **England**, local elections will see more than 5,000 council seats up for grabs, as well as six directly elected mayoral posts. Recent polls suggest a surge in support for the Reform Party – which is among other policies advocating for tighter immigration curbs and lower taxation – and the Green Party. Labour and the Conservatives are facing significant seat losses.

Polls ahead of **Scotland's** parliamentary election on the same day indicate a lead for the ruling pro-independence Scottish National Party, with Labour and Reform virtually tied for second place. The Conservative Party – which came in second with almost a fifth of all votes in 2021 – could see its support halved.

For the legislative election in **Wales**, polls suggest support for the ruling Labour party could almost halve, with Reform and pro-independence Plaid Cymru nearly tied for first place, each with around 25%-29% of the projected vote.



Source: [Guillaume Périgois on Unsplash](#)

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order



ASEAN Leaders' Summit in the Philippines (8-9 May)

The Iran crisis and its economic impacts on Southeast Asia – which include inflationary pressure, rising fiscal burdens due to energy subsidies, and jet fuel shortages – are expected to dominate discussions. Talks will also likely focus on the war's implications for energy, food prices, and for the region's large expatriate community in the Middle East, as well as critical minerals, and the South China Sea Code of Conduct.

EU foreign and defence ministers' meetings (11-12 May)

The session is expected to include discussions on the EU's response to the war in the Middle East and the management of any knock-on implications of the conflict for the EU's support for Ukraine. Ministers will also discuss inputs into the development of the upcoming European Security Strategy.

Kevin Warsh's expected confirmation as new Fed Chair (mid-May)

The US Senate is expected to confirm the nomination of Kevin Warsh as the new Chairman of the Board of Governors of the US Federal Reserve. The vote will likely be scheduled during the first half of May. Current US Fed Chair Jay Powell's term as Chair expires on 15 May, by which point Trump administration officials and Senate Republicans are likely to push for Warsh's confirmation to be complete. If confirmed, Warsh's first FOMC meeting will take place on 16-17 June.

Russian President Putin to visit China (mid-May)

Putin's visit to China will likely seek to cement the China-Russia partnership (including more energy supplies for Beijing) and coordinate US policies after the Xi-Trump summit. Media reports indicate Putin could visit during the week of 18 May. The timing could suggest an exchange of views with China on the outcomes of the Xi-Trump summit, and an effort to coordinate policies toward Washington. Putin and Xi could also seek to deepen diplomatic and security ties, and coordinate on the Iran conflict, given Tehran's status as both countries' close partner.

For Beijing, securing increased Russian energy imports may be another objective. Russia's Foreign Minister Lavrov stated on 15 April that Moscow is willing to boost exports to China. The supply of Russian crude already rose by a [reported](#) 31% y/y during 2026-Q1.



Source: [Rafik Wahba](#) on [Unsplash](#)

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order



Indian Prime Minister Narendra Modi expected to visit Europe and the UAE (15-20 May)

The expected visit to Italy, Norway, Sweden, and the Netherlands will likely seek to further strengthen trade and investment ties. This will include attendance at the India-Nordic Summit on 15 May. Talks will likely cover issues including energy, technological cooperation and defence, with the goal of deepening strategic cooperation as India pursues economic and trade diversification amid the ongoing global energy shock. Reports suggest Modi's itinerary could include a stop in the United Arab Emirates – India's key Gulf partner – for talks on topics including regional security and energy cooperation.

India to host BRICS (14-15 May) and Quad (late May) foreign ministers' meetings

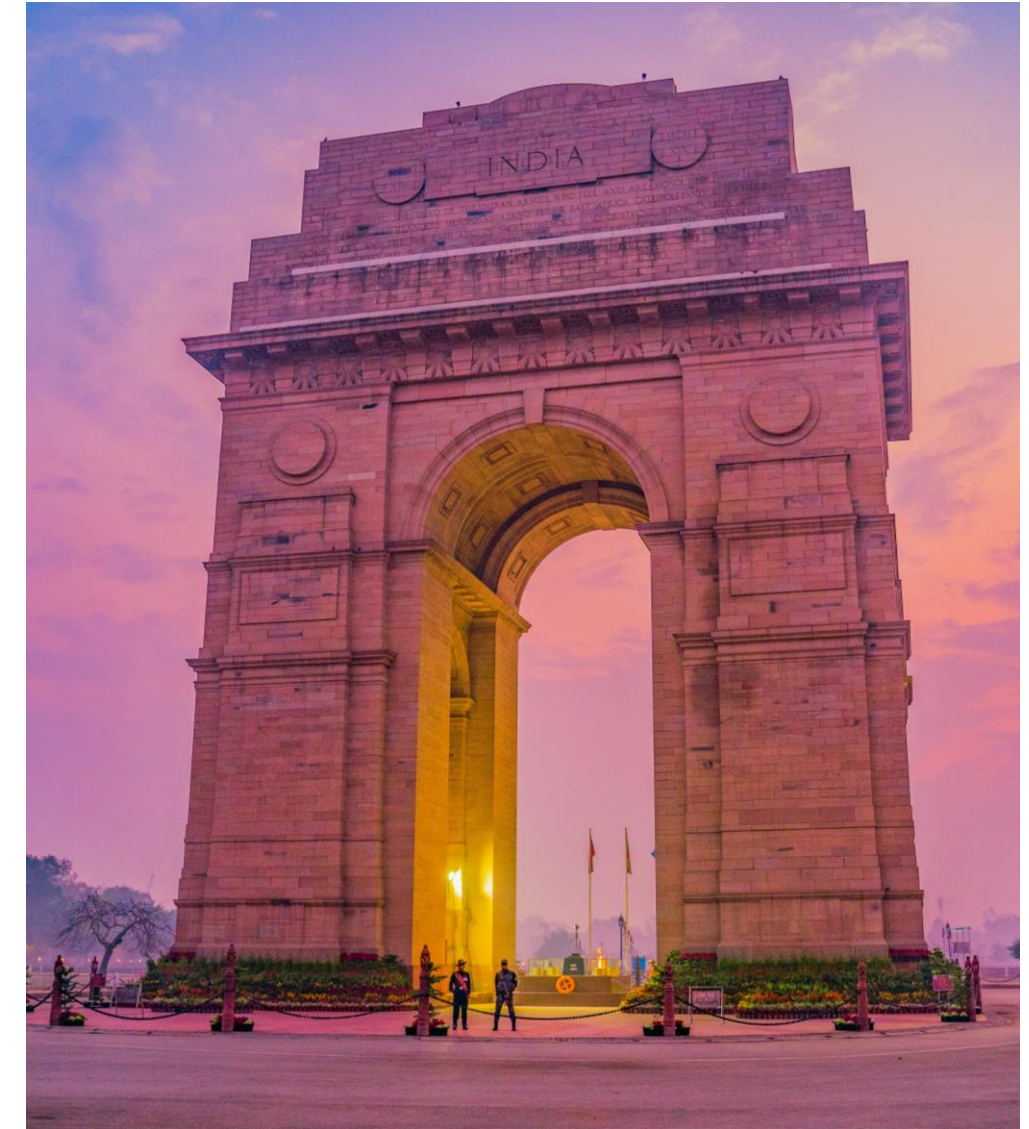
The hosting of two geopolitically competing meetings reflects new Delhi's multi-aligned policy approach. Marco Rubio's visit to India will reportedly be accompanied by the first meeting of the **Quad** group of countries (India, US, Japan and Australia) since July 2025. The Quad intends to bolster cooperation in areas including maritime security, infrastructure resilience, and emerging technologies.

New Delhi will also host a meeting of the **BRICS** foreign ministers, with talks expected to lay the groundwork for the BRICS Leaders Summit in India in September. While the meeting could address the Iran war, BRICS is unlikely to adopt a coordinated response to the crisis given members' diverging views on the issue. But as we have argued, the absence of a BRICS consensus on a geopolitical issue is not unusual. It should not be interpreted as either a setback for the organisation or as a potential point of fracture (see [Thematic Research: Geopolitical Crossroads: India's Strategic Balancing Act](#)).

US Secretary of State Marco Rubio to visit India (late May)

Rubio's India visit is expected to include talks on trade, critical minerals and energy. The visit will follow in the wake of the latest round of India-US trade talks in Washington in late April. Both sides are reportedly close to finalising the trade framework agreement from early February.

Rubio's visit and the ongoing trade talks reaffirm our view that India-US ties remain largely on track despite recent trade friction. This is due to a convergence of interests, including around long-term economic cooperation and shoring up India's position as an investment and manufacturing alternative to China ([Thematic Research: The US-India Bargain: Tariffs and Geopolitical Alignment](#)).



Source: [Swapnil Bapat](#) on [Unsplash](#)

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order



Shangri-La Dialogue defence summit in Singapore (29-31 May)

Singapore will host the annual Shangri-La Dialogue defence summit from 29-31 May. The event will bring together military and government officials from across the Asia Pacific and outside the region. The event can provide insights into how countries such as China and the US intend to approach major geopolitical challenges, including second-order security impacts from the Iran war.

Presidential election in Colombia; first round (31 May)

Colombia will hold the first round of its presidential elections on 31 May. A second round, if no candidate secures more than 50% of the vote, is expected and scheduled for 21 June.

Left-wing candidate Iván Cepeda is currently leading in most polls, with a tight race expected between two centre-right/right candidates, Paloma Valencia and Abelardo de la Espriella, who are competing for a position in the second-round runoff.



Source: [Random Institute](#) on [Unsplash](#)

Appendix 1



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Q2 Corporate Bank Quarterly

A guide to Macro, Markets, Geopolitics & Tech for CFOs
and Corporates

April 2026

Marion Laboure | Camilla Siazon | Luke Templeman,
Adrian Cox | Helen Belopolsky | Miha Hribernik | Jim Reid

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Introduction: Macro, Markets, Geopolitics & Tech

A guide for CFOs & Corporates



We're pleased to share our April 2026 Guide for CFOs and Corporates, providing essential insights into macroeconomics, markets, geopolitics and technology. This report offers critical analysis and perspectives to help corporate clients navigate today's complex economic environment.

Key highlights:

- **Macroeconomic outlook:** The Iran War is driving an energy price shock that threatens a global inflation shock, despite growth remaining resilient outside the euro area.
- **Market analysis:** Higher energy costs and rates are pulling on corporate earnings growth. Brent crude averages \$84.80/bbl in our baseline. Dollar weakness narrative resumes.
- **Geopolitics:** A long-term solution between the US and Iran is likely, but post-conflict normalization will take months. Key Q2 events to watch: Xi-Trump summit (14-15 May) and Ukraine ceasefire talks.
- **Artificial Intelligence:** AI disruption concerns have waned somewhat, however, the software sector remains under intense scrutiny and Q1 outlook announcements will be critical.
- **The future of monetary policy:** The energy shock has materially shifted central bank trajectories. Fed on hold through 2026; ECB hiking twice. The US continues to lead stablecoin adoption.

Upcoming key macro events

04 \ April	05 \ May	06 \ June
27-28 JN Bank of Japan decision		10-11 EZ ECB decision
28-29 US Federal Reserve meeting		14-16 G7 G7 summit in France
29-30 EZ ECB decision		15-16 JN Bank of Japan decision
30 UK Bank of England decision		16-17* US Federal Reserve meeting
		18 UK Bank of England decision
		18-19 EU European Council meeting
07 \ July	08 \ August	09 \ September
01 IR Ireland holds EU Council presidency		- FR France Senate election
22-23 EZ ECB decision		09-10 EZ ECB decision
28-29 US Federal Reserve meeting		15-16* US Federal Reserve meeting
30 UK Bank of England decision		17 UK Bank of England decision
30-31 JN Bank of Japan decision		17-18 JN Bank of Japan decision
		30 US Fiscal-year ends- multiple agencies' funding expires
10 \ October	11 \ November	12 \ December
04-25 BR Brazilian general election	03 US US midterm elections (House & Senate)	- CH China Central Economic Work Conference
27-28 US Federal reserve meeting	05 UK Bank of England decision	08-09* US Federal reserve meeting
28-29 EZ ECB decision	09-20 COP31 COP31 in Türkiye	14-15 G20 G20 summit in US
29-30 JN Bank of Japan decision		16-17 EZ ECB decision
		17 UK Bank of England decision
		17-18 JN Bank of Japan decision

Source: [The House View: Infographic - 2026 Global Macro Events Calendar – 06-Jan-2026](#)



GDP Growth (%)				
	2024	2025	2026F	2027F
Global	3.4	3.4	3.3	3.3
US	2.8	2.1	2.4	2.2
Eurozone	0.9	1.5	0.5	1.1
Germany	-0.5	0.2	0.5	1.3
France	1.1	0.9	1.0	1.1
Italy	0.6	0.7	0.8	1.0
Spain	3.5	2.8	2.2	2.1
Japan	-0.2	1.2	0.8	1.0
UK	1.1	1.4	0.9	1.2
China	5.0	5.0	4.9	4.5
India	7.2	7.5	6.7	7.2
Russia	4.9	1.0	0.8	1.3
Asia (ex Japan)	5.4	5.5	5.2	5.1
EEMEA	3.4	3.0	2.9	3.3
LatAm	2.5	1.9	2.0	1.8
EM	4.6	4.5	4.3	4.4

- *CPI (%) forecasts are period averages. **Germany National CPI taken.
EEMEA: Czech Rep., Israel, Egypt, Hungary, Poland, Russia, Saudi Arabia, South Africa, Turkey, UAE
- LATAM (ex Venezuela): Argentina, Brazil, Chile, Colombia, Mexico, Peru
- ASIA (ex Japan): China, HK, India, Indonesia, Korea, Malaysia, Philippines, Singapore, Sri Lanka, Taiwan, Thailand, Vietnam
- Current prices as of April 28, 2026.
- *China rates are 7d OMO rates.
- **Gold, Brent and WTI forecasts are for Q2 / Q3 / Q4 2026.

CPI Inflation, YoY* (%)				
	2025	2026F	2027F	2028F
US	2.7	3.3	2.5	2.5
Eurozone	2.1	2.8	2.2	2.2
Germany**	2.2	2.9	2.4	2.9
Japan	3.2	1.8	2.2	2.2
UK	3.4	3.1	2.6	2.0
China	0.1	1.5	2.0	2.0
India	2.2	4.6	4.2	
Russia	8.7	5.7	5.4	

Central Bank policy rate (%)				
	Current	Jun 26F	Sep 26F	Dec 26F
US	3.625	3.625	3.625	3.625
Eurozone	2.00	2.25	2.50	2.50
UK	3.75	3.75	3.75	3.75
Japan	0.75	0.75	1.00	1.00
China*	1.40	1.40	1.40	1.40
India	5.25	5.25	5.25	5.25

Key market metrics				
	Current	Jun 26F	Sep 26F	Dec 26F
US 10Y Yield (%)	4.34	4.30	4.45	4.45
EUR 10Y Yield (%)	3.03	2.90	3.00	3.10
EUR/USD	1.17	1.20	1.22	1.25
USD/JPY	159	155	152	150
USD/CNY	6.83	6.80	6.80	6.70
S&P 500	7174	7450	7675	8000
**Oil WTI (USD/bbl)	97.51	90	82	73
**Oil Brent (USD/bbl)	109.56	96	87	78
**Gold	4669	5,100	5,500	5,800



01. Macroeconomics



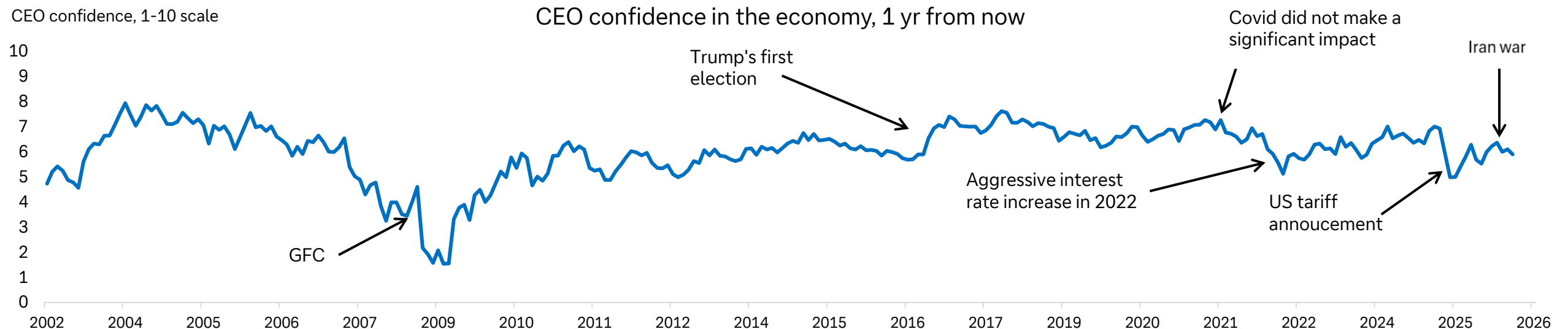
2026 Global growth

Energy shock weighs on growth, especially in the Euro Area



View	Rationale	View	Rationale
 Growth at 3.3% in 2026 and 2027.	The energy price shock from the Iran war is reverberating through the global economy, although the impact varies across regions.	 Growth increased to 4.9% in 2026, 4.5% in 2027.	Strong performance driven by a +15% y/y export surge in Q1, rebound in domestic investment, and some stabilization in the property sector.
 Growth revised to 2.4% in 2026 (2.3% q4/q4) and 2.2% in 2027 (2.2% q4/q4).	The downgrade reflects the drag from higher oil prices and softer consumer spending, counterbalanced by continued tailwinds from supportive fiscal policy, and strong AI investments.	EM	In Asia, fuel price controls have limited immediate inflation rise, but full effects will emerge as domestic prices adjust over time to higher imported input prices.
 Euro area growth decreased to 0.5% in 2026 and 1.1% in 2027. German GDP downgraded to 0.5% in 2026 and 1.3% in 2027.	The energy shock is impacting the region at a time when growth was already softening, lowering the bar to stagnation or even recession.		CEEMEA has largest upward inflation revisions, but more limited drag on activity and sentiment compared to Asia. LatAM impact less pronounced, electoral cycles remain in focus.

The drop in corporate sentiment from the Iran war is not as steep as one may think



Read: [Global Economics: Monthly Flyover \(April 2026\) - Deutsche Bank Research](#)

Marion Laboure / Camilla Siazon / Luke Templeman / Adrian Cox / Helen Beloposky / Miha Hribernik / Jim Reid

3 key risks for the global economy

The growing economic effects of the war in the Middle East are raising further questions about the government response, not just in the US but also in Europe.

1. Iran conflict

- Oil-driven energy crisis risks global stagflation, leading to higher prices and slower growth for corporates.
- Despite volatile environment, the probability of a long-term solution is strong.

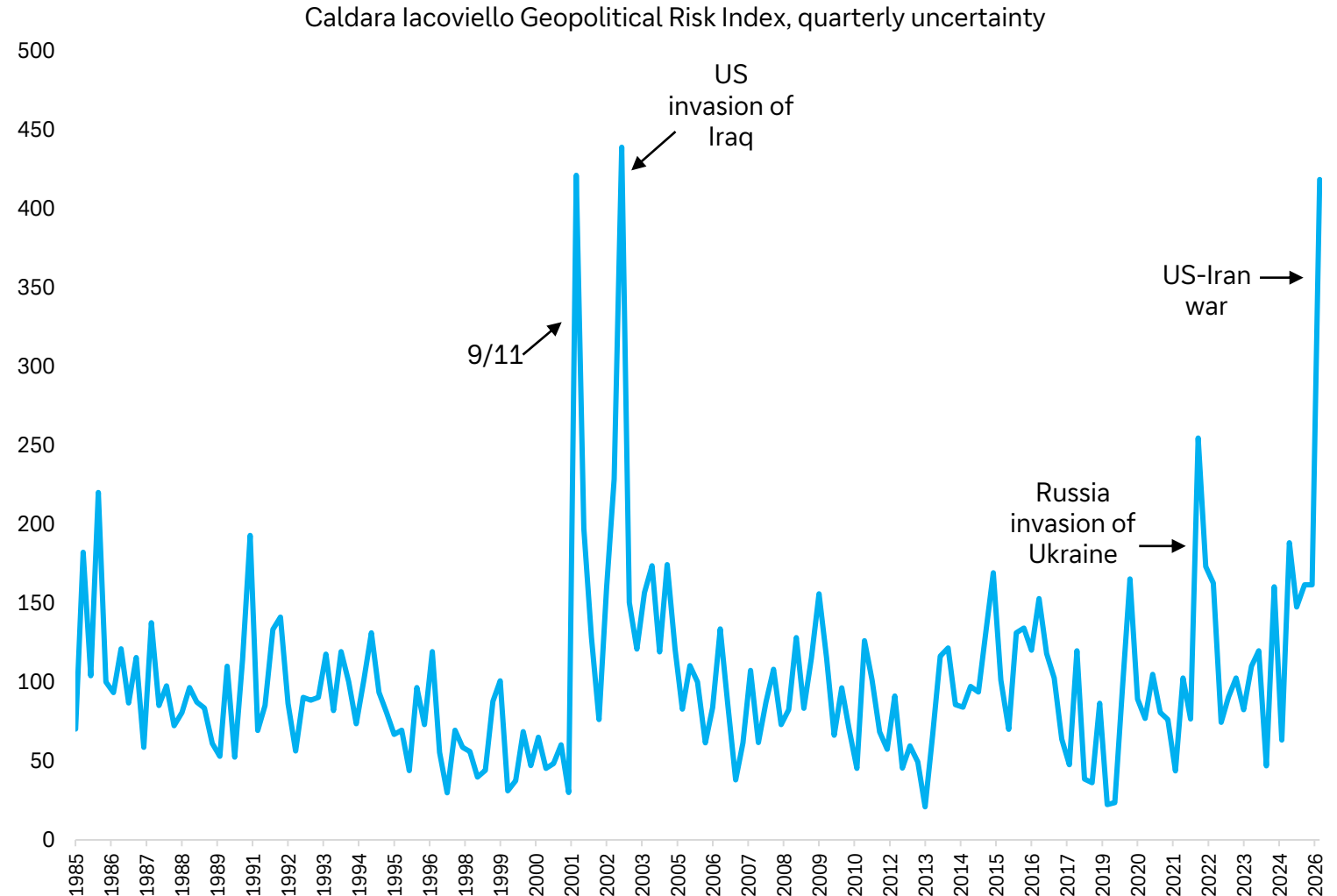
2. Private credit

- Liquidity pressures are building but default rates remain low while the most material exposures are with larger managers with more buffer.
- There are expectations of a severe shock (BDCs' discount to NAV is about 20%) however, this fear has been relatively muted in broader public credit markets.

3. AI disruption

- Concerns that AI will disrupt the labour force are, so far, unfounded in aggregate. The most likely scenario remains that job losses will be limited to specific roles and most will use AI to amplify existing roles.
- The Nasdaq has recovered from another AI-related sell-off.

Geopolitical uncertainty is now at its highest level since the US invasion of Iraq



Source: Deutsche Bank Research, Caldara, Iacoviello Geopolitical Risk Index. Takes automated text-search results of the electronic archives of newspapers

Central banks

The energy shock has shifted central bank trajectories



Fed

- Fed to remain on hold near neutral through 2026.
- Core PCE (2.9% q4/q4) set to remain above target, coupled with labour market stabilization, makes chances of easing unlikely.



ECB

- 25bp hikes in Jun and Sep to 2.50% year-end, previously on hold.
- 2.5% at the upper end of neutral; ECB is sending signal on their commitment to price stability.



BoE

- On hold at 3.75% through 2026. Upside risks stem from energy prices trickling down into core goods and food.



BoJ

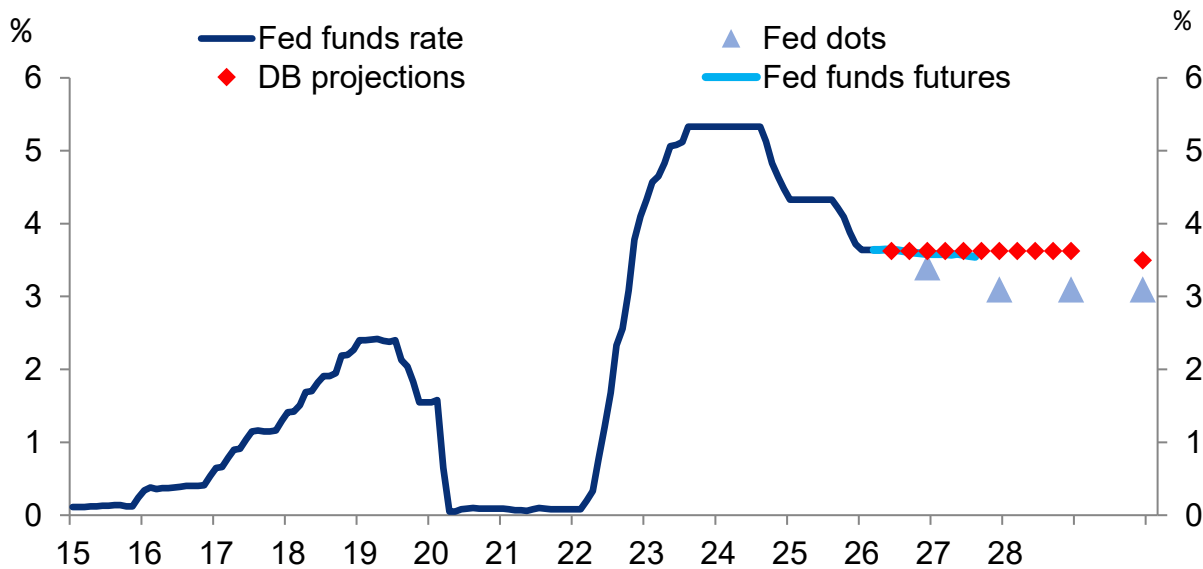
- 25bps hikes in Jul and Jan 27, 1.25% by Jan 2027.



PBoC

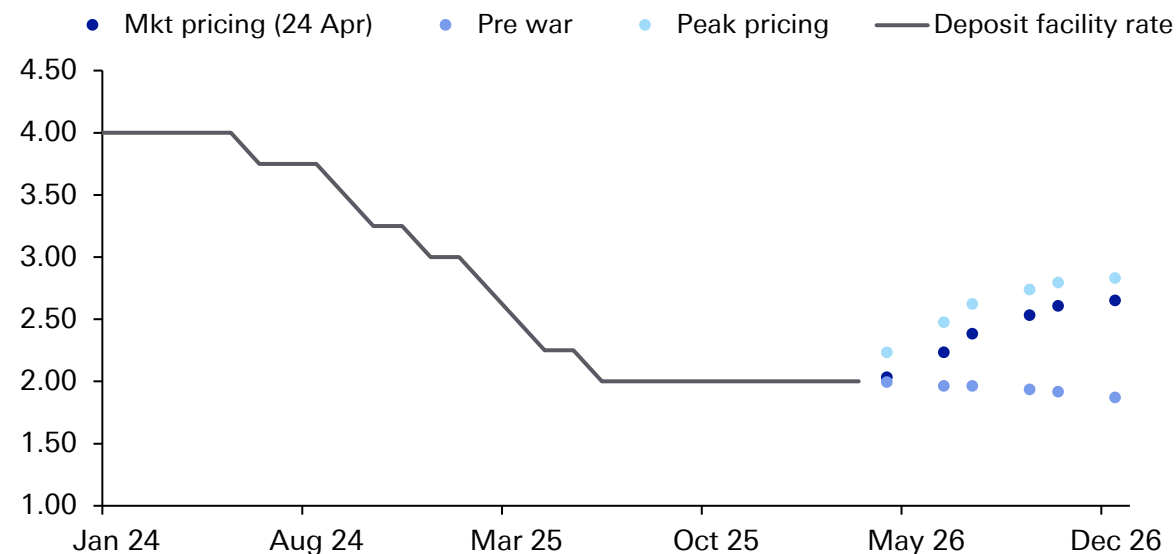
- Hold at 1.40% through 2026.

FED: Central bank is done cutting interest rates from here



Source: FRB, Bloomberg Finance LP, Haver Analytics, Deutsche Bank Research. Updated April 24, 2026

ECB: 2.50% YE, previously 2.0%



Source: Deutsche Bank Research, ECB. Updated April 24, 2026

Read: [Focus Europe: ECB Preview: Tough talk, tough decisions - Deutsche Bank Research](#) and [Fed Notes: FOMC preview: Powell's last dance? - Deutsche Bank Research](#)



02. Geopolitics



Iran conflict

An end in sight?



While diplomacy is continuing, the situation remains extremely fragile. The two sides' postures continue to diverge on Iran's nuclear programme, the pace of sanctions relief, potential reparations, Iranian support for its proxies, and long-term control of the Strait of Hormuz. While the ceasefire has been extended, the crisis remains unresolved and we should expect continued escalations and bellicose rhetoric by all parties to the conflict.

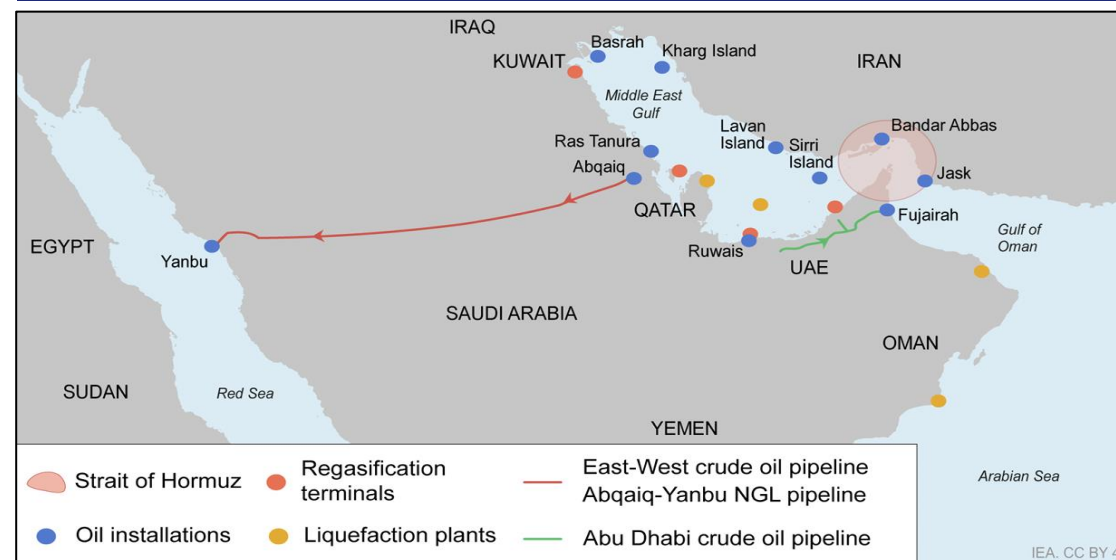
Despite the precarious nature of the ceasefire, and the added uncertainty due to the US blockade of the Strait of Hormuz, we assess that the probability of a longer-term solution is strong. The US is facing diminishing returns and growing costs. We have already witnessed increasing domestic and international pressure on Trump, which we expect will only increase as the economic fallout of crisis persists and expands.

However this ends, it will be a gamechanger for the Middle East. The long-standing Middle East geopolitical equilibrium has been shattered. Iran will likely walk away from this conflict with enhanced influence over the Strait of Hormuz, potential sanctions relief, and with greater political leverage having withstood the US and Israeli attacks. Meanwhile, the conflict illustrates that the Gulf is no longer buffered from conflict. Consequently, its relationship with the US will inevitably be impacted. We expect to see a diversification in Gulf relations in the aftermath of the acute crisis.

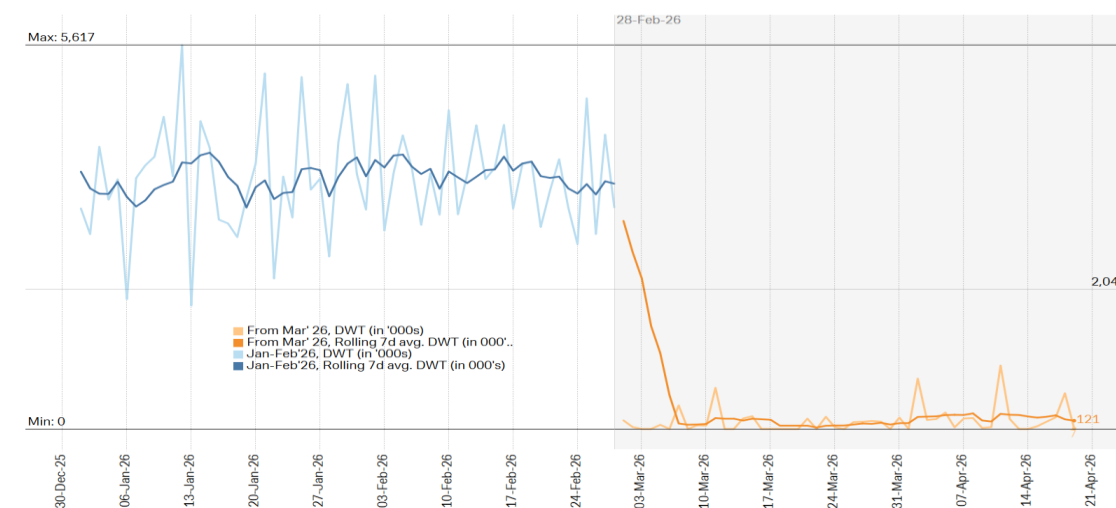
Post-conflict normalization could take months. Even if the war concludes in the near term, rebuilding critical infrastructure and restoring shipping and energy flows will take significant time. For example, repairs to Qatar's Ras Laffan natural gas field – the world's largest – could take months, inevitably delaying a rebound in global supply.

A rebound in shipping (see chart) will also be contingent on confidence – both by shippers and insurers – that the Strait of Hormuz is safe and clear of mines. This could take weeks beyond an end to the conflict. Significant knock-on effects, including for inflation, could continue well into 2026-H2 even with a near-term peace deal, including in the form of jet fuel and fertilizer shortages.

Oil and gas infrastructure in the Gulf



Tanker activity exiting the Strait of Hormuz (in DWT'000s)



Source: Deutsche Bank Research, International Energy Agency, dbDataInsights.

Other geopolitical flashpoints



Key topics to monitor during 2026-Q2

- **Trump-Xi Summit:** Barring a significant escalation in the Iran war, the summit between presidents Xi and Trump on 14-15 May will likely go ahead as planned – and deliver a package of tactical economic agreements. Despite recent signs of friction over Iran, both sides appear to be prioritizing bilateral stability for 2026, and the threshold for another summit deferral is likely high. However, a breakdown of the US-Iran ceasefire and a return to fighting would be a notable downside risk, which would increase the probability of another summit delay, or even a cancellation.
- **Putin's visit to China:** It will likely aim to cement the China-Russia partnership (including more energy supplies for Beijing), and possibly to coordinate US policies after the Xi-Trump summit. Unconfirmed Russian media reports suggest Putin could visit during the week of 18 May. Putin and Xi could also seek to deepen diplomatic and security ties, and coordinate on the Iran conflict, given Tehran's status as both countries' close partner.
- **Ukraine ceasefire talks:** Negotiations for a ceasefire in Ukraine are largely stalled. While there is ongoing diplomatic activity, no new rounds of ceasefire talks are publicly scheduled for May or June. Ukrainian President Zelenskyy has stated that the US wants Russia and Ukraine to reach a peace agreement by June. However, the specifics of how this would manifest in terms of scheduled meetings are unclear.
- While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have implications for markets. These could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, data centres and artificial intelligence.

For more on geopolitical flashpoints to watch out for, read our recent publications here:

[Iran Ceasefire: An End in Sight?](#) ; [This Month in Geopolitics: April 2026](#) ; [Geopolitical Crossroads: India's Strategic Balancing Act](#) ; [High-Stakes Diplomacy: Navigating the Xi-Trump Summit in the Shadow of Iran](#)



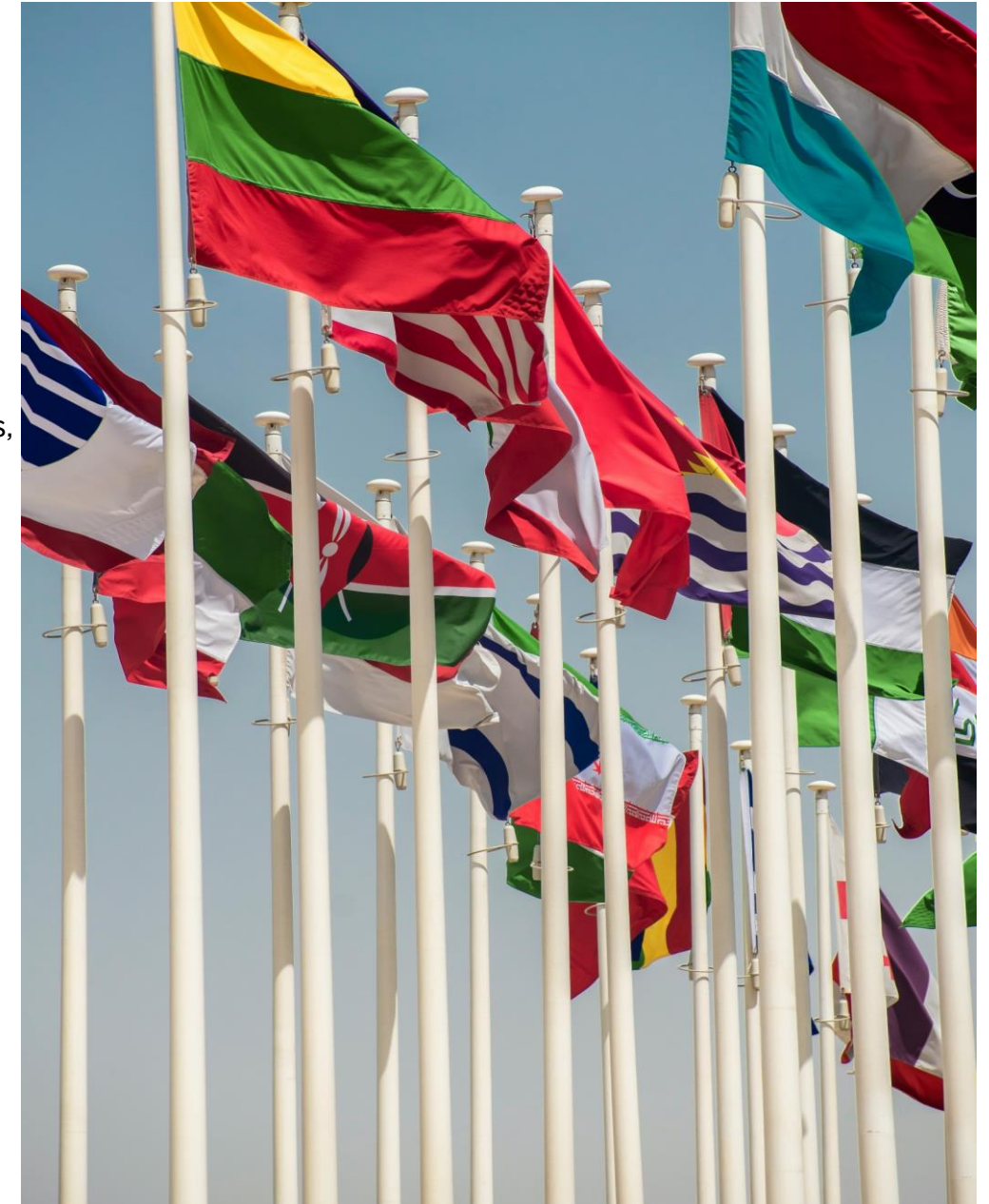
Source: [Weichao Deng](#) on [Unsplash](#)

Marion Laboure / Camilla Siazon / Luke Templeman / Adrian Cox / Helen Beloposky / Miha Hribernik / Jim Reid

Selected geopolitical events in April - June



- **7 May:** **UK** local elections and Scottish and Welsh parliamentary elections.
- **8-9 May:** The **Philippines** will host the ASEAN Leaders' Summit.
- **11-12 May:** **EU** foreign and defence ministers meetings.
- **14-15 May:** Presidents Xi and Trump are expected to meet in **Beijing**.
- **Mid-May:** President Putin is expected to visit **Beijing**.
- **Mid-May:** **Indian** Prime Minister Narendra Modi is expected to visit the Netherlands, Norway and Italy.
- **22 May:** Nuclear Non-Proliferation Review Conference concludes in **New York**.
- **29-31 May:** **Singapore** will host the annual Shangri-La Dialogue defence summit.
- **31 May:** **Colombia** Presidential election first round
- **Late May:** US Secretary of State Marco Rubio will visit **India** for talks.
- **Late May/Early June:** The OECD Ministerial Council Meeting is expected to take place in **Paris**.
- **11 June:** FIFA World Cup begins in **US, Canada and Mexico**
- **15-17 June:** **France** will host the G7 Leaders' Summit in Évian.
- **19 June:** **European** Council meeting
- **1 July:** The first review of the **US-Mexico-Canada** (USMCA) trade agreement begins.



Source: [aboodi vesakaran](#) on [Unsplash](#)



03. Markets



Commodity markets

The key question: When do the stresses in financial assets directly affected by the war begin to catalyse confidence problems in broader markets?



Oil: Brent \$96/bbl (Q2'26), \$84.8/bbl (2026) average, assuming the Strait of Hormuz will re-open in May.

- Improving but uncertain backdrop, thanks to (i) supply diversion and remaining flows limiting the magnitude of oil supply disruption; and (ii) significant demand reduction rising to -2.3mmb/d y/y in April, according to the IEA.
- **Risks:** Longer suspension of the SoH (reopening beyond May) could accelerate the run-up in Brent well above \$100/bbl near term. This would translate into higher-for-longer inflation.
- Central banks' ability to look-through supply shocks is tested.

Gold: moderate YE target to \$5,000/oz (prevs. \$6,000/oz)

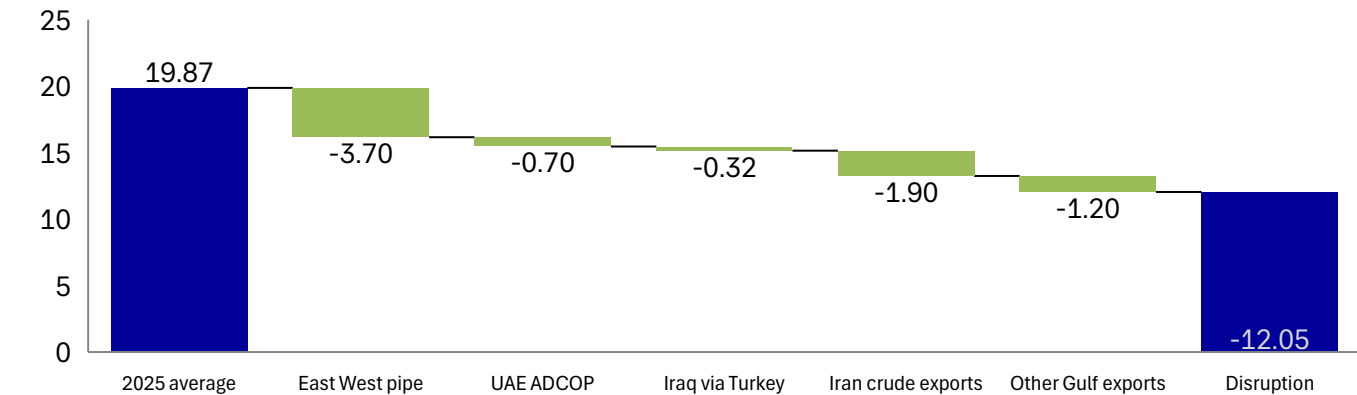
- Forecast based on belief that dollar weakness will resume.

Brent crude oil prices (\$/bbl) have risen but are clearly lower today than they were in 2022



Source: Deutsche Bank Research, Bloomberg Finance LP

Strait of Hormuz April supply disruption down to 12mmb/d



Source: Deutsche Bank Research, Bloomberg Finance LP, IEA, Kpler

Latest oil price forecasts

USD	2025	Q1 2026	Q2 2026	Q3 2026	Q4 2026	2026	2027
WTI (bbl)	64.9	72.7	90.0	82.0	73.0	79.4	71.0
% change		-0.5%	12.5%	9.3%	4.3%	6.6%	4.4%
Brent (bbl)	68.20	78.10	96.00	87.00	78.00	84.80	75.00
% change		0.1%	12.9%	8.7%	4.0%	6.6%	4.2%

Reports: [Hsueh On Oil: Problem solved? - Deutsche Bank Research](#) and [Precious Special Report: Gold investors to emerge from war bunker - Deutsche Bank Research](#)

Rates & Credit markets

Dual shock of higher rates and energy costs introduces some uncertainty whether strong corporate growth forecasts will continue into year-end



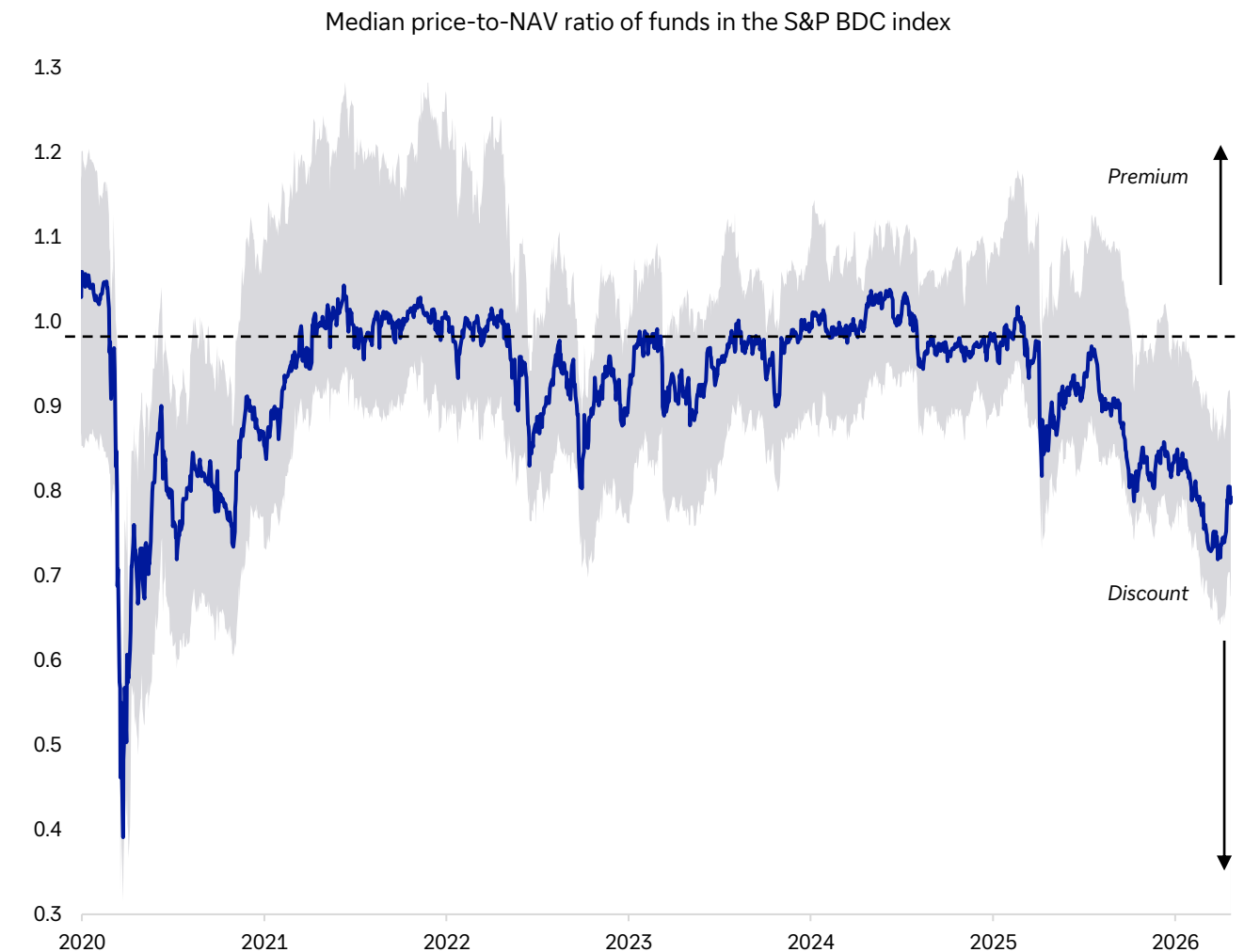
Private credit outflows have had some effect on broader leveraged loans and some larger US money centres/regional banks, tightening financial conditions somewhat.

- Private credits remain centred on AI disruption, particularly in the software sector, rather than the ongoing energy shock.
- We see credit spreads to widen throughout 2026, with €HY 420bps, \$HY at 410bps YE and €IG at 110bps, \$IG at 110bps YE.
- In Europe, weaker macro fundamentals plus energy shock driven restrictive policy rates also account for wider spreads. Political risks in Europe are growing.

We retain our conviction that the 10Y US Treasury Yield will continue to fall, impacting corporate funding costs.

- Difficult to justify further Fed rate cuts given (i) unemployment rate is broadly stable; (ii) inflation is sticky above 2% and; (iii) policy rates are unlikely to be restrictive.
- AI tailwinds (either bubble or labour market impact) potentially challenge our bearish view on 10Y UST (4.45% by YE).

US business development companies are a key proxy for the market's private credit concerns. The current discount to NAV of about 20% suggests investors expect severe stress events.



Reports: [IG & HY Strategy: The Narratives Are Turning Upside Down - Deutsche Bank Research](#) and [IG & HY Strategy: Private Credit: The gates are up, but the problem is within - Deutsche Bank Research](#) and [Global Fixed Income Weekly: Strategy Update - Deutsche Bank Research](#)

Source: Deutsche Bank Research, S&P Global. See: [Thematic Research: Private capital monitor: Fear and loathing - Deutsche Bank Research](#)

Foreign exchange markets

The dollar bullish narrative has eroded, staying dollar bearish

Despite some reprieve during war, big picture remains dollar bearish

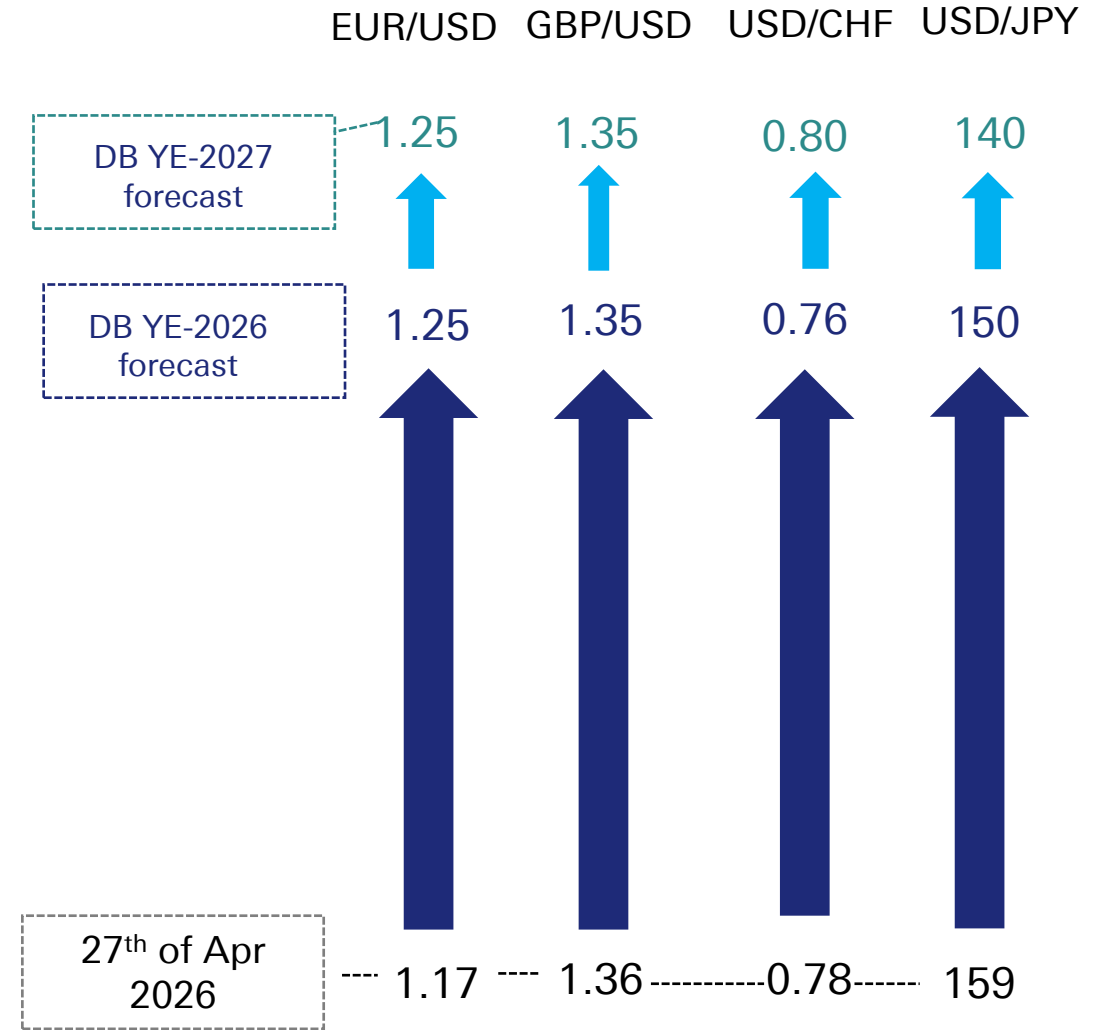
- Usually, we would expect the dollar (as a haven currency) to have rallied more than it did during the Iran war. That highlights some weakness.
- Strengthens the argument that the USD is still no longer as exceptional as a high-yielder and as a global growth outlier.
- The Iran war exacerbated dollar weakness due to Asia and the Middle East running down FX reserves and excess savings to finance higher energy costs. Countries were already moving away from the USD into smaller, unspecified reserve currencies (up from 3% to 6% of these assets in the last 3 years).

Currency outlook

- **EUR/USD**: Rise to \$1.25 by year-end. While the energy price spike complicates the Euro Area's growth picture, it has also brought forward the ECB rate hike cycle, leading to a stronger Euro.
- **USD/JPY**: Raised end-2026 to 150. JPY remains very cheap as the BOJ remains unlikely to tighten policy rates this year.
- **RMB**: Supported by de-escalation in US-China tensions and the government's continued aims to internationalise the yuan. RMB remains cheap but a stronger RMB would increase the appeal for global corporates to transition to using and saving in the yuan, especially if most Middle East energy continues to travel to Asia. Corporates continue to have scope to increase conversion of their large stock and flow of FX into RMB.

Read: [FX Blog: Time to sell USD - Deutsche Bank Research](#) and [The Big FX View: War and Peace - Deutsche Bank Research](#)

Currency movements and DB forecasts for YE-2026 and 2027



Source: Deutsche Bank Research, Bloomberg Finance LP.



04. Technology



Artificial intelligence

AI disruption concerns are rising in 2026, but there is no conclusive relationship between modest job declines and substitution with AI



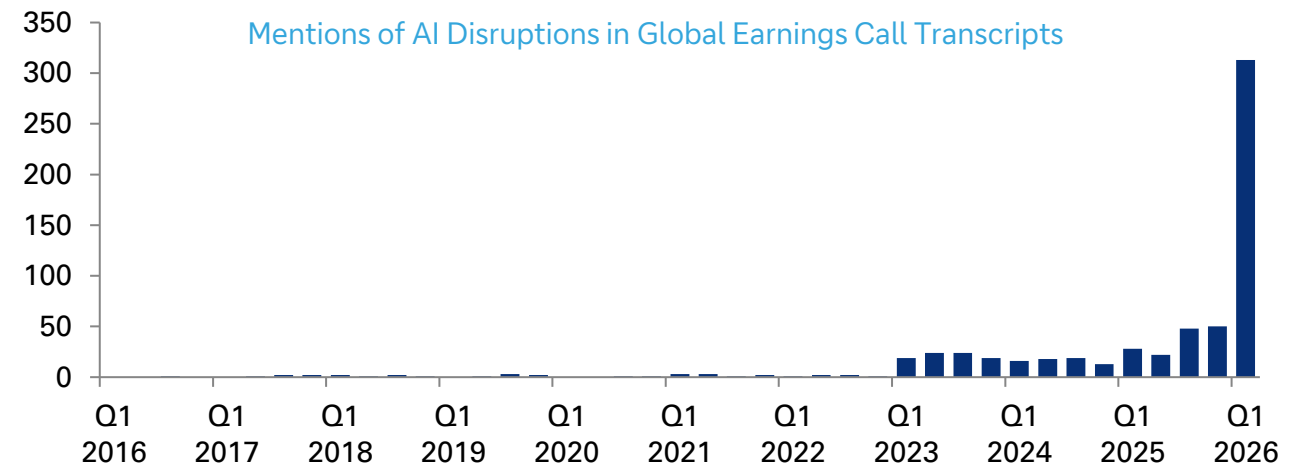
Job displacement from AI remains a concern, but the aggregate evidence so far is encouraging

- A Dec 2025 NBER study [suggests](#) that AI, by substituting primarily cognitive tasks, can shift relative demand away from high-skilled roles toward jobs with lower education, lower wages and more male workers.
- The evidence is still inconclusive, [as noted](#) by our US analysts. A survey by Indeed found no noticeable deterioration amongst roles of recent market concerns, such as legal, marketing, accounting and management.

The case for AI's positive benefits is growing

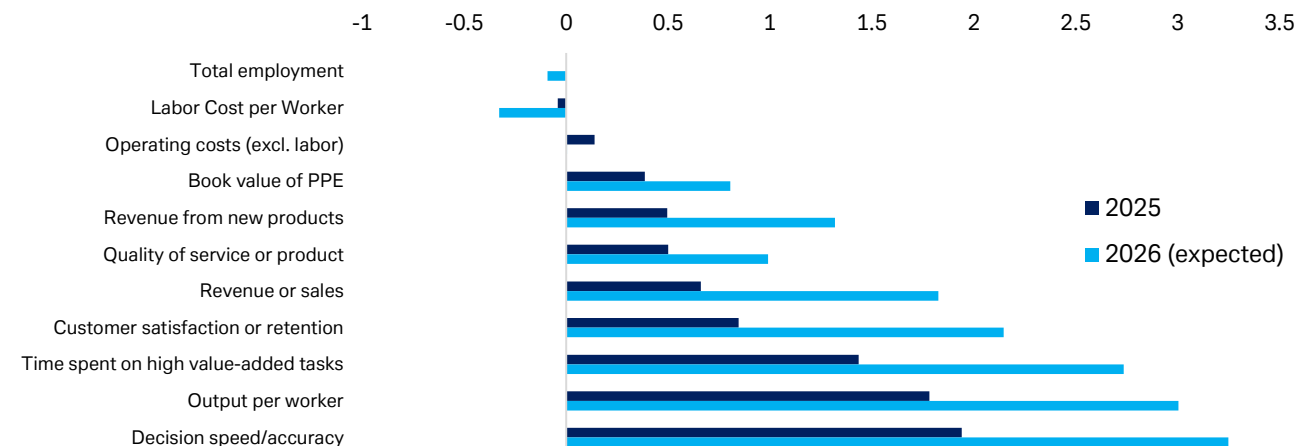
- According to an [Atlanta Fed survey](#), business executives are already seeing labour productivity gains from AI and anticipate it to double in 2026. Firms in high-skill services are seeing the greatest gains. Finance, for example, saw productivity growth of 0.8% last year, implied by revenues and employment, a figure which is set to exceed 2% in 2026.
- Firms in manufacturing and construction saw smaller but still positive implied gains of roughly 0.4 percent in 2025.
- The study found that productivity gains were associated with innovation and demand-orientated channels rather than cost reduction alone.

In Q1 26, mentions increased more than sixfold from Q4 2025 in earnings calls.



Source: Deutsche Bank Research, Bloomberg Finance LP.

Impact of AI usage on firm outcomes



Source: Deutsche Bank Research, The CFO Survey, Federal Reserve Bank of Richmond, Federal Reserve Bank of Atlanta. Question asks for likert scale options that are mapped to percentage outcomes (i.e. increased moderately, 5.1 to 10%. Above chart uses midpoint of ranges provided and +/- 5% above/below highest/lowest options to calculate numeric averages across respondents.

Artificial intelligence

Companies will continue to invest in AI to varying degrees, but lack of trust remains a key barrier



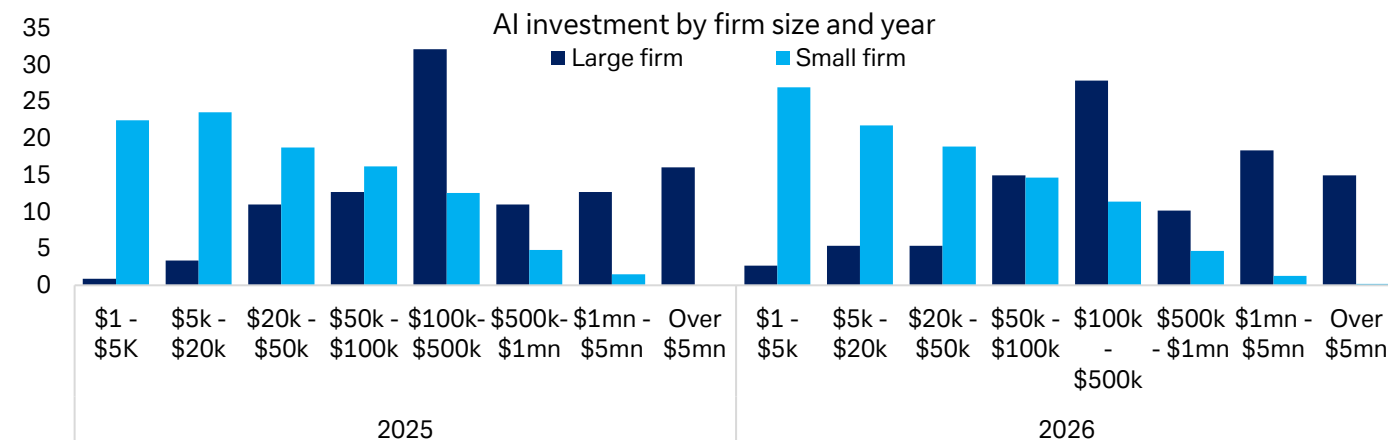
Company adoption continues to be underway, with more pickup in 2026

- Large firms led corporate AI adoption in 2025; smaller firms are only beginning to invest in AI now, according to a survey led by the Atlanta Fed and Richmond Fed.
- Around 30% of large firms expect to invest more than \$1mn in AI in 2026 (vs 1% of small firms). But nearly 60% of smaller firms plan to invest less than \$20,000 in AI in 2026 (vs 14% of larger firms).

Western economies lag in AI trust and adoption

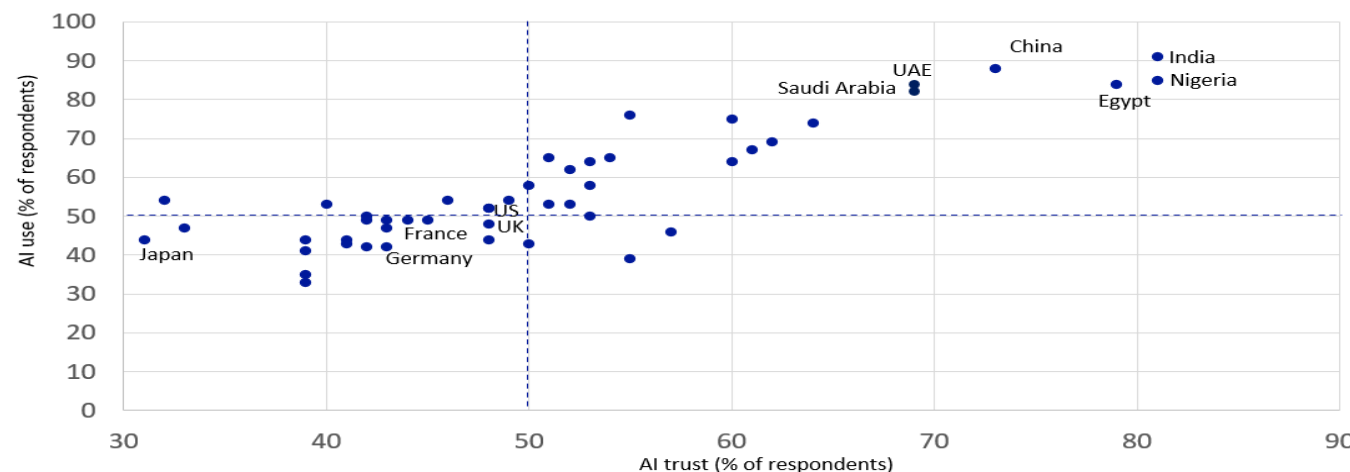
- Barriers to adoption continue to be lack of workforce training, belief AI is not yet sufficiently mature and privacy concerns (see [here](#))
- While the US leads in the most advanced models and chips, and accounts for half of the world's data centres, US consumers are more suspicious of AI than their peers in markets such as India, the UAE, China and Saudi Arabia. Western consumers also lag behind in adoption.
- 48% of US consumers say they trust AI for work purposes, and only 52% say they use it on a regular basis, according to a [survey](#).
- That compares with well over two-thirds trusting AI for work in the leading Asian and Gulf markets and around 85 to 90 percent using it.

80% of firms will invest in AI in 2026, with large firms to invest the most, according to a CFO survey led by the Atlanta Fed and Richmond Fed



Source: Deutsche Bank Research, The CFO Survey. Large firms have > 500 employees. What do you expect your company's total expenditure and financial investment in AI technology/solutions will be over the next 12 months? Federal Reserve Bank Richmond, Federal Reserve Bank Atlanta.

Western economies lag behind their peers in trust in AI and intentional use at work



Source: Deutsche Bank Research, University of Melbourne, KPMG.

Digital currencies

The digital euro is coming faster than most CFOs realise; Stablecoins are becoming a corporate treasury tool



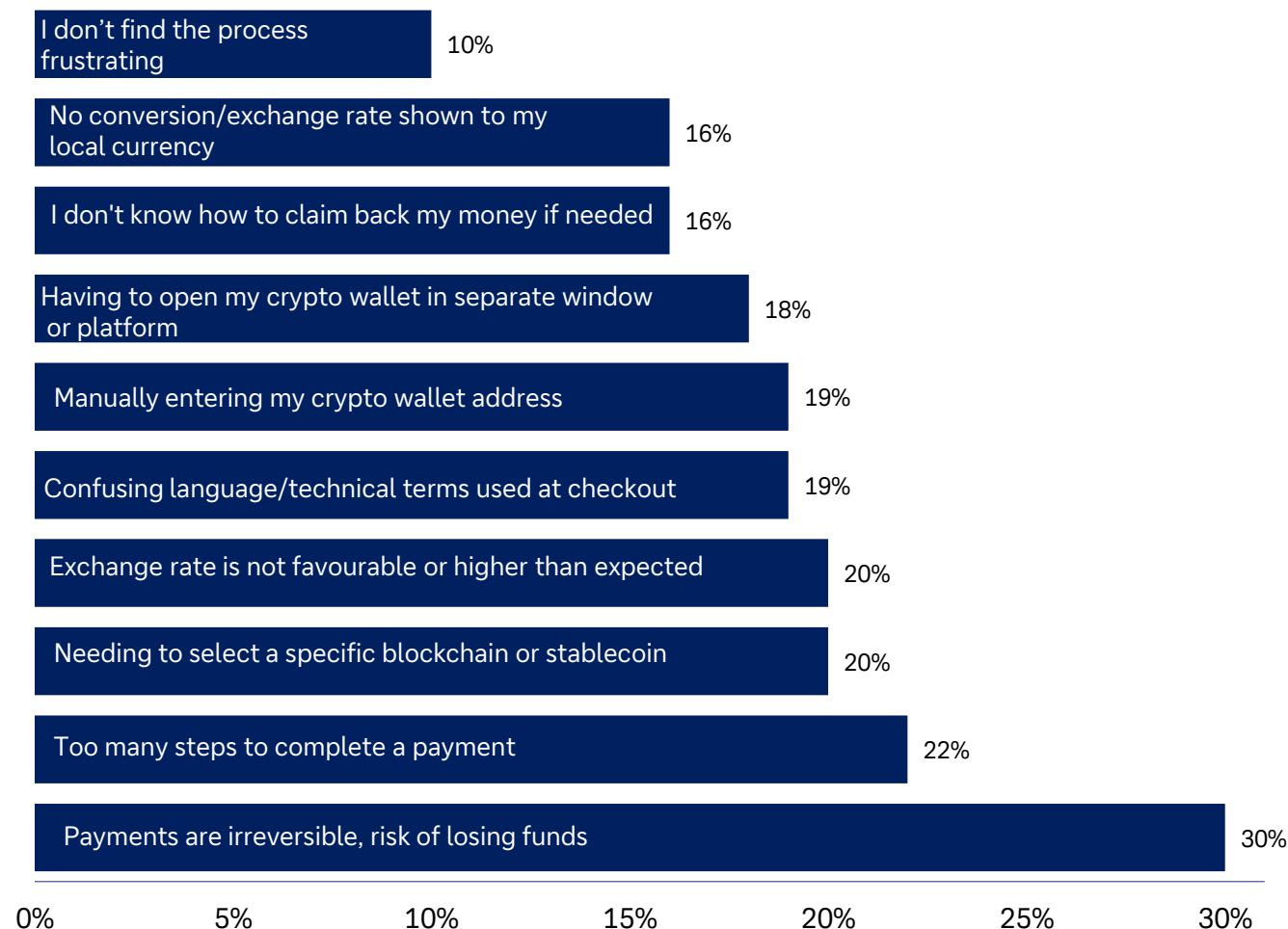
Stablecoins

- Over 80% of transitions occurred outside the US in 2025. Use cases expanding beyond crypto trading into treasury management, payments & settlements, banking & fintech, e-commerce & services.
- Top CFO risks: irreversible payments (30%), too many steps to complete a transaction (22%), fragmented wallet infrastructure.
- In Europe, political debate on permissibility of multi-jurisdictional stablecoins – agreement pending between ECB and European Commission.
- US CLARITY Act still pending. Key debate includes stablecoin yield and bank lending impact.
- March 2026: The OCC proposed stricter stablecoins rules, including a minimum capital floor of \$5mn and a ban on interest payments to holders. This favours established payment giants and raises barriers for new entrants. See [here](#).

CBDCS

- Wholesale: ECB's Project Pontes – a settlement solution for DLT-based large-value transaction – launches Q3 2026.
- Retail: European Parliament vote scheduled 23 June 2026. Pilot expected to begin in 2027; retail issuance targeted for 2029.

Challenges with stablecoin payments experience (BVNK Survey)



Source: Deutsche Bank Research, BVNK Survey (March 2026).



Appendix 1

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